

FEDERAL MARITIME COMMISSION

SALOMON AND JASMIN GRUENBERG-
REISNER ,

Claimants,

v.

OVERSEAS MOVING SPECIALISTS,
INC. d/b/a INTERNATIONAL SEA &
AIR SHIPPING,

Respondent.

Informal Docket
No. 1947(I)

Served: October 7, 2016

BY THE COMMISSION: Mario CORDERO, *Chairman:* and William P. DOYLE, Daniel B. MAFFEI, *Commissioners.* Commissioner DOYLE filed a concurring opinion in which Commissioner MAFFEI joins. Commissioner MAFFEI filed a concurring opinion in which Commissioner DOYLE joins. Michael A. KHOURI, *Commissioner,* filed an opinion concurring in part and dissenting in part, in which Rebecca F. DYE, *Commissioner,* joins.

Memorandum Opinion and Order

On June 30, 2015, the Small Claims Officer (SCO) issued a Decision (SCO Decision) finding that Respondent Overseas Moving Specialists, Inc. d/b/a International Sea & Air Shipping

Moving Specialists, Inc. d/b/a International Sea & Air Shipping violated the Shipping Act, and awarding reparations to Claimants Salomon and Jasmine Gruenberg-Reisner. *Gruenberg-Reisner v. Overseas Moving Specialists, Inc.*, FMC Docket No. 1947(I), (SCO June 30, 2015). The Commission reviewed this Decision *sua sponte*. For the reasons set forth below, the Commission affirms the SCO's finding that Respondent violated 46 U.S.C. § 41102(c) and dismissal of Claimants' negligent representation, breach of contract, lost and damaged cargo, and conversion claims. Further, the Commission reverses the SCO's findings that Respondent was not entitled to payment for certain published charges in connection with its door-to-door move of Claimants' cargo. Lastly, the Commission remands the issue of the fuel surcharge and U.S. terminal handling charges to determine whether Respondent reasonably assessed these charges as pass-through charges, in accordance with its rules tariff.

I. BACKGROUND

A. Factual Background

This matter arises from Claimants Salomon and Jasmin Gruenberg-Reisner's shipment of their household goods, car, and motorcycle from Arlington, Virginia, to Geneva, Switzerland. Respondent, a licensed non-vessel-operating common carrier (NVOCC), quoted Claimants a rate of \$17,575.00 to transport their items to Geneva. Claim Form ¶ III.A; Claim, Ex. B. Respondent based the quoted rate upon a survey of the items identified by Claimants. Aviani Aff. ¶ 2. On April 2, 2014, Claimants paid an initial deposit in the amount of \$4,500. Claimants' Response, Ex. G.

On April 21, 2014, Claimants signed a Shipping Agreement prepared by Respondent, which locked in the quoted rate for 60 days. Claim Exs. A and B. Under the Shipping Agreement, Respondent agreed to supply a 40-foot container to ship Claimants' household goods and personal effects, and a 20-foot container to ship Claimants' car and motorcycle. *Id.* The initial Shipping Agreement also included the following services: professional packing crew and truck; disassembling of furniture; full packing and packing materials; detailed inventory prior to

Gruenberg-Reisner v. Respondent Moving Specialists, Inc. 3

loading; loading into truck or container; up to 30 days free storage; consolidation prior to shipping from Respondent's warehouse; delivery to port of exit; export documentation; payment of ocean freight to the port of destination; custom clearance at destination; delivery to residence; unloading into residence; set up of boxes and furniture in designated rooms; assembling of simple furniture; and same day removal of debris. Claimants Claim Exs. A and B.

Respondent excluded the following charges from the Shipping Agreement: port charges, customs duties, taxes at destination; intensive customs inspection, x-ray, fumigation, quarantine; storage and demurrage charges; charges resulting from long distance carry, shuttle service, excessive time spent and labor (disassembling, reassembling complicated furniture, handing of electronics, china, other fragile items, etc.), complicated accesses, higher floors walk up and walk down (over the second floor); parking permit; and fuel surcharges (collectively "additional charges"). *Id.*

Respondent maintains a public rules tariff, which includes the following rules:

Rule 2 – Application of Rates and Charges. Rates apply . . . From/To Inland Point at Origin/Destination To/From Port of Loading/Discharge and, unless otherwise specifically provided, do not include Lighterage, Terminal Handling, Wharfage or any other Accessorial Charges [that] are established by Custom of the Port, by Port or Local Tariffs or by U.S. Customs. Any Accessorial charges which are assessed against the cargo will be for the account of the cargo, even if the Carrier is responsible for the collection thereof.

Rule 2.4 – Use of NVOCC Negotiated Rate Arrangement. Pursuant to 46 CFR Parts 520 and 532, Carrier has elected to move cargo either via tariff rates or via Non-Vessel-Operating Common Carrier Negotiated Rate Arrangements (NRA).

Rule 3 – Rate Applicability Rule. The tariff rates, rules, and charges applicable to a given shipment must be those published and in effect when the cargo is received by the Common Carrier or its agent (including originating Carriers in the case of rates for through transportation).¹

In addition, Respondent's Rule 2.1 states, in part, that "[c]arrier shall have a lien on cargo in its possession for amounts due hereunder and may hold cargo until such amounts, and any other unpaid freights or charges, are paid or sell such cargo after a reasonable period."

On May 9, 2014, Respondent's agent, Shipping Solutions Worldwide Ltd. (Shipping Solutions) conducted a physical survey at Claimants' residence and prepared an inventory list of the items Claimants planned to ship to Switzerland. Respondent's Response to Request for Supp. Info. (Respondent's Response) at 1. Based on the physical survey, and consistent with Respondent's April 2014 quote to Claimants, Shipping Solutions recommended that Respondent use a 40-foot container to ship Claimants' household goods and a 20-foot container to ship their car and motorcycle. Respondent's Response (attached March 11, 2015 letter from Mr. Edgar Zambrano, President of Shipping Solutions to Respondent). Upon request from Respondent, Claimants provided Respondent with measurements of their car and motorcycle and subsequently called Respondent to verify that the 20-foot container would be large enough to ship both their car and motorcycle. Claimants'

¹ Respondent's rules tariff is not in the administrative record. The Commission, however, may take official notice of it in accordance with 46 C.F.R. § 502.226. "Official notice is broader than judicial notice and may be taken, not only for of public records and generally accepted facts, but also of matters within an agency's area of special expertise." *Marine Repair Serv. of MD. v. Ports of Am. Chesapeake, LLC*, 32 S.R.R. 1136, 1161 n.39 (ALJ 2013) (citing *Union Elec. Co. v. F.E.R.C.*, 890 F.2d 1193, 1202 (D.C. Cir. 1989)). Respondent's rules tariff is maintained by Effective Tariff Management Corporation and can be located at www.etmrates.com (last visited Mar. 11, 2016).

Gruenberg-Reisner v. Respondent Moving Specialists, Inc. 5

Response to Request for Supp. Info. (Claimants' Response) at 3. Claimants also purchased marine insurance through Respondent. Claim Ex. D; Aviani Aff. ¶ 8.

On June 3, 2014, Respondent sent a crew to Claimants' home to pack up Claimants' household goods, car, and motorcycle. Claim ¶ III.C; Aviani Aff. ¶ 4. Contrary to the surveyor's recommendation to load the motorcycle into the 20-foot container, the movers loaded the motorcycle diagonally into the 40-foot container. Claimants' Response at 3. In addition, the movers conducted the inventory while loading the items, as opposed to conducting a complete inventory of Claimants' belongings prior to loading. Respondent's Response at 1. As a result, the movers did not recognize that a "significant amount of remaining household goods and personal effects" would not fit into the 40-foot container until "[a]fter the loading of the forty (40) foot container." Aviani Aff. ¶ 4. Respondent's movers returned to Claimants' residence to pick up the excess household goods on June 6, 2014 and prepared an inventory list, which Claimants signed. *Id.* at ¶ 7.

On June 10, 2014, Claimants received a second Shipping Agreement from Respondent indicating that Claimants owed an additional \$9,925.00 for a second 20-foot container to ship the overflow items. Claim Form ¶ III.D; Claim Ex. C. That same day, Respondent e-mailed Claimants an invoice for \$41,510.01. Claim Ex. D. The invoice included the following itemized charges not included in either of the Shipping Agreements: (1) \$531.29 for U.S. terminal handling charges for the 20-foot container used to ship Claimants' car; (2) \$782.84 for U.S. terminal handling charges for the 40-foot container; (3) \$627.43 for U.S. terminal handling charges for the additional 20-foot container; and (4) a \$2,533.47 fuel surcharge. *Id.*

On June 30, 2014, Respondent's destination agent, World Freight Relocations (WFR) informed Claimants in an email that "delivery cannot be scheduled until we receive payment." Claimants' Response (attached emails). That same day, Claimants paid Respondent \$32,390.03. *Id.* at Ex. H. Respondent subsequently sent Claimants invoices for the destination local port fees and customs inspections fees totaling 1,915 Euros

(\$2,572.42),² which Claimants paid on July 28, 2014. *Id.* at Ex. I. WFR also sent Claimants an invoice, dated July 29, 2014, for 375 Euro (\$503.81) for an additional floor fee and 275 Euro (\$369.47) for a parking permit, as well as an invoice, dated September 8, 2014, for 620 Euro (\$803.13) for an elevator fee. Claimants paid these charges on September 9, 2014. *Id.* at Ex. J.

On August 6, 2014, WFR delivered Claimants' car. Claim Form ¶ III.J. On August 13, 2014, WFR delivered a portion of Claimants' household goods and informed Claimants that it did not have a truck big enough to transport all of Claimants' household goods in one trip. *Id.* at ¶ III.M. WFR completed the delivery of Claimants' household goods, car, and motorcycle on October 15, 2014. *Id.* at ¶ III.P. Respondent claimed that the customs inspections and parking permit application process caused the delay in completing the delivery. Aviani Aff. ¶ 10. Claimants paid Respondent in total \$40,264.37. *Id.* at ¶ 20-22.

B. Procedural History

Claimants filed a claim with the Commission on December 4, 2014, alleging that Respondent violated 46 U.S.C. § 41102(c) by increasing the contracted shipping charges, failing to communicate, unreasonably delaying delivery, converting their property, and failing to declare the motorcycle at Swiss Customs. Claim Form ¶ 6. Additionally, Claimants seek reparations for negligent representations, breach of contract, and lost and damaged goods claims. Brief in Support of Claim at 3-5. Claimants seek \$44,000 in reparations. *Id.* at 5; Claim Form ¶ III, V.

The SCO issued a Decision on June 30, 2015, dismissing Claimants' negligent representation and breach of contract claims for failure to state a claim. SCO Decision at 8-9. The SCO further found that Claimants failed to submit any evidence supporting their allegation that Respondent converted their property. *Id.* at 18. The SCO also found that the Commission lacked jurisdiction to

² The currency conversion tool used to determine the exchange rate and U.S. dollar equivalent amount on the date of the invoices is available at www.oanda.com/currency/converter (last visited Oct. 28, 2015).

adjudicate the loss and damage of cargo claim and, thus, dismissed the loss and damage claim. *Id.* at 17.

The SCO found that Respondent violated § 41102(c) by forcing Claimants to pay more than double the contracted moving charges and by refusing to deliver Claimants' goods unless they paid the additional charges. *Id.* at 10-11. The SCO further found that Respondent was not entitled to collect additional charges related to the following: the second 20-foot container, U.S. terminal handling charges, fuel surcharge, local port fees, parking permit fee, elevator fee, and additional floor charge for the second delivery. *Id.* at 11-16.

Evaluating Claimants' entitlement to reparations, the SCO awarded Claimants reparations in the amount of \$17,847.21, which was the difference between the \$40,262.46 paid by Claimants and the \$22,415.25 that the SCO found Respondent was entitled to collect. *Id.* at 19. The latter amount reflected: (1) the quoted rate amount of \$17,575; (2) the insurance purchased by Claimants in the amount of \$3,665; (3) the destination terminal charges for which Respondent provided invoices in the amount of 494 Euros (\$671.94); and (4) the first additional floor fee in the amount of 375 Euros (\$503.31). The SCO Decision was served June 30, 2015. On July 6, 2015, the Commission issued a Notice of Determination to Review the SCO Decision.

II. DISCUSSION

A. Standard of Review and Burden of Proof

In formal proceedings, "where exceptions are filed to, or the Commission reviews, an initial decision, the Commission, except as it may limit the issues upon notice or by rule, will have all the powers which it would have in making the initial decision." 46 C.F.R. § 502.227(a)(6). In other words, the Commission reviews an initial decision *de novo* and may enter its own findings. *Kawasaki Kisen Kaisha, Ltd. v. Port Auth. of N.Y. & N.J.*, 33 S.R.R. 746, 753 (FMC 2014) (citing *OC Int'l Freight, Inc.*, 33 S.R.R. 566, 570 (FMC 2014)). The Commission reviews SCO decisions in informal proceedings under the same

standard. See *Houben v. World Moving Servs*, 31 S.R.R. 1400, 1404 (FMC 2010); see also 5 U.S.C. § 557(b).

Under the Administrative Procedure Act, Claimants have the burden of proving, by a preponderance of the evidence, that Respondents violated the Shipping Act, and this burden of persuasion does not shift. See 5 U.S.C. § 556(d); *Maher Terminals, LLC v. Port Auth. of N.Y. & N.J.*, 33 S.R.R. 821, 840 (FMC 2014); *DSW Int'l, Inc. v. Commonwealth Shipping, Inc.*, 32 S.R.R. 763, 765 (FMC 2012).

B. Negligent Representation, Breach of Contract, and Lost and Damaged Cargo Claims

The SCO properly dismissed Claimants' breach of contract, negligent representation, and lost and damaged cargo claims. As to the breach of contract claim, the Shipping Act bars the Commission from "hearing those claims, which, although couched in terms of alleged violations of the 1984 Act, seek remedies that would otherwise be available in a breach of contract action if the matter were brought before a court." *Western Respondent Trade and Dev. Corp. v. ANERA*, 26 S.R.R. 874, 884 (FMC 1994). Similarly, "allegations of misrepresentations should likewise be considered by a court or arbitrator and not by the Commission." *Universal Fixture Mtg. Co., Inc. v. Asia N. Am. Eastbound Rate Agreement*, 26 S.R.R. 1461, 1465 (FMC 1962). Moreover, the Carriage of Goods by Sea Act ("COGSA"), 46 U.S.C. § 30701 note, vests jurisdiction to adjudicate loss and damage claims arising from transportation by ocean exclusively in the federal district courts, not the Commission.

C. Section 41102(c) Claim

The SCO properly determined that Respondent violated 46 U.S.C. § 41102(c) by levying the additional charge for the second 20-foot container and the accessorial charges associated with shipping that container. SCO Decision at 16. Further, we agree with the SCO that Respondent is entitled to the destination terminal handling charges and additional floor fee, but disagree with the SCO that Respondent is not entitled to the local port fees,

parking permit, elevator fee, and custom inspections fees. *Id.* at 15. As for the fuel surcharge and U.S. terminal handling charges, there is not enough information in the record to determine whether assessing these charges was reasonable. Therefore, the Commission is remanding this issue for the SCO to determine whether these charges were reasonable pass-through charges.

Section 41102(c) prohibits common carriers, marine terminal operators, and ocean transportation intermediaries from “fail[ing] to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c). The Commission has recently reviewed many § 41102(c) cases. The Commission has recognized in numerous decisions that NVOCCs or freight forwarders violate § 41102(c) when they fail to fulfill NVOCC or freight forwarder obligations, through single or multiple actions or omissions, and thereby fail to establish, observe, and enforce just and reasonable regulations and practices. *See Kobel v. Hapag-Lloyd, A.G.*, No. 10-06, 2015 FMC LEXIS 6 (FMC May 26, 2015); *Smart Garments v. Worldlink Logix Services, Inc.*, 33 S.R.R. 65, 69 (FMC 2013); *Century Metal Recycling Pvt. Ltd. v. Dacon Logistics*, 33 S.R.R. 17, 19 (FMC 2013); *Best Way USA, Inc. v. Marine Transport Logistics*, 33 S.R.R. 13, 14 (FMC 2013); *Petra Pet, Inc. v. Panda Logistics Ltd.*, 33 S.R.R. 4, 9 (FMC 2013); *Bimsha International v. Chief Cargo Services, Inc.*, 32 S.R.R. 1861, 1866 (FMC 2013); and *Houben v. World Moving Services, Inc.*, 31 S.R.R. 1400, 1405 (FMC 2010) (when an NVOCC fails to fulfill its obligations it violates § 41102(c)). *See also Brewer v. Maralan (a/k/a Sam Bustani) and World Line Shipping, Inc.*, 29 S.R.R. 6, 9 (FMC 2001) (withholding documentation needed to secure the release of property held to violate section 10(d)(1)); *Total Fitness Equip. v. Worldlink Logistics, Inc.*, 28 S.R.R. 534, 542 (FMC 1998), *aff’d sub nom. Worldlink Logistics, Inc. v. Federal Maritime Comm’n*, 203 F.3d 54 (D.C. Cir. 1999) (attempting to collect an unreasonable debt by refusing the release of cargo held a violation of the Shipping Act); *Corpco International Inc. v. Straightway, Inc.*, 28 S.R.R. 296, 300 (FMC 1998) (forcing the shipper to pay transshipment costs for the release of cargo after the shipper had already paid a rate previously agreed to was an “unreasonable

practice” in violation of section 10(d)(1) of the Shipping Act); *Symington v. Euro Car Transp., Inc.*, 26 S.R.R. 871, 873 (ALJ 1993) (NVOCC failed to carry out obligation it was paid to perform, thus failing to “establish, observe, and enforce just and reasonable regulations and practices relating to the receiving . . . of property,” in violation of the Shipping Act); *Adair v. Penn-Nordic Lines, Inc.*, 26 S.R.R. 11, 19-20 (ALJ 1991) (NVOCC failed to fulfill agreement and refused to refund freight even though it “never performed the transportation service” in violation of section 10(d)(1) of the Shipping Act); *Maritime Services Corp. v. Acme Fast Freight of Puerto Rico*, 17 S.R.R. 1655 (ALJ 1978), *aff’d*, 18 S.R.R. 853 (FMC 1978).³

1. Respondent Violated § 41102(c) by Levying Charges for the Additional 20-foot Container

The Commission affirms the SCO’s finding that Respondent violated § 41102(c) because it: (1) failed to publish the freight rate of the additional 20-foot container in its rules tariff; (2) the Second Shipping Agreement did not meet the requirements of a negotiated rate arrangement (NRA) because Respondent assessed the rate after accepting Claimants’ cargo; (3) Respondent violated two of its tariff rules; and (4) the charges associated with the second 20-foot container could have been avoided had the cargo been loaded in accordance with Respondent’s surveyor’s recommendation.

The SCO properly determined that Respondent is not entitled to payment for the second 20-foot container or any accessorial charges associated with shipping that container because Respondent violated § 41102(c) by failing to include these charges in either the initial Shipping Agreement or in its rules tariff. Claim Exs. A and B; Respondent’s Response at ¶ 3. The Shipping Act provides that a common carrier may only charge a shipper rates and charges it discloses in a published tariff, unless otherwise

³ Similarly, the Commission has addressed arguments raised by dissenting Commissioners at length in *Kobel v. Hapag-Lloyd, A.G.*, 32 S.R.R. 1720 (FMC 2013) and *Kobel v. Hapag-Lloyd, A.G.*, No. 10-06, 2015 FMC LEXIS 6 *19.

exempted. 46 U.S.C. § 40501. Here, the initial Shipping Agreement quoted a price for door-to-door delivery of Claimants' household goods, car, and motorcycle from Arlington, Virginia to Geneva, Switzerland. Claim Ex. A. Under the agreement, Respondent agreed to provide a 40-foot container, a 20-foot container, and full packing and delivery services. *Id.* After receiving the cargo, Respondent sent a second Shipping Agreement with a new rate for an additional 20-foot container. Claim Ex. C.

Respondent argues that its fees are not subject to the tariff publication requirement in this instance because it shipped Claimants' cargo via an NRA. Respondent's Response at ¶ 3. Under 46 C.F.R. §§ 535.2 and 535.5, an exemption from the general rate publication requirement exists for licensed NVOCCs who have entered into an NRA with a shipper. *See, e.g., Baltic Auto Shipping, Inc. v. Hitrinov*, 33 S.R.R. 1243, 1245 (ALJ Sep. 2015). An NRA is defined as "a written and binding arrangement between an NRA shipper and an eligible NVOCC to provide specific transportation service for a stated cargo quantity, from origin to destination, on and after the receipt of the cargo by the carrier or its agent (or the originating carrier in the case of through transportation)." 46 C.F.R. § 532.3(a). In order to qualify for the exemption to the rate publication requirements, an NRA must:

- (a) be in writing;
- (b) contain the name of the parties and the names of the representatives agreeing to the NRA;
- (c) be agreed to by both the NRA shipper and NVOCC, prior to the date on which the cargo is received by the common carrier or its agent (including originating carriers in the case of through transportation);
- (d) clearly specify the rate and the shipment or shipments to which such rate will apply; and
- (e) may not be modified after the time the initial shipment is received by the carrier or its agent (including originating carriers in the case of through transportation).

46 C.F.R. § 532.5.

Prior to entering into an NRA with a shipper, “an NVOCC must provide electronic access to its rules tariffs to the public free of charge.” *Id.* at § 532.4. Rates in NRAs can either be all-inclusive or a set freight rate subject to additional charges as set forth in the NVOCC’s rules tariff.⁴ *See* § 532.2(d). These additional charges in a rules tariff include terminal handling charges, fuel surcharges, and any other accessorial charges. *Id.* at § 532.4. In addition, an NVOCC must clearly indicate its intent to move a shipment pursuant to an NRA by publishing “a prominent notice in its rules tariff.” *Id.* at § 532.6. The applicable charges applied under an NRA must be those in effect at the time the first shipment is received by the NVOCC (or the originating carrier in the case of through transportation). *Id.* at § 523.5(c).

Respondent is correct that the initial Shipping Agreement met the requirements of an NRA because the parties agreed to a clear rate for the door-to-door move, in writing, prior to Respondent accepting receipt of Claimants’ cargo. Claim Ex. A. Respondent, however, deviated from its otherwise seemingly reasonable practice of shipping via a valid NRA by sending a second Shipping Agreement with a rate that was *not* agreed upon by the parties *prior* to Respondent accepting receipt of Claimants’ cargo. Claim Form ¶ III.D; Claim Exs. B and C. Consequently, the second Shipping Agreement failed to meet the requirements of an NRA and, therefore, Respondent could not utilize the NRA

⁴ A rules tariff is defined as “a tariff or the portion of a tariff . . . containing the terms and conditions governing the charges, classifications, rules, regulations and practices of an NVOCC, but does not include a rate.” 46 C.F.R. § 532.3(c).

The preamble to the final rule, 76 Fed. Reg. 11351, 11354 (Mar. 2, 2011), provides that surcharges must be applied pursuant to the rules tariff. The preamble states that:

If the rate contained in an NRA is not an all-in rate, the NRA must specify which surcharges and accessorial from the rules tariff will apply. To the extent surcharges or accessories published in the NVOCC’s rules tariff will apply, the NRA must state that the amount of such surcharges and accessories is fixed once the first shipment has been received by the NVOCC, until the last shipment is delivered.

tariff publication exemption. 46 C.F.R. § 532.25(c).

Moreover, by charging Claimants for the additional 20-foot container, Respondent failed to comply with its own rules tariff and, thus, failed to observe and enforce just and reasonable regulations and practices relating to or connected with the receiving and handling of Claimants' cargo, in violation of 46 U.S.C. § 41102(c). Respondent's "Rate Applicability" rule states that "[t]he tariff rates, rules and charges applicable to a given shipment must be those published and in effect when the cargo is received by the Common Carrier or its agent" Respondent's Rule 3. Respondent accepted Claimants' cargo, including the overflow items on June 3, 2014. Claim ¶ III.C; Aviani Aff. ¶ 4. A week later, Claimants received a second Shipping Agreement from Respondent imposing an additional charge at a different rate than that agreed upon in the initial Shipping Agreement. Claim Form ¶ III.D; Claim Ex. C. In doing so, Respondent violated its "Rate Applicability" rule because it imposed a new rate after accepting Claimants' cargo. Likewise, because Respondent did not publish the rate for the additional 20-foot container in its rules tariff and the second Shipping Agreement did not meet the requirements of an NRA, Respondent also violated its "Use of NVOCC Negotiated Rate Arrangement" rule that states that Respondent will move cargo either via tariff or via an NRA. Respondent's Rule 2.4.

In addition to violating its own rules tariff, Claimants' allege that had Respondent's movers loaded Claimants' cargo in accordance with Respondent's surveyor's recommendation, the additional container would not have been needed and, as a result, the additional charges for the additional 20-foot container could have been avoided. Claimants' Response at 3. Regardless of whether the movers were direct employees of Respondent,⁵ or acting as an agent of Respondent, an NVOCC is not absolved of liability for imposing avoidable charges. *See Orolugbagbe v. A.T.I., U.S.A., Inc.*, 33 S.R.R. 1300, 1309 (FMC Oct. 2015). The

⁵ There is nothing in the record to indicate that the movers were not direct employees of Respondent. The record merely states that "Respondent sent a crew to the Claimants' home" to pack claimants' household goods. Aviani Aff. ¶ 3.

Commission recently determined that an NVOCC violates § 41102(c) by erroneously charging additional charges even if the charges stem from its agent. *Id.* In *Orolugbagbe*, the Commission focused on the fact that the NVOCC, and not its agent, communicated, invoiced, and accepted payment of the additional charges. *Id.* The Commission found that even if the charges stemmed from its agent, the NVOCC violated § 41102(c) by imposing additional charges that should have been avoided. *Id.*

Similarly, here Respondent communicated the rate for the additional container, prepared the invoice for the additional container charge, and collected payment for the additional container charges. Claim ¶III. Thus, even though the avoidable charges resulted from the movers' failure to load Claimants' cargo according to Respondent's surveyor's recommendation, "a common carrier may not 'immunize itself from the common carrier responsibilities placed upon it by the Act by dissociating itself from any of its agents' activities, which are brought into question.'" *Corpco Int'l*, 28 S.R.R. at 299 (quoting *Hellenic Lines, Ltd.-Violation of Sections 16 (First) and 17*, 7 F.M.C. 673, 676 (FMC 1964)). Accordingly, the Commission affirms the SCO's finding that Respondent is not entitled to payment for the additional 20-foot container and the accessorial charges for shipping the container.

2. Additional Charges Excluded by the Shipping Agreement

The Commission affirms in part and reverses in part the SCO's findings with respect to the additional charges Respondent passed through to the Claimants. The Commission has "permitted carriers to recover their additional expenses." *Imposition of Surcharge at U.S. Atlantic and Gulf Ports on Cargo Moving Between Said Ports and Lain Am. Ports.*, 10 F.M.C. 13, 26 (FMC 1966)(carriers increased costs over a reasonable period to the extent necessary to recoup their losses). The Commission also has maintained that "[t]he basic purpose behind surcharges such as those in issue here is to reimburse the carriers for additional costs temporarily incurred by the performance of their service, and which costs the carriers are not recovering through their basic

freight rates.” *Id.* (quoting *Surcharge on Cargo to Manila*, 8 F.M.C. 395, 399 (FMC 1965)). Thus, assessing pass-through charges with no markup is a just and reasonable practice, in accordance with § 41102(c). *Id.*

Both Shipping Agreements indisputably excluded certain surcharges and fees from the quoted rate. Even so, Respondent did publish in its rules tariff that “[a]ny Accessorial Charges [that] are assessed against the cargo will be for the account of the cargo, even if the Carrier is responsible for the collection thereof.” Respondent’s Rule 2.1. In consonance with its rules tariff, Respondent charged Claimants for the following fees that it incurred in connection with shipping Claimants’ cargo: U.S. terminal handling charges, fuel surcharge, local port fees, destination terminal handling charges, customs inspection fees, parking permit fee, elevator and additional floor fees. Respondent’s Response (attached exhibits). Of these charges, Respondent provided invoices for the local port fees, customs fees, parking permit, elevator fee, and additional floor fee. *Id.* These invoices demonstrate that Respondent assessed Claimants the same amount in charges as its destination agent assessed it, without any markup. *Id.* Therefore, the Commission affirms the finding of the SCO that Respondent is entitled to payment for the destination terminal handling charges and the additional floor fee, and also finds that Respondent is entitled to payment for the local port fees, customs fees, parking permit, and elevator fee because these were reasonable accessorial charges that Respondent passed through to the Claimants without any markup.

The SCO concluded that Respondent should not be reimbursed for the automobile and motorcycle customs inspection fees because they were for “unknown services” and Respondent provided invoices for these charges written in Dutch. SCO Decision at 15. Respondent did, however, provide corresponding invoices in English showing a customs inspection fee of 115 Euros for the automobile and 85 Euros for the motorcycle, for a total of 200 Euros (\$271). Respondent’s Response (attached exhibits). These fees appear to be reasonable pass-through fees. In addition, while customs inspections fees are excluded from the quoted price in the Shipping Agreement, Respondent did publish in its rules

tariff that any customs inspections fees would be passed through to the shipper. Respondent's Rule 2.3. Therefore, the Commission finds that Respondent is entitled to payment for the customs inspection fees.

As for the fuel surcharge and U.S. terminal handling charges, there are not enough facts in the record to determine whether these accessorial charges were reasonably assessed. While the SCO requested that Respondent provide supporting documentation for the charges, Respondent had a mere six weeks to obtain those invoices. Request for Supp. Info. at 3-4. We do not believe that Respondent had sufficient time to contact the vessel ocean common carrier and track down the exact amount of these charges. We also find error in the holding that Respondent must provide evidence of additional charges "or face a negative inference," as the SCO reasoned. SCO Decision at 13-14. The Commission has found that a carrier, under some circumstances, may recover reasonable charges it incurred without providing evidence that it incurred those charges. *C.H. Leavell & Co. v. Hellenic Lines, Ltd.*, 13 F.M.C. 76, 89 (FMC 1969). In *C.H. Leavell & Co.*, the Commission found that:

[R]espondent's showing of increased voyage distance and duration is sufficient to overcome any presumption of unreasonableness; and there is no basis for a finding that the surcharges assessed were unreasonable, in the absence of any proof of unreasonableness. On the contrary, the record supports a positive finding that the surcharges assessed for the extra services rendered to complainant's cargoes represented, in each case, a reasonable extra charge for such services.

Id.

Therefore, we remand the issue of whether Respondent's assessment of these charges was a just and reasonable practice. On remand, we recommend that the SCO request the invoices again. The invoices, however, are not the only indication of whether the charges were reasonable. *See id.* If the NVOCC is unable to produce the invoices, we recommend that the SCO look at other

factors such as whether the charges were similar to those assessed by other NVOCCs.

D. Reparations

Under 46 U.S.C. § 41305, the Commission “shall direct the payment of reparations to the complainant for actual injury caused by a violation of this part,” and “‘actual injury’ includes the loss of interest . . . compounded from the date of injury.” Claimant has the burden of proving entitlement to reparations. *See James J. Flanagan Shipping Corp. v. Lake Charles Harbor and Terminal Dist.*, 30 S.R.R. 8, 13 (FMC 2003). In particular, Claimant “must prove with ‘competent evidence’ that [he] sustained actual loss or injury and that the violation of law was the proximate cause of that loss or injury with ‘reasonable certainty.’” *Rose Int’l*, 29 S.R.R. at 187 (quoting *Cal. Shipping Lines*, 25 S.R.R. at 1230). Although the Commission will rely on reasonable estimations “when precise evidence measuring financial injury is unavailable because of the nature of the violation,” “alleged damages based on unreliable or speculative evidence are not allowed.” *Rose Int’l*, 29 S.R.R. at 187 (quoting *Adair*, 26 S.R.R. at 25) (internal quotation marks omitted).

Claimants seek reparations in the amount of \$44,000. Claim Form ¶ III, V. The SCO awarded Claimants \$17,847.21 in reparations, which is the difference between the \$40,262.46 Claimants paid Respondent and the \$22,415.25 the SCO found that Respondent was entitled to collect. SCO Decision at 19. The \$22,415.25 amount that the SCO found Respondent entitled to collect is comprised of the following amounts: (1) the quoted rate amount of \$17,575; (2) the insurance purchased by Claimants in the amount of \$3,665; (3) the destination terminal handling fees for which Respondent provided invoices in the amount of 494 Euros (\$671.94); and (4) the first additional floor fee in the amount of 375 Euros (\$503.31). *Id.* We find that Respondent is entitled to reimbursement of these charges and also find that Respondent is entitled to payment for the local port fees (\$898), the parking permit fee (\$369.47), and the elevator fee (\$803.13).

Respondent is also entitled to the customs fees given that Respondent provided invoices in English showing a customs inspection fee of 115 Euros for the automobile and 85 Euros for the motorcycle, for a total of 200 Euros (\$271). Respondent's Response (attached exhibits). Respondent also published in its rules tariff that any customs inspections fees would be passed through to the shipper. Respondent's Rule 2.3. As for local port fees, the parking permit fee, and the elevator fee, the SCO did not explain why Respondent was not entitled to these charges, for which it provided invoices that it incurred these charges and was passing them on to the Claimants, in accordance with its rules tariff.

The SCO properly denied \$3,000 in reparations for necessary living expenses and for damage to Claimants' household goods allegedly incurred because of the delay in the delivery of Claimants' cargo. SCO Decision at 17. As the SCO found, Respondent did not refuse to communicate with Claimants with respect to the delivery date, which was not a guaranteed date. SCO Decision at 17. Rather, Respondent timely responded to each of Claimants' inquiries. Moreover, a delay in shipping Claimants' belongings is not *per se* a violation of the Shipping Act. See *Meyan S.A. v. Int'l Frontier Forwarders*, 30 S.R.R. 1398, 1400 n.2 (FMC 2007) ("Previous cases have found a Shipping Act violation for prolonged delay only when additional factors are present, such as a pattern of deception."). Consequently, the Commission affirms the SCO's determination that Claimants are not entitled to recover \$3,000 "for necessary living expenses" allegedly incurred because of the delay in delivery. SCO Decision at 18.

Similarly, the Commission agrees with the SCO that Claimants are not entitled to reparations for Respondent alleged failure to register the motorcycle at Swiss customs because Claimants provided no evidence to support of this claim. *Brewer v. Maralan*, 29 S.R.R. 6, 10 (FMC 2001) ("A claim for reparations must be shown by competent evidence and with reasonably certainty."). Thus, the Commission affirms the SCO's dismissal of these claims.

Finally, the Commission remands the issue of the fuel surcharge and U.S. terminal handling charges to determine whether these charges were reasonable pass through charges assessed in accordance with Respondent's rules tariff.

III. CONCLUSION

For the reasons discussed above, the Commission affirms the SCO's determination that Respondent violated 46 U.S.C. § 41102(c), and the SCO's dismissal of Claimants' negligent misrepresentations, breach of contract, lost and damaged cargo, and conversion claims. Further, the Commission reverses the SCO's finding that Respondent is not entitled to payment for the local customs fees, parking permit fee, elevator fee, and customs inspection fees. Finally, the Commission remands the issue of the fuel surcharge and U.S. terminal handling charges to determine whether Respondent reasonably assessed these charges.

THEREFORE, IT IS ORDERED, That the SCO's Initial Decision is affirmed in part, and vacated and remanded in part.

IT IS FURTHER ORDERED, That the issue of the fuel surcharge and U.S. terminal handling charges is remanded to the SCO to determine whether Respondent reasonably assessed these charges.

By the Commission.

Rachel E. Dickon
Assistant Secretary

Commissioner Doyle, concurring, with whom Commissioner Maffei joins:

While I agree with the majority's decision to affirm the Small Claims Officer's (SCO's) determination that Respondent violated 46 U.S.C. § 41102(c) and with the majority's calculation of reparations owed to the Claimants, I write separately to stress the importance of customers fully understanding what costs are included and excluded from Negotiated Rate Arrangements (NRAs) and to emphasize that NVOCCs are responsible for making that information available to customers in a transparent way.

I. Background

Under federal law, entities that transport cargo by sea between the United States and a foreign country are required to list their rates, charges, rules, and practices for the trade routes they operate in a publicly-available tariff.

Tariffs itemize all rates, charges, classifications, rules, and practices for a carrier's services on all the transportation routes it operates. For example, a rule could list what additional surcharges or accessorial charges are passed through to the customer. Carriers must make those tariffs publicly available through online systems in accordance with 46 C.F.R. § 520.3 and the Federal Maritime Commission reviews and monitors the accessibility and accuracy of that information under the authority of 46 C.F.R. § 520.10. Carriers' responsibility for make tariffs available to the public, and the Commission's work in verifying compliance, helps to ensure that carriers do not operate in a discriminatory manner because the services they operate on specified routes are transparent and standardized.

Additionally, there is an exception to the tariff requirement that allows Non-Vessel Operating Common Carrier (NVOCCs) that are properly licensed with the Commission and maintain proof of financial responsibility to utilize NRAs. 46 C.F.R. § 532.2 (2013).

An NRA is a written agreement between the customer shipping his/her goods and the NVOCC. In many ways, an NRA is more “personalized” than a tariff because it is an agreement to provide a specific transportation service for a specific cargo from one location to another. For example, a person moving overseas could enter into an NRA with an NVOCC to transport his/her household furnishings and vehicle to a foreign country. If the NRA was for a door-to-door service, the NVOCC would be responsible for packaging the goods, arranging for their transport overseas, and then delivering the goods to the person’s new home—all for a price that was determined between the person and the NVOCC before the NRA was signed.

Importantly, NRAs must (1) be in writing, (2) contain the names of the parties and the names of the representatives agreeing to the NRA, (3) be agreed to by both the person shipping goods and the NVOCC before the common carrier takes receipt of those goods, and (4) clearly specify the rate and the shipment(s) that the rate applies to. 46 C.F.R. § 532.5 (2012). NRAs also cannot be changed once transportation of the goods has begun. *Id.* The entire process is meant to provide individuals with a clear, up-front price for the transportation of goods and to protect individuals from unforeseen price changes and other shipping mishaps.

However, the price agreed to in an NRA may not always be the full price that consumers pay to have their goods shipped. NRAs can exclude numerous charges that could include customs fees, storage fees, and other miscellaneous port charges.

II. Application

This case provides a cautionary tale to consumers that arrange for transport of goods under an NRA. Here, the Claimants signed the Shipping Agreement to lock in a quoted price of \$17,575.00 to transport their personal effects, car, and motorcycle from Virginia to Switzerland. That Agreement, meeting the basic requirements of an NRA, provided door-to-door service from disassembly of items at the Claimants’ Arlington home to delivery, unloading, and re-assembly in their Geneva residence.

Although this is an informal proceeding, the case provides the Commission with its first opportunity to interpret and clarify the rules relating to NRAs since they came into effect in April 2011. In relation to what costs are included and excluded from an NRA, one of the five requirements of NRAs states that an NRA must “[c]learly specify the rate and the shipment or shipments to which such rate will apply.” 46 C.F.R. § 532.5(d) (2012). Rate is then further defined to mean “a price stated for providing a specified level of transportation service for a stated cargo quantity...” 46 C.F.R. § 532.2(b) (2011). Taken together, an NVOCC must specify what services are included in the specified price.

This point is made even clearer in the text of the NRA final rule published in the Federal Register. In addressing comments filed regarding the meaning of “rate,” the Commission clarified:

“The Commission believes that NVOCCs and their shipper customers should have flexibility in structuring NRAs. As is the case with respect to tariff rates, the rate stated in an NRA may specify the inclusion of all charges (an “all-in” rate) or specify the inclusion of only certain accessorial or surcharges. Without specifying otherwise, the NRA would only replace the base ocean freight rate or published tariff rate. If the rate contained in an NRA is not an all-in rate, the NRA must specify which surcharges and accessorial from the rules tariff will apply.”

76 Fed. Reg. 11351, 11354 (Mar. 2, 2011).

The flexible nature of an NRA means that a wide range of services can be included or excluded in the specified rate. That flexibility is meant to provide a wider range of service options for customers and a more simplistic business practice for NVOCCs. NRAs cannot be used as an opaque method of hiding additional surcharges and fees. The Commission’s statements in the final rule are clear, “[i]f the rate contained in an NRA is not an all-in rate, the NRA

must specify which surcharges and accessorials from the rules tariff will apply.” *Id.*

III. Conclusion

In this case, the Claimants signed an NRA that excluded fifteen types of charges from the initial, quoted price of \$17,575.00. Those excluded charges could total more than \$5,000.00 once the remaining issues of fuel surcharges and U.S. terminal handling charges are determined on remand. While there is no indication that the Claimants were unaware of the excluded charges, \$5,000.00 represents a significant additional cost. To that end, I reiterate that customers must be made aware of what charges are included and excluded from the rate presented to them in an NRA, and that NVOCCs bear the responsibility of making that distinction clear and transparent.

Commissioner Maffei, concurring, with whom Commissioner Doyle joins:

Many of the issues dealt within the case, in particular the interpretation of 46 U.S.C. § 41102(c) had been dealt with previously by the Commission in prior cases. Because this is my first case involving these issues and wanting to give due respect to the well-researched minority view, I feel an obligation to explain why my view on the interpretation of § 41102(c) differs from that of the minority and why I vote with the majority in this case.

Minority Dissent

The minority disagrees with the majority decision because, under its interpretation of § 41102(c), the Respondent – an ocean transportation intermediary or OTI – did not violate the Shipping Act (at least not the part of it at issue here) and therefore the appropriate venue for the Claimants to seek reparations would be by filing a civil suit in court.

While I basically share with the minority the view that the Federal Maritime Commission (FMC) should not become a court of general claims against the wishes of Congress, and I will discuss this later, I cannot agree with the interpretation of § 41102(c) that exonerates the Respondent from violating the Shipping Act of 1984 (Shipping Act). Section 41102 (c) of the Shipping Act states:

(c) Practices in Handling Property ---

A common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.

In order for the minority's interpretation to be true, and for the Respondent's actions in this case to not have been a violation, one or more of the following must be true:

- (1.) Either the actions by the Respondent did not indicate a failure "to establish, observe, and enforce . . ." because

Congress intended to indicate that the entity must fail at all three simultaneously in order to trigger a violation;

- (2.) The individual common use meanings of the words “observe” and “enforce” are irrelevant because the phrase “establish, observe and enforce” is a “triplet” that has its own meaning in the context intended by Congress. Along with the utilization of the term “practices” in this context, “establish, observe and enforce” cannot possibly apply to an action perpetrated on a single occasion but only to patterns of behavior; and/or
- (3.) The actions by the Respondent were not inconsistent with “just and reasonable” regulations and practices because “just and reasonable” in this instance has a specific commercial meaning intended by Congress which excludes the Respondent’s actions.

Later, I will discuss why I favor employing the ordinary meaning of the phrase “establish, observe, and enforce” rather than utilizing alleged Congressional intent to interpret the phrase’s meaning. Before that, I will go through the specific phrasing to indicate how I believe my reasoning differs from that of the minority.

Interpreting an Awkward Phrase

The first disagreement between the majority and minority that I will address is whether the Respondent’s actions demonstrated a failure “to establish, observe and enforce” because the “and” following the awkward phrase “may not fail” was meant by Congress to indicate that only and unless all three (establish, observe, and enforce) all together were not done is there a violation.

The minority states that the majority says “Congress really meant to use the disjunctive ‘establish, observe, *or* enforce’ rather than the actual conjunctive language as enacted in the statute. *See*

infra p. 30. It is true that one could restate my reading of the meaning of the phrase using disjunctive language as follows: "[An OTI] may not fail to establish *or* fail to observe *or* fail to enforce . . ." However, it can be restated in conjunctive language as well as: "[An OTI] may not fail to establish *and* may not fail to observe *and* may not fail to enforce . . ." The minority apparently believes that the "and" applies to the sentence differently and that the meaning is: "[An OTI] may not fail to establish *and* fail to observe *and* fail to enforce . . ."

The "may not fail" phrase is awkward usage precisely because it gives the sentence two possible meanings, either of which could be correct. In order to know what the sentence means, we have to look at the context. Under one interpretation, an OTI may not lawfully simultaneously fail to do all three ("establish, observe and enforce"), but may fail to do any one of the three or even two of the three and escape legal sanction. For example, an OTI that establishes reasonable practices may fail to observe and enforce them without violating § 41102(c). In this instance, practices such as tariffs could be adopted by a company's executives and published (therefore, "establish" is fulfilled) and then seldom followed (that is not "observed"). In my view, it is extremely unlikely that Congress would have intended to instruct an entity to set forth rules and then ignore those rules in practice. In context, that meaning for the sentence makes no sense.

On the other hand, it makes perfect sense that Congress would want to compel OTIs and other entities to create a set of rules, obey those rules once created, and enforce them. Therefore, I believe the intended meaning of the sentence is that the entity may not fail to do *any* of the three and that the awkward "may not fail" construction was not explicitly chosen by Congress as a way to grant the option of failing one or two conditions.

Application to Single Instances

As the minority argument proceeds, it becomes clear that the minority does not view "establish, observe and enforce" as three separate types of action but that it sees the phrase "establish, observe, and enforce" as indicative of a legislative style of listing

two or three words which together mean one concept – *i.e.*, doublets or triplets. If this is the case, then my breaking the phrase into the three words that comprise it misunderstands its meaning. Or, as the minority states, if the phrase “is given a common sense construction that has survived since 1910 without question or assault, then the majority’s position collapses.” *See infra* p.88.

The minority indicates that the appearance of this so-called common sense construction, along with word “practices” (juxtaposed to the term “regulations”) implies that an individual instance of any behavior alone cannot violate § 41102(c). The minority says that, given its context here, “practice ... means the business rules, protocols, and methods utilized by the regulated entity and flows toward the cargo shipper.” Further, the minority says “[t]he practice must be the Normal, Customary, & Continuous method of conducting business with the cargo shipper.” *See infra* p. 34. According to the minority, only a pattern of action over time can be considered “practices.” In the minority’s view, since “practices” are a set of behaviors and “establish, observe and enforce” is a triplet basically meaning establish or set forth, one cannot possibly fail to “establish, observe and enforce . . . practices” on one occasion. The practices are either there over time or not there – not established, observed, or enforced – at all. Therefore, an OTI could not possibly violate § 41102(c) unless its “Normal, Customary, & Continuous method of conducting business” either was never put forth by the OTI or was not just and reasonable. *See infra* p. 34.

I have no argument with the minority’s assertion that “practices” is meant to denote a standard of requirements and prohibitions that apply in different ways to multiple situations. However, my reading of the history is that the minority’s interpretation of the phrase “establish, observe, and enforce” could not have been a “common sense” construction, even in 1910, because the three words are not and have never been synonymous the same way that most legalese triplets are. Observe comes from the Old French verbs *observer* and *osservare* meaning “to watch over, follow.” Online Etymology Dictionary, available at: http://www.etymonline.com/index.php?allowed_in_frame=0&search=observe (last visited on Aug. 31, 2016). That meaning is

consistent with the idea that one instance can indicate a failure to "observe" just as one crime indicates a failure to follow the law. It is a distinctly different requirement than "establish" which only refers to a pattern of actions over time. For example, if pulled over by a traffic patrol, one cannot argue out of a ticket by saying he *observed* the speed limit because he *established* a pattern of not speeding but, in this single instance, he was driving 95 miles per hour. Similarly, a person cannot honestly say he *observed* the commandments if he committed adultery on one occasion even if he does not make a habit of it. *One instance* of failing to observe is a "failure to observe." It makes no difference if it's speeding laws, the Ten Commandments, or the Shipping Act. In my view, a single instance that is inconsistent with "just and reasonable . . . practices" does constitute a failure to "establish, observe, and enforce" and thus violates § 41102(c).

Meaning of "Just and Reasonable"

The minority contends that the Respondent's actions are not inconsistent with "just and reasonable regulations and practices" because the words "just and reasonable" have a particular meaning that applies to maritime matters. The minority cites *Investigation of Certain Practices of Stockton Elevators*, 3 S.R.R. 605, 618 (FMC 1964), and quotes it as looking at "just and reasonable" as having to do with whether an action "deterred the commerce of the United States." It appears that the minority sees "just and reasonable" in this context as a purely commercial condition.

My view is that Congress' use of the term "unjust" would be very odd indeed if it was limited purely to the effect on the overall commerce of the United States or even commercial concerns generally. In every context I have seen, "unjust" applies when individuals or groups have been wronged in any way. Even in *Stockton*, I believe the Commission mentioned "[t]he commerce of the United States was not deterred" as one example of just and reasonable. *Id.* But later it lists another: "[n]o one was denied anything, prejudiced, disadvantaged, or discriminated against in any way." *Id.* at 201. Even in the precedent cited by the minority, the concepts of just and reasonable can be read to mean what they

commonly mean.

However, even using the minority-cited definition, the action of the Respondent could be said to “deter the commerce of the United States” by misstating the actual price of the move and, therefore, preventing the Claimants from considering other OTIs who might have packed and moved the cargo at a lower price. The OTI eventually chosen might have gotten the business and conducted it in a way fully consistent with the Shipping Act. In effect, by changing the terms under which the Claimants’ goods were shipped, and therefore misrepresenting the price of carrying a shipment, the OTI altered the market, which clearly falls under any definition of “unreasonable” that the Federal Maritime Commission would apply.

Clearly changing a price in mid-move is a concern of the Commission. If a tariff changes while a vessel is at sea and the new tariff applied to cargo already at sea, then clearly it would be a violation of the statutorily-required practice of providing 30-day notice for any increase in the published tariff rate. 46 U.S.C. § 40501(e)(1). In this case the negotiated rate agreement (NRA) takes the place of a published tariff. The Respondent agreed to move the Claimants’ property for a certain price and then increased the price to move the same goods, after the agreement was made and receipt of the shipment. Had the price shown to the Claimants reflected, for example, the need for a second 20-foot container, they may have chosen a different OTI.

Why Congressional Intent Should Not Be Relied Upon

The minority disagrees with my interpretation of § 41102(c) and argues that the phrase “establish, observe, and enforce just and reasonable regulations and practices” goes back to the Shipping Act of 1916⁶ and along with the word “practices” is used in a context that “stands in clear and unambiguous opposition” to the majority view. As pointed out by the minority, the Supreme Court in *Chevron U.S.A., Inc. v. Natural Resources Defense Council, Inc.*, 467 U.S. 837 (1984), has directed lower courts and federal agencies to “give effect to the unambiguously

⁶ The Shipping Act of 1916, Sept. 7, 1916, Ch. 451, 39 Stat. 728.

expressed intent of Congress” as concerns the statute, which the agency administers. *Id.* at 843-844.

The minority argument is thoroughly researched and few doubt its rigor. Nonetheless, there are several reasons why an honest and rational reader could interpret the Congressional intent differently from the minority. Together, they demonstrate that, if the intent exists, it is neither clear nor unambiguously expressed and thus the first directive of the *Chevron* case does not apply.

First, the mere fact of a clause used long ago being transplanted to more recent legislation does not *necessarily* mean the legislative intent from when it was originally written goes with it. The minority points out that Justice Anthony Kennedy has written, “[W]hen administrative and judicial interpretations have settled the meaning of an existing statutory provision, repetition of the same language in a new statute indicates, as a general matter, the intent to incorporate its administrative and judicial interpretations as well.” *Bragdon v. Abbott*, 524 U.S. 624, 645 (1998). However, notwithstanding the articulate interpretations of the minority, I am not convinced that the cases cited by the minority have “settled the meaning” of this provision. *Id.* And, even if they had, Justice Kennedy indicates that the intent only travels with the original language “as a general matter.” *Id.*

In this case, we are dealing with a phrase that was already 68 years old in 1984. Unlike the context of the *Bragdon* case, the interpretations of the FMC and courts, even if true, were certainly not well known. *Id.* The opinion in *Bragdon* asserts that “Congress was well aware of the position taken by . . .” the administrative agency implementing the prior legislation. *Id.* In this case, it is highly unlikely that more than a few Members of Congress had any idea of how the 1916 language might have been interpreted in the handful of cases the minority cites.

In reality, clauses such as the one in § 41102(c) are lifted from prior legislation all the time and then read by contemporaneous Members of Congress who do not know the originally intended meaning. Therefore, a legislative counsel employing the same or similar language in a new law does not

necessarily indicate the congressional intent was the same as when that original language was written.

Second, for intent to be seen as unambiguous, it must not require such a complex argument relying in some places on an interpretation of an interpretation of Congressional intent. The use of so many sources makes the minority argument more elaborate, but it does not change the fact that it is quite plausible that some of these interpretations by courts, prior commissions, or other observers may be wrong or that the minority's interpretations of those sources may be wrong. In the end, perhaps they are all correct in ascertaining the true legislative intent. But that does not mean we have achieved the "clear" and "unambiguous" standard set forth in *Chevron*.

Third, I assert that for intent to be considered unambiguous, it must be far more readily understandable to citizenry. The minority laid out the extensive requirements for ascertaining Congress' intent:

In order to understand the fundamental error of the majority's interpretation of § 41102(c) in this and other recent cases, one must take an in-depth journey into the history of the early railroad industry and the steam ship cartels and conferences . . . Then one must consider the development of the Interstate Commerce Act of 1887 (ICA), the 1916 Act, and the 1984 Act. Finally, one must understand the history of reviewing court decisions and the transportation deregulation movement in the late 1970s and 1980s.

See infra p. 29.

The substantial historical research and detailed arguments presented in the minority opinion should not be dismissed outright – they may indeed be completely sound analysis of the drafter's intent. However, the reader should not have to become a legal scholar or congressional historian in order to divine legislative intent if that intent had been *clear* and *unambiguously* expressed. This is particularly true since most Members of Congress now and

in the past have not had these backgrounds. If, as the minority seems to argue, definitions of words such as “practices,” “observe” and “just” mean something different from what they mean in everyday modern usage and require knowledge of the particular maritime commerce context to understand, then many members at the time of enactment of an act such as the Shipping Act of 1984 would not have sufficient background to understand those meanings either.

Herein lies a key problem with complex Congressional intent arguments such as that of the minority. The arguer ends up asserting that, notwithstanding the often likely possibility that most members of Congress did not know the drafter’s intent in using a particular arcane phrase, the drafter’s intent is the congressional intent. Or, to put it another way, the Members of Congress that passed an act do not necessarily intend the congressional intent. That makes no sense.

Finally, legislative intent is often ambiguous because of the deliberative process itself. The minority asserts that the majority’s opinion leads to a conundrum:

Congress intended, and in fact did reduce the
Commission’s statutory authority by repealing part B . . .
However, with the very same stroke of the legislative pen,
Congress intended to significantly increase the
Commission’s statutory authority, scope, and reach in part
A . . . Such a conclusion lacks any foundation and is
beyond quizzical – it is implausible.

See infra p. 63.

Whether or not the majority opinion leads to this conclusion is debatable. But even if it does, the situation of Congress reducing an agency’s authority in one section and increasing it in another is not only plausible, it is often part and parcel of the legislative process. As recently as the Dodd–Frank Wall Street Reform and Consumer Protection Act, Congress can be seen to grant new authority to departments and agencies while simultaneously narrowing other authorities. Wall Street Reform

and Consumer Protection Act, Pub. L. No. 111-203, 124 Stat. 1376 (codified in relevant part at 12 U.S.C. § 5301, §§ 5481-5603). An example in the maritime law arena is seen in the Ocean Shipping Reform Act of 1998 (OSRA), Pub. L. 105-258, 112 Stat. 1902 (1998). Congress decided to require NVOCCs in the United States obtain a license, and required them to publish their tariff, and increased their financial responsibility. At the same time, as the minority mentions, Congress did deregulate portions of the transportation industry. *Id. See also, In the matter of the lawfulness of unlicensed persons acting as agents for licensed ocean transportation intermediaries - petition for declaratory order* 2008 FMC LEXIS 9, at *7-8 (FMC 2008).

In many cases, some members of the majority that passed an act may have consented to the removal of some powers in that act only because others were added in another section. Political Scientists Matthew D. McCubbins and Terry Sullivan have even found a pattern of Congress doing this under certain circumstances:

We are suggesting that with greater uncertainty and greater conflict there is a stronger incentive for Congress to pass the hot potato to the agency by broadening the scope and instruments of delegated authority. But, while passing on the hot potato, there is no need to send over a loose cannon. With one hand, Congress broadens the scope and instruments; with the other, Congress tightens the procedural requirements. What Congress gives with one hand, Congress takes away with the other.

Matthew D. McCubbins, *The Congressional Foundations of Agency Performance*, Public Choice, vol. 51, issue 2, pages 173-190 (1986). We cannot make assumptions about Congressional intent as if Congress always acts as unified single entity and not as a deliberative body. That's one of the reasons why Congressional intent arguments have to stick to "clear" and "unambiguous" intent if they are to have any validity at all.

The minority, in claiming that the intent it alleges is not only correct but should be considered "unambiguous," cites a

ruling by the U.S. Court of Appeals for the District of Columbia Circuit that says a court reviewing a regulation "must first exhaust the 'traditional tools of statutory construction' to determine whether Congress has spoken to the precise question at issue." *Bell Atl. Tel. Cos. v. FCC*, 131 F.3d 1044 (D.C. Cir. 1997). The minority stresses the word "exhaust" in the quote presumably interpreting the Court's directive as requiring an *exhaustive* search for the Congressional intent.

However, the Court in the *Bell Atlantic* case cites "traditional tools of statutory construction" and, in the context of the case, it becomes clear that the Court does not mean to imply that determining Congressional intent would often require a long and complex argument delving not merely into legislative history but the hundred-year history of a particular industry. On the contrary, the Court stated, "(t)his inquiry using traditional tools of construction may be characterized as a search for the plain meaning of the statute." *Id.* It meant to stress that, if Congress did speak clearly to the particular question at issue in a statute's "text, legislative history, and structure" than an agency cannot ignore that particular intent in its implementation of the statute.

Rather than simply reading the text in its own context and considering the basic reasons why Congress passed a Shipping Act containing it, the minority launches into a complex history of the clause and the shipping industry going back to the late nineteenth century. The context the minority insists is correct requires the reader to become an expert in both turn-of-the-century maritime law and a plethora of cases and rulings about subjects that do not involve ocean shipping or relate to the maritime industry, which the minority claims provide precedents in support of its interpretation. Once privy to this background, the minority argues that the reader will see the phrase as meaning something different than what the vast majority of people would say it means if they came upon it without such detailed analysis. To me, if the Commission were to adopt the minority view, we would be refusing to enforce the plain *letter* of the law based on a subjective and complex assessment of what the *spirit* of the law is.

Because of all of the problems inherent in determining Congressional intent, courts usually look to intent only when the language of the text is difficult to comprehend. In this case, however, the language in § 41102(c) makes sense in modern English and would be interpreted by most readers in the way the majority is interpreting it. The language is clear even while the intent may not be. In cases like this, we must place common meaning ahead of alleged Congressional intent. Justice Antonin Scalia wrote, "Judges interpret laws rather than reconstruct legislators' intentions. Where the language of those laws is clear, we are not free to replace it with an unenacted legislative intent." *INS v. Cardoza-Fonseca*, 480 U.S. 421, 452-53 (1987) (Scalia, J., concurring).

A New Precedent?

As the majority points out, the majority interpretation of § 41102(c) has existed since the *Adair* case. See *William R. Adair v. Penn-Nordic Lines, Inc.*, 26 S.R.R. 11 (ALJ 1991). Perhaps that case started a major new precedent in interpreting this language or perhaps few prior occasions came up that involved this employing the clause in the case of a single violation. In any event, one might have expected that if the interpretation used was inconsistent with *clear and unambiguous* Congressional intent that, in the years since, either Congress or the courts would have set the Commission straight. On the contrary, in the one court case available, the Court of Appeals for the Second Circuit specifically did not take issue with the majority's interpretation:

We need not decide whether § 10(d)(1) extends to singular instances of misconduct because even if, as Chief Cargo asserts, something more is implicit in the Act's reference to "practices," under *Chevron* we must defer to the FMC's determination that Chief Cargo's misconduct here, involving multiple similar acts within a short time frame, constituted such a "practice." At the first *Chevron* step, we identify ambiguity in the phrase "just and reasonable regulations and practices," which is not defined in the Act. (cite omitted) At the second *Chevron* step, we defer to the FMC's conclusion that Chief Cargo's repeated failures

constituted “an unjust and unreasonable practice.” (cite omitted)

Chief Cargo Services, Inc. v. Fed. Mar. Comm’n, 586 F. App’x 730 (2d Cir. 2014) (emphasis added).

FMC should not become a “Court of Common Pleas”

I do believe the minority makes an important point in writing:

The practical effect of the majority position is the Federal Maritime Commission becomes a court of common pleas for all such state and federal claims and common law causes of action with new and sweeping jurisdiction over judicial matters that Congress never intended, much less authorized by enactment of the 1984 act.

See infra p. 31. For my part, I do not believe that the majority position has this effect specifically because it affirms the dismissal of Claimants’ negligent representation, breach of contract, lost and damaged cargo, and conversion claims. That said, there are examples of past instances when FMC Administrative Law Judges have ruled in favor of claims that seem to have little to do with the Shipping Act other than that they are “unjust or unreasonable” in a general sense.

To prevent the Commission from overstepping its jurisdiction, it must carefully stick to the Shipping Act and, if a violation of that Act is found, only grant reparations based on the violation of the Act and not any other extenuating circumstances.

I hope the fact that so many of the Claimant’s assertions were rejected out of hand as not falling under the Commission’s jurisdiction as well as the relatively low award amount given the potential liability were this matter brought to civil court, will encourage those who have been wronged in breach of contract cases to seek remedies from civil courts rather than from the Federal Maritime Commission. The Commission has the capacity to offer remedies but only with respect to violations of the

Gruenberg-Reisner v. Respondent Moving Specialists, Inc. 37

Shipping Act and, even then, other avenues of negotiation and compromise should be utilized before potential complainants bring cases before the Commission.

Commissioner Khouri, concurring in part and dissenting in part, with whom Commissioner Dye joins:

I concur in the majority's decision to affirm the Small Claims Officer's (SCO) Decision dismissing Claimants' claims of negligent representation, breach of contract, lost and damaged cargo, and conversion. I concur in the majority's reversal of the SCO's findings that Overseas was not entitled to payment for certain published charges. I concur with the majority's decision to remand the issue of terminal handling fees and the fuel charges to the SCO. I respectfully dissent, however, from the majority's decision to affirm the SCO's determination that Overseas violated 46 U.S.C. § 41102(c) of the Shipping Act of 1984 (1984 Act) and awarding reparations to Claimants.

I. SUMMARY

As noted in Section I. A. (Factual Background) of the majority's opinion, this matter involves a Shipping Agreement between Claimants Salomon and Jasmin Gruenberg-Reisner and Respondent Overseas Moving Specialists, Inc. (Overseas), a non-vessel-operating common carrier (NVOCC), for the shipment of Claimants' household goods, a car, and a motorcycle from Arlington, Virginia, to Geneva, Switzerland. In addition to the rate, the Shipping Agreement included a number of service commitments by the Respondent and a number of exclusions for both services and charges from what was covered by the agreement. Respondent also maintained a public rules tariff with applicable provisions. As detailed by the majority in the Factual Background, during the loading of Claimants' possessions Respondent determined that an additional container was necessary in addition to what was called for in the physical survey and provided for in the original Shipping Agreement, resulting in a second Shipping Agreement with charges for an additional 20 foot container not included in the original agreement. Following the payment of these additional fees and charges to Respondent, Claimants' good were delivered to Claimants. Claimants filed this action with the Commission, alleging that Respondent violated 46 U.S.C. § 41102(c) of the Shipping Act of 1984 (1984 Act) and seeking reparations to Claimants. Claimants also seeks reparations

for breach of contract, negligent representation, and lost and damaged goods claims, and conversion.

In the Decision of June 30, 2015, the SCO dismissed Claimants' negligent representation and breach of contract, conversion, and loss and damage of cargo claims. The SCO found that the Respondent violated 46 U.S.C. § 41102(c) by forcing Claimants to pay more than double the contracted moving charges and refusing to deliver Claimants' goods unless the additional charges were paid. The SCO also determined that Respondent was not entitled to certain enumerated charges and services. The SCO awarded Claimants reparations in the amount of \$17,847.21. The evidence in the record does not indicate that the Respondent's alleged failure was anything more than a single isolated and inadvertent act or omission in the performance of this one Shipping Agreement. There is no evidence in the record whatsoever that Overseas' failure was pursuant to normal "regulations or practices" of the NVOCC. Notwithstanding, based on the facts presented, the majority affirmed the SCO's finding that Overseas failed to observe and enforce just and reasonable practices in violation of § 41102(c).

II. 46 U.S.C. § 41102(c) / Section 10(d)(1)

In the case *sub judice*, the majority continues to perpetuate an interpretation of § 41102(c) of the 1984 Act that runs afoul of numerous traditional tools and canons of statutory construction. My disagreement with the majority's interpretation of § 41102(c) is longstanding, thus I adopt and fully incorporate herein the views, arguments and reasoning regarding the Commission's erroneous interpretation of § 41102(c) set forth in multiple dissents.⁷

⁷ *Yakov Kobel v. Hapag-Lloyd A.G.*, 32 S.R.R. 1720 (FMC 2013) ("Kobel Remand Order"); *Bimsha International v. Chief Cargo Services, Inc.*, 32 S.R.R. 1861 (FMC 2013) ("Bimsha"); *Smart Garments v. Worldlink Logix Services, Inc.*, 33 S.R.R. 65 (FMC 2013); *Temple v. Anderson*, Docket No. 1919(I), 33 S.R.R. 708 (FMC October 22, 2013) (Order vacating and remanding decision of Settlement Officer); *Petra Pet, Inc., v. Panda Logistics Ltd.*, 33 S.R.R. 4 (FMC 2013); *Best Way USA, Inc. v. Marine Transport Logistics*, 33 S.R.R. 13 (FMC 2013); *Century Metal Recycling Pvt. Ltd., v. Dacon Logistics LLC*, 33 S.R.R. 17 (FMC 2013); *Sulaiman Bah v. Amadu K. Jah*, Docket No. 1915(I), 33 S.R.R.

The majority contends in the case *sub judice* that, “[t]he Commission has recently reviewed many § 41102(c) cases. The Commission has recognized in numerous decisions that NVOCCs or freight forwarders violate § 41102(c) when they fail to fulfill NVOCC or freight forwarder obligations, through single or multiple actions or omissions, and thereby fail to establish, observe, and enforce just and reasonable regulations and practices. (cites omitted).” While the difference between the majority restatement and the original statutory language may appear to be subtle and inconsequential, the majority’s reformulation entirely changes the original purpose and intention of § 41102(c) of the 1984 Act. As discussed below, Congress used the word “practice” and the full phrase, “establish, observe, and enforce just and reasonable regulations and practices,” in the original 1916 Shipping Act (1916 Act),⁸ and as now found in § 41102(c), in a particular way and in a context that stands in clear and unambiguous opposition to the Commission’s current construction and application of the section. With respect to the number of cases cited by the majority in support of its interpretation, the majority’s repetition in reaffirming an erroneous statutory interpretation in no way transmutes its legal error into a correct interpretation of this section of the 1984 Act.

As I noted in the *Yakov Kobel* (“*Kobel Order Affirming*

726 (FMC 2013); *Shekinah International Mission, Inc. v. Sefco Export Management Company, Inc.*, *World Cargo Transport, Inc.*, *Eagle Systems, Inc.*, and *Zim Integrated Shipping Ltd.*, Docket No. 1914(I), 33 S.R.R. 733 (FMC 2013); *Adebisi Adenariwo v. BPD International, Zim Integrated Shipping, Ltd. And its Agent (Lansal) et al.*, Docket No. 1921(I), 33 S.R.R. 223 (FMC 2014); *Michael Anad Styer v. Online Shipping Advisers*, Docket No. 1863(I), 33 S.R.R. 536 (FMC 2014); *Geo Machinery FZE v. Watercraft Mix, Inc.*, Docket No. 1935(I), 33 S.R.R. 329 (FMC 2014); *Medisend International, Inc. v. TJD International, Inc.*, Docket No. 1936(I), 33 S.R.R. 492 (FMC 2014), *Bai Koroma et al. v. Global Freightways (USA Ltd. Et al.*, 33 S.R.R. 624 (FMC 2013), *Yakov Kobel v. Hapag-Lloyd A.G.*, No. 10-06, 2015 FMC, Lexis 699, (“*Kobel Order Affirming Remand Initial Decision*”), *Auto 1 Pay v. Heavy Haulers*, __ S.R.R. __ (FMC 2015), *Tarazona v. MH Int’l Freight Services*, 33 S.R.R. 1119 (FMC 2015), *Toussaint v. K.O.V. Shipping Express Cargo*, 33 S.R.R. 1163, (FMC 2015), *Orolugagbe V. A.T.I., U.S.A., Inc.*, 33 S.R.R. 1367, (FMC 2015), and *Abusetta D/B/A/ Sammy’s Auto Sales v. Jax Auto Shipping, Inc. and Marine Transport Logistics, Inc.*, __ S.R.R. __ (FMC 2015).

⁸ The Shipping Act of 1916, Sept. 7, 1916, Ch. 451, 39 Stat. 728.

Remand Initial Decision”), the U.S. Supreme Court in *Chevron U.S.A., Inc. v. Natural Resources Defense Council, Inc.*, 467 U.S. 837 (1984), directed lower courts and federal agencies to “give effect to the unambiguously expressed intent of Congress” as concerns the statute which the agency administers. *Id.* at 843. In *Natural Resources Defense Council v. Browner*, 57 F.3d 1122 (D.C. Cir. 1995), the U.S. Court of Appeals for the District of Columbia Circuit directed federal agencies to “exhaust the traditional tools of statutory construction” and interpretation as each agency searches for, examines, analyzes, and discusses – for the benefit of the regulated community and the public at large – the agency’s findings as regards the intent of Congress and the statute which the agency administers. *Id.* at 1125. In *Loving v. IRS*, 742 F.3d 1013 (D.C. Cir. 2014), the D.C. Circuit held that, in determining whether a statute is ambiguous and in ultimately determining whether the agencies interpretation is permissible or instead is foreclosed by statute, we must employ all the tools of statutory interpretation. *Id.* at 1016.

As the 1916 Act and other statutes contemporaneous with the enactment of the 1916 Act clearly demonstrate, Congress knew *exactly* what it was doing in using the phrase “establish, observe, and enforce just and reasonable regulations and practices” - and what those words meant. Notwithstanding the efforts of the Commission to doggedly portray the phrase and the term “practice” as ambiguous, this statutory language was not ambiguous when enacted by Congress and is not ambiguous now for anyone willing to fairly utilize established tools and canons of interpretation to delve into the statute’s purpose, text, legislative history, established judicial interpretation, and structure.

In the case *sub judice*, as in other cases, the Commission fails (i) to properly engage in a full *Chevron* Step One examination and (ii) to give effect to the expressed intent of Congress in enacting § 41102(c) of the Shipping Act. Ultimately, the Commission’s acts, judgments and orders of award of reparations in this case are *ultra vires*.⁹ These views are supported by the

⁹ See *City of Arlington v. FCC*, 133 S. Ct. 1863, 1869 (2013). “Both their (agencies charged with administering congressional statutes) power to act and

discussion, analysis and reasoning set forth below.

A. MAJORITY POSITION

In order to understand the fundamental error of the majority's interpretation of § 41102(c) in this and other recent cases, one must take an in-depth journey into the history of the early railroad industry and the steam ship cartels and conferences that, together, dominated U.S. domestic land transportation and foreign borne ocean transportation at the turn of the 20th century. Then one must consider the development of the Interstate Commerce Act of 1887 (ICA)¹⁰, the 1916 Act, and the 1984 Act. Finally, one must understand the history of reviewing court decisions and the transportation deregulation movement in the late 1970s and 1980s. It is a journey that the majority has repeatedly eschewed. So, to once more set sail.

The Commission's current interpretation of the term "practices," as Congress used such term in § 41102(c) of the 1984 Act, now means any and all commercial and industry requirements and proscriptions as established by courts and legislatures including the common law of agency, contracts, torts, and admiralty among others; all state laws, and all federal statutes together with accompanying regulations; for example, the Carriage of Goods by Sea Act (COGSA), Title 46 United States Code §§ 1300-1315, and the Federal Bills of Lading Act, Title 49 United States Code sections 80101-80116.

Rendered down to its essence, the majority's position is that all federal and state laws and regulations together with all common law jurisprudence, including the common law of agency, admiralty, contracts, torts and similar sources of common law duties that in any way relate to or have some connection with the business relationships between vessel common carriers, ocean transportation intermediaries, or marine terminal operators on one

how they are to act is authoritatively prescribed by Congress, so that when they act improperly, no less than when they act beyond their jurisdiction, what they do is *ultra vires*."

¹⁰ The Interstate Commerce Act of 1887, Ch. 104, 24 Stat. 379 (1887).

hand and the shipping public on the other and regarding the receiving, handling, storing, or delivering of property, are individually and collectively regulations and *practices* that are, by definition, just and reasonable. Any failure to observe any such just and reasonable *practice*, even in a single instance, is a violation of section 41102(c) of the 1984 Act. Along that path, the majority also finds that Congress *really meant* to use the disjunctive “establish, observe, or enforce” rather than the actual conjunctive language as enacted in the statute.

To put the new formulation in stark legislative language, through a series of small claim case decisions, the majority has effectively amended § 41102(c) to now provide:

No common carrier, ocean transportation intermediary, or marine terminal operator may fail to observe *any* legal or commercial duty imposed by federal or state law, or by any common law provision, including, but not limited to the law of agency, admiralty, contract, or tort or other similar strictures relating to or connected with receiving, handling, storing, or delivering property.

The majority has confused and conflated “industry practice” with a *practice* that is established *by a regulated entity* concerning the receipt, handling, storage and delivery of property pursuant to the 1984 Act and the utilization of such practice by the regulated entity on a *normal, customary, and continuous basis*. One might concede that a single violation of a legal duty found in the law of agency is an unjust and unreasonable act that may be presented to a court of proper jurisdiction. The question remains, however, does the regulated entity commit such act on a *normal, customary, and continuous* basis and thereby implicate the 1984 Act.

The practical effect of the majority position is the Federal Maritime Commission becomes a general court of common pleas for all such state and federal claims and common law causes of action with new and sweeping jurisdiction over judicial matters that Congress never intended, much less authorized by enactment of the 1984 Act

B. MINORITY POSITION

As I noted in *Yakov Kobel* (“*Kobel* Remand Order”) and my dissents in other cases referenced in footnote 2, *supra*, Congress first used statutory language addressing the legal duty of transportation common carriers to “establish, observe, and enforce just and reasonable . . . regulations and practices . . . affecting [cargo] classification, rates, or tariffs . . . [and] the manner and method of presenting, marking, packing, and delivering property for transportation . . .” in the 1910 Mann-Elkins Act amendment (Mann-Elkins) to the Interstate Commerce Act (ICA).¹¹ From that time forward, the Interstate Commerce Commission (ICC), the United States Shipping Board (USSB) (the agency created by Congress in the 1916 Act), its successor agencies, and the currently constituted Federal Maritime Commission¹², together with state and federal courts have consistently ruled that “practice” means; 1) the acts/omissions of the regulated common carrier that were positively established by the regulated common carrier and imposed on all passenger/cargo interests, and 2) such act/omission

¹¹ Mann-Elkins Act, 61st Congress, 2nd session, Ch. 309, 36 Stat. 539, enacted June 18, 1910.

¹² The United States Shipping Board (USSB) was succeeded in 1933 by the United States Shipping Board Bureau of the Department of Commerce (USSBB), Executive Order No.6166 (1933). The USSBB was succeeded in 1936 by the United States Maritime Commission (USMC), 49 Stat. 1985. In 1950, the USMC was succeeded by the Federal Maritime Board (FMB), 64 Stat.1273. The FMC was established as an independent regulatory agency by Reorganization Plan No. 7, effective August 12, 1961. The U.S. Supreme Court treated the FMC and all predecessor agencies as the “Commission” for purposes of judicial review. See *Volkswagenwerk v. Federal Maritime Commission*, 390 U.S. 261, 269 (1968).

was the normal,¹³ customary, often and repeated,¹⁴ systematic,¹⁵ uniform,¹⁶ habitual,¹⁷ and continuous manner¹⁸ (hereinafter "Normal, Customary & Continuous") in which the regulated common carrier was conducting business

¹³ See *European Trade Specialists v. Prudential-Grace Lines*, 19 S.R.R. 59, 63 (FMC 1979). ("Unless its normal practice was not to so notify the shipper, such adverse treatment cannot be found to violate the section as a *matter of law* [emphasis in original].")

¹⁴ See *Intercoastal Investigation, 1935*, 1 USSBB 400, 432. ("Owing to its wide and variable connotations a practice which unless restricted ordinarily means an *often* and *customary action*, is deemed to acts or things belonging to the same class as those meant by the words of the law that are associated with it." [cites omitted][emphasis added]). See also *Louis Dreyfus Corporation v. Plaquemines Port, Harbor and Terminal District*, 25 F.M.C. 59, 69. (FMC 1982). ("Although isolated errors in billing procedures are not unlawful, *repeated* misbilling, particularly after the Port is made aware of the errors, constitutes a willful disregard of tariff provisions and an unreasonable practice under section 17. [citing *European Trade Specialists, supra*][emphasis added])

¹⁵ See *Whitam v. Chicago, R.I. & P. Ry. Co.*, 66 F.Supp. 1014 (ND TX 1946)("The word 'a practice' as used in the decision, or used anywhere properly, implies *systematic* doing of the acts complained of, and usually as applied to carriers and shippers generally. [emphasis added])

¹⁶ See *Investigation of Certain Practices of Stockton Elevators*, 3 S.R.R.605, 618 (FMC 1964). ("It cannot be found that the Elevator engaged in a 'practice' within the meaning of Section 17. The essence of a practice is *uniformity*. It is something *habitually* performed and it implies *continuity* ... the *usual course of conduct*. It is not an occasional transaction such as here shown. *Intercoastal Investigation, 1935*, 1 USSBB 400, 432; *B&O Ry. Co. v. United States* 277 U.S. 291, 300, *Francesconi & Co. v. B&O Ry. Co.*, 274 F 687, 690; *Whitham v. Chicago R.I. & P. Ry. Co.*, 66 F Supp. 1014; *Wells Lamont Corp. v. Bowles*, 149 F. 2d 364." [emphasis added]) See also, *McClure v. Blackshere*, F.Supp. 678, 682 (D. Md. 1964)("Practice' ordinarily implied *uniformity* and *continuity*, and does not denote a few isolated acts, and *uniformity* and *universality*, *general notoriety* and acquiescence, must characterize the actions on which a practice is predicated." [cites omitted][emphasis added])

¹⁷ See *Stockton Elevators*, 3 S.R.R. at 618. ("It cannot be found that the Elevator engaged in a 'practice' within the meaning of Section 17.... It is something *habitually* performed and it implies *continuity* ... the *usual course of conduct*." [cites omitted][emphasis added].")

¹⁸ See *Stockton Elevators, Id.* ("It cannot be found that the Elevator engaged in a 'practice' within the meaning of Section 17.... It is something *habitually* performed and it *implies continuity*" [cites omitted][emphasis added] See also, *McClure*, at 682 ("Practice' ordinarily implied *uniformity* and *continuity*, and does not denote a few isolated acts, and *uniformity* and *universality*, *general notoriety* and acquiescence, must characterize the actions on which a practice is predicated." [cites omitted][emphasis added])

Then, the third element; such “practice” must be proven to be unjust or unreasonable within the context of the 1984 Act. A seminal Commission case gave the further context that a measure of whether the “practice” was unjust or unreasonable was whether such practice “deterred the commerce of the United States.”¹⁹ This plain, ordinary meaning prevailed until 1991 when an Administrative Law Judge (ALJ) serving at the Commission took a course change in a minor *pro se* proceeding.²⁰ Thus began the slow, quiet, red tide that mutated the definition of “practice” into the majority’s current position.

The minority position concerning proper construction of § 41102(c) follows:

The word “practice”, within the phrase “regulations and practices” – when read together, in context, and after consideration of all rules and canons of statutory construction and interpretation – means the commercial rules, protocols, and methods utilized by the regulated entity as it conducts transportation services in international waterborne commerce. The compass setting of the view begins at the regulated entity and flows toward the cargo shipper. The practice must be the Normal, Customary & Continuous manner in which the regulated entity does business with the cargo shipper. For 1984 Act purposes, such practice must also be found to be “unjust or unreasonable”.

To overlay the facts of this case into the minority perspective, if Overseas mistakenly surveyed the goods to be loaded or loaded the goods in a manner that required an additional container, a breach of a contractual duty or a breach of some fiduciary duty owed by Overseas to Claimants may have occurred.

¹⁹ See *Stockton Elevators*, 3 S.R.R. at 618 (“However, even if the granting of the five allowances or the arranging for the single wharfage reduction could be designated practices, neither could be found to be unjust or unreasonable. The commerce of the United States was not deterred. (emphasis added)”)

²⁰ See *William R. Adair v. Penn-Nordic Lines, Inc.*, 26. S.R.R. 11 (ALJ 1991).

This act or omission by Overseas however, *without more*, may not properly fall within the bounds of the Commission's statutory authority under the Shipping Act. The Shipping Act occupies a parallel sphere that looks to protect U.S. importers and exporters at a different and broader level than other "private" maritime remedies. These two spheres do not, however, jointly occupy the same space.²¹ If the record evidence showed that Overseas failed to properly survey or load shippers' goods into containers on a "Normal, Customary, and Continuous" basis, then, arguably, § 41102(c) of the 1984 Act may be implicated and the provisions of § 41102(c) could come into play.

C. FRAMEWORK FOR ANALYSIS

The U.S. Supreme Court changed the foundation of administrative law, federal agency responsibility, and court review protocols in 1984 in *Chevron*, 467 U.S. 837 (1984). The first arm of that seminal decision states:

When a court reviews an agency's construction of the statute which it administers, it is confronted with two questions. First, always, is the question whether Congress has directly spoken to the precise question at issue. If the intent of Congress is clear, that is the end of the matter; for the court, *as well as the agency*, must give effect to the unambiguously expressed intent of Congress.

Id. at 842-843 (emphasis added).

This first principle is further illuminated by footnote 9 of the *Chevron* decision, as follows:

The judiciary is the final authority on issues of statutory construction and must reject administrative constructions which are contrary to clear congressional intent. [citations omitted] If a court, employing traditional tools of statutory

²¹ See discussion of *A. N. Deringer, Inc. v. Marlin Marine Services, Inc.*, 25 S.R.R. 1273, 1277, *infra*.

construction, ascertains that Congress had an intention on the precise question at issue, that intention is the law and must be given effect.

Id. at n.9.

A commonly overlooked but key concept in *Chevron* analysis is that the federal agency's positions and arguments concerning its construction of the statute within the Step One phase are not due one iota of deference by the reviewing court. *Chevron* Step One analysis and determination is in the sole domain and responsibility of the Article III court. Federal Courts have continued to add explanation concerning the application of *Chevron* Step One. In a 1997 case, *Bell Atl. Tel. Cos. v. FCC*, 131 F.3d 1044 (D.C. Cir. 1997), the U.S. Court of Appeals for the District of Columbia Circuit offered the following additional direction:

Under the first step of *Chevron*, the reviewing court "must first *exhaust* the 'traditional tools of statutory construction' to determine whether Congress has spoken to the precise question at issue." The traditional tools include examination of the statute's text, legislative history, and structure; [cite omitted] as well as its purpose. This inquiry using the traditional tools of construction may be characterized as a search for the plain meaning of the statute. If this search yields a clear result, then Congress has expressed its intention as to the question, and deference is not appropriate. . . [T]extual analysis is a language game played on a field known as "context". The literal language of a provision taken out of context cannot provide conclusive proof of congressional intent, any more than a word can have meaning without context to illuminate its use. In short, "the meaning of statutory language, plain or not, depends on context." . . . Context serves an especially important role in textual analysis of a statute when Congress has not expressed itself as univocally as might be wished.

Id. at 1047 (citations omitted)(emphasis added).

The U.S. Supreme Court gave further instruction concerning *Chevron* Step One analysis in *FDA v. Brown & Williamson Tobacco Corporation*, 529 U.S. 120, as follows:

In determining whether Congress has specifically addressed the question at issue, a reviewing court should not confine itself to examining a particular statutory provision in isolation. The meaning --or ambiguity-- of certain words or phrases may only become evident when placed in context. "Ambiguity is a creature not of definitional possibilities but of statutory context. It is a "fundamental canon of statutory construction that the words of a statute must be read in their context and with a view to their place in the overall statutory scheme." A court must therefore interpret the statute "as a symmetrical and coherent regulatory scheme" and "fit, if possible, all parts into an harmonious whole."

Id. at 132-133 (citations omitted)

In *Pharmaceutical Research and Manufacturers of America v. Thompson*, 252 F.3d 219 (D.C. Cir. 2001), the District of Columbia Circuit Court in 2001 considered a Medicare statute and an expansive definition of the word "payment" being proffered by the U.S. Department of Health and Human Resources. Appellant Pharmaceutical Research argued that use of traditional cannons of statutory construction compelled a more circumscribed definition. Citing *Bell Atlantic Telephone*, the court held:

[W]e need not decide whether the Department's approval of the PDP [prescription drug price] would be entitled to *Chevron* deference, for using traditional tools of statutory interpretation -- text, structure, purpose, and legislative history, -- we conclude that Congress has "directly spoken to the precise question at issue"; that is, whether "payments" includes expenditures that are fully reimbursed by manufacturer rebates. . . . Although . . . the word "payment" is broad enough to include reimbursed expenditures, consideration of the word's context -- the statute's purpose and legislative history -- reveals a far narrower meaning.

Id. at 224 (citation omitted).

In *Loving*, 742 F.3d 1013 (D.C. Cir. 2014), a case that is a close, if not exact, analogue to the proceeding *sub judice*, the District of Columbia Circuit considered a statute enacted in 1884 that authorized the Secretary of Treasury to regulate individuals who “practice” before the Department as a “representative” of a claimant before the Department. The traditional definition of “representative” had been attorneys, accountants, and other tax professionals who appear in adversarial proceedings before the agency. In 2011, the Internal Revenue Service (IRS) decided it would newly denominate all tax-return preparers – hundreds of thousands of individuals – as “representatives” – and thus bring them into the IRS’s regulatory oversight. The Court began its *Chevron* analysis as follows:

In determining whether a statute is ambiguous and in ultimately determining whether the agency’s interpretation is permissible or instead is foreclosed by the statute, we must employ all the tools of statutory interpretation, including “text, structure, purpose, and legislative history” (citing *Pharmaceutical Research*). “No matter how it is framed, the question a court faces when confronted with an agency’s interpretation of a statute it administers is always, simply, *whether the agency has stayed within the bounds of its authority*” (citing *City of Arlington*).

Id. at 1016 (emphasis in original).

As a recent U.S. Supreme Court statement on *Chevron* and the subject of court deference to an Agency’s position on the interpretation of a statutory provision, the court issued the following instruction in *Utility Air Regulatory Group v. EPA*, 134 S. Ct. 2427 (2014), 573 U.S. ___, (2014):

Even under *Chevron*’s deferential framework, agencies must operate “within the bounds of reasonable interpretation.” And reasonable statutory interpretation must account for both “the specific context in which . . . language is used” and the broader context of the statute as a

whole. A statutory “provision that may seem ambiguous in isolation is often clarified by the remainder of the statutory scheme . . . because only one of the permissible meanings produces a substantive effect that is compatible with the rest of the law.” Thus, an agency interpretation that is “inconsistent with the design and structure of the statute as a whole” *does not merit deference*.

Id. at 2442 (citation omitted)(emphasis added)

The following sections will examine nine different traditional canons of statutory construction, including (i) Syntactic Canon, (ii) Ordinary Meaning Canon, (iii) Whole Text Canon, (iv) Associated Words Canon, (v) Prior Construction Canon, (vi) Presumption of Consistent Usage Canon, (vii) Negative Implication Canon, (viii) Presumption Against Extraterritorial Application Canon, and (ix) Surplusage Canon. Such canons will be woven into the four areas of statutory review that follow.

D. PURPOSE, TEXT, LEGISLATIVE AND JUDICIAL HISTORY, AND STRUCTURE

With the foregoing analytical framework before us, let’s work through the elements. Since analysis of the origins of the text of § 41102(c) of the 1984 Act, as first used by Congress in 1910 in the Mann-Elkins Act amendment to the ICA, and the tools and cannons of statutory interpretation and construction tend to overlap in the four listed categories, I will begin with statutory purpose.

1. PURPOSE

The ICA was enacted to bring federal regulatory order to the rapidly expanding railroad industry in the late 19th Century. The ICA established the first independent federal regulatory commission; the Interstate Commerce Commission (ICC). From there began the now common dance between a federal regulatory agency and a reviewing federal court. The railroads held substantial regional and national economic power. Consumers were at the mercy of these large and vital transportation companies. The railroads set forth their classifications of various cargos, freight rates, and relevant business regulations and

practices in published tariffs. Cargo customers and passengers conducted business with the railroads on the railroads' terms. The Sherman Act²² and broader business competition regulation was still three years away. As railroad regulation began to find its feet and gain credibility, Congress was asked to grant further authority to the ICC and Congress answered with Mann-Elkins²³ as discussed below regarding statutory text.

In the ocean transportation arena at the turn of the 20th Century, numerous loose associations or liner ship owner "conferences" dominated virtually all sea trade lanes. A conference agreement would fix the agreed rate and all regulations, practices, terms and conditions for the receiving, handling, storing, and delivering of a specified cargo class over a specified trade route. For example, finished iron goods shipped from England to the U.S. North Atlantic (Boston-to-New York) would have an ocean carrier conference agreement with subscribing members. Every ship owning member of the conference was bound by the conference agreement, tariff rate, rules, regulations, and practices. Every cargo owner of finished iron goods that wanted to move that cargo over that trade route had the benefit of a public and common freight rate and common application of the conference's regulations and practices for the transportation.

Congress was asked to bring federal regulation and oversight to these powerful shipping conferences that dominated the ocean borne imports and exports in U.S. commerce. Congress answered with the 1916 Act. In essence, the 1916 Act was an antitrust statute and a regulatory statute. It provided that the ocean vessel conferences could agree on rates, regulations and practices; provided however, that (i) the conferences must file their conference agreements that set forth the tariff rules, freight rates, other charges (e.g. demurrage or terminal storage fees), cargo classifications, regulations, and practices with the Commission's

²² 26 Stat. 209, 15 U.S.C. §§ 1-7. Officially re-designated and to be recognized from then on as the "Sherman Act" by Congress in the Hart-Scott-Rodino Antitrust Improvements Act of 1976, (Public Law 94-435, Title 3, Sec. 305(a), 90 Stat. 1383 at p. 1397).

²³ Mann-Elkins Act, 61st Congress, 2d Session, Ch. 309, 36 Stat. 539, enacted June 18, 1910.

predecessor agency, the United States Shipping Board, and then receive the Board's approval, and, further, (ii) the conference and its individual member steam ship companies must comply with all various provisions of the 1916 Act, such as establishing just and reasonable rates, regulations and practices and abstaining from discriminatory activity as to individuals, cargos and ports. The Board approved the conference agreement and then compliance with all of the other 1916 Act provisions granted the conferences and their ship owner members with immunity from application of the Sherman Act. As regards our case *sub judice*, the purpose of section 17 of the 1916 Act, discussed below, was to have the Board determine if a conference imposed freight rate of conference imposed regulation or practice was unjust or unreasonable. If so found, then the Board had the authority to order a just and reasonable rate, or regulation and practice.

Before moving into the statute's text, legislative and case law history, it is worth noting that the purpose of the Shipping Act and the scope of the Commission's regulatory authority began to change and diminish in 1984 with the enactment of a revised Shipping Act²⁴ and then again in 1998 with passage of the Ocean Shipping Reform Act²⁵. The 1984 Act allowed for more freedom by all regulated entities to offer market-based freight contracts, and importantly, removed significant areas of the Commission's regulatory authority. Of highest relevance in considering a § 41102(c) controversy, note that Congress took section 17 of the 1916 Act and repealed the Commission's authority to find freight rates as unreasonable and to order new, lower, more reasonable rates. Further, Congress also repealed the Commission's authority to draft and order newly formed, more just or reasonable regulations or practices. As discussed below, what remains of the significantly circumscribed provision from section 17 of the 1916 Act was moved to § 41102(c).

From a broader perspective, all of this Congressional activity in ocean transportation deregulation took place in the context of broader transportation deregulation: the railroad

²⁴ Shipping Act of 1984, Pub. L. 98-237, 98 Stat. 67 (1984).

²⁵ Ocean Shipping Reform Act of 1998, Pub. L. 105-258, 112 Stat. 1902 (1998).

deregulation statutes of 1976 and 1980, the trucking deregulation in 1980, and the deregulation of the domestic airlines and termination of the Interstate Commerce Commission and replacement by the Surface Transportation Board by the 104th Congress.²⁶

2. STATUTORY TEXT LANGUAGE

The embarkation point for this analysis is the language of the 1910 Mann-Elkins amendments to the ICA referenced above.

And it is hereby the duty of all common carriers subject to the provisions of this Act to establish, observe and enforce just and reasonable classifications of property for transportation, with reference to which rates, tariffs, regulations, or practices are or may be made or prescribed, and just and reasonable regulations and practices affecting classifications, rates, or tariffs, the issuance, form, and substance of tickets, receipts, and bills of lading, the manner and method of presenting, marking, packing, and delivering property for transportation, the facilities for transportation, the carrying of personal, sample, and excess baggage, and all other matters relating to or connected with the receiving, handling, transporting, storing, and delivery of property subject to the provisions of this Act which may be necessary or proper to secure the safe and prompt receipt, handling, transportation, and delivery of property subject to the provisions of this Act upon just and reasonable terms, and every such unjust and unreasonable classification, regulation, and practice with reference to commerce between the States and with foreign countries is prohibited and declared to be unlawful.²⁷

²⁶ See the Railroad Revitalization and Regulatory Reform Act of 1976, Pub. L. 94-210; Staggers Act of 1980, Pub. L. 96-448; Motor Carrier Act of 1980, Pub. L. No. 96-296; Airline Deregulation Act, Pub.L. 95-504; and the Interstate Commerce Commission Termination Act of 1995, Pub.L. 104-88.

²⁷ Mann-Elkins Act, 61st Congress, 2nd session, ch. 309, 36 Stat. 539, enacted June 18, 1910 (emphasis added).

The Mann-Elkins language clearly focused on the operating and business practices of railroads as commonly used and imposed upon passengers and cargo shippers. Also note that the term “practice” is juxtaposed to the term “regulation” in this inaugural Congressional enactment. With the ICC serving as the first federal independent regulatory agency, litigation and judicial decisions interpreting this statutory language followed, as discussed below.

Six years after Mann-Elkins came the 1916 Act. The 1916 Act was Congress’ response to the perceived commercial abuses that the market dominate shipping cartels were imposing on the U.S. import and export ocean commerce. Section 17 of the 1916 Act provided as follows:

Section 17. Discriminatory rates prohibited; correction by shipping board; supervision by board of regulations of carrier.

No common carrier by water in foreign commerce shall demand, charge, or collect any rate, fare, or charge which is unjustly discriminatory between shippers or ports, or unjustly prejudicial to exporters of the United States as compared with their foreign competitors. Whenever the board finds that any such rate, fare, or charge is demanded, charged, or collected, it may alter the same to the extent necessary to correct such unjust discrimination or prejudice and make an order that the carrier shall discontinue demanding, charging, or collecting any such unjustly discriminatory or prejudicial rate, fare, or charge.

Every such carrier and every other person subject to this Act shall establish, observe, and enforce just and reasonable regulations and practices relating to or connected with the receiving, handling, storing, or delivering of property. Whenever the board finds that any such regulation or practice is unjust or unreasonable, it may determine, prescribe, and order enforced a just and reasonable regulation or practice.

Section 17 of the 1916 Act (emphasis added).

The two separate provisions of section 17 of the 1916 Act were commonly referred to as “section 17, first paragraph” and “section 17, second paragraph”.²⁸ As with the ICA and Mann-Elkins, the term “practices” is again juxtaposed to the term “regulations.” And again, the statute directs the common carrier to draft, to implement, and to enforce these just and reasonable “regulations and practices.”

Section 18 of the 1916 Act addressed interstate commerce by water and gives more contextual reference to the terms “regulations and practices.” It provides, in relevant part:

Section 18. Common carriers to establish schedule of rates and reasonable regulations for conduct of business; filing with shipping board; charge of more than maximum rates.

Every common carrier by water in interstate commerce shall establish, observe, and enforce just and reasonable rates, fares, charges, classifications, and tariffs, and just and reasonable regulations and practices relating thereto and to the issuance, form, and substance of tickets, receipts, and bills of lading, the manner and method of presenting, marketing, packing, and delivering property for transportation, the carrying of personal, sample, and excess baggage, the facilities for transportation, and all other matters relating to or connected with the receiving, handling, transporting, storing, or delivering of property.

Whenever the board finds that any rate, fare, charge, classification, tariff, regulation, or practice, demanded, charged, collected, or observed by such carrier is unjust or unreasonable, it may determine, prescribe, and order enforced a just and reasonable maximum rate, fare, or

²⁸ For purposes of discussion, arguments and responses, I will further cleave the section as follows: section 17, first paragraph-first sentence, first paragraph-second sentence, section 17, second paragraph-first sentence, and second paragraph-second sentence. This dissection is to recognize each of the four sentences as separate sub-parts of section 17 of the 1916 Act.

charge, or a just and reasonable classification, tariff, regulation, or practice.

Section 18, 1916 Act (emphasis added).

The section heading states simply and clearly that common carriers are to establish reasonable regulations for the conduct of the business of waterborne transportation. Further, the carriers are directed to establish such regulations and practices in the same manner that the common carriers establish rates, fares, charges, (cargo) classifications, and tariffs. Last, by obvious implication of the concept of "common carriage", each and every category listed in the section was universally observed and made applicable by the common carrier to each and every passenger and cargo shippers.

As referenced earlier, during the 1970's and 1980's, every mode of passenger and cargo transportation in the United States – railroads, truck lines, air lines, and ocean carriers –underwent Congressional scrutiny and deregulatory legislation. Federal agency oversight provisions and regulatory powers were rolled back, and, in many cases, totally repealed in favor of allowing free competition and market place dynamics to control and level the playing field for all providers of transportation services and their respective consumers.

Following two rounds of railroad deregulation in 1976 and 1980²⁹, Congress turned its deregulatory pen to the 1916 Act. The 1984 Act diminished the ability of steamship conferences to meet, agree on, and enforce common freight rates. Steamship lines were allowed to enter into individual contracts with cargo shippers. Significantly, for purposes of the inquiry *sub judice*, it is important to note that the Commission's authority to determine a "regulation or practice" to be "unjust or unreasonable" was carried over into § 41102(c) of the 1984 Act fully intact. However, the Commission's authority to "determine, prescribe and order enforced a just and reasonable regulation or practice" that was formulated by the Commission as found in section 17, second paragraph, second sentence, was repealed by the 1984 Act.

²⁹ See the Railroad Revitalization and Regulatory Reform Act of 1976, Pub. L. 94-210; Staggers Act of 1980, Pub. L. 96-448.

Thus we come to the current Congressional formulation of § 41102(c), the statutory provision in question.

SEC. 10. PROHIBITED ACTS

(d) Common Carriers, Ocean Transportation Intermediaries, and Marine Terminal Operators

(1) No common carrier, ocean transportation intermediary, or marine terminal operator may fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.

On its face, the language of § 41102(c), without context and without reference to any standard canons of statutory construction, could be subject to some degree of open reading. What is a “just regulation”? What is a “reasonable practice”? However, such concession does not mean that the Commission is thereby granted a clean “white board”, untethered from any further inquiry and thus free to incorporate any creative interpretation that might suit its objective du jour. *Chevron* and the canons of statutory interpretation simply do not permit an agency to do whatever it wants in such a cavalier manner.

Before we submerge into context and all related canons of construction, we must first consider the Syntactic Canon concerning grammar. In *Flora v. United States*, 362 U.S. 145 (1960), the Supreme Court concisely defined this canon:

This Court does not review congressional enactments as a panel of grammarians; but neither do we regard ordinary principals of English prose as irrelevant to a construction of those enactments.

Id. at 150.

Reviewing § 41102(c) under this initial canon of construction, one can observe that the regulated entity is the subject of the sentence. The subject is directed – i.e. do not fail to –

then comes the active verbs – “establish, observe, and enforce” just and reasonable regulations and practices. The regulated entity is ordered to, first, initiate the creation, dissemination, and publication of such just and reasonable regulations and practices, and simultaneously, to observe and enforce those regulations and practices that were created by that regulated entity. It tortures the construction to the point of absurdity to suggest, as the majority does, that by this language Congress was ordering the regulated entity to initiate and “establish” a regulation and practice that was already in existence out in the ancient and modern realm of both common and statutory *corpus juris*. Stated differently – why would Congress, through this language in the 1984 Act, be ordering or directing regulated entities not to fail to comply with all laws “established” (i) by all legislative bodies, and (ii) by common law courts in terms of common law duties? Further, bear in mind that each of such legislative enactment and common law legal duty has its own corresponding and unique formula for required elements of proof and remedies. Such syntactic construction is obviously incorrect.

Some of the section’s other terms are defined elsewhere in the statute, such as “common carrier”, “ocean transportation intermediary”, and “marine terminal operator”. Such entities are required to file various forms and obtain various licenses from the Commission in order to operate in the foreign waterborne commerce of the United States. As regulated and licensed entities, certain of their activities are regulated by the 1984 Act. Other non-1984 Act activities are regulated by other government agencies, such as the U.S. Coast Guard and Customs and Border Protection. And still other activities, such as various commercial activities, are subject to various federal and state laws and regulations.

Other terms that Congress used in both the 1916 and the 1984 versions of the Shipping Act, namely “regulations and practices”, require additional steps in order to determine the Congressional meaning and intent. The next and most fundamental rule of statutory construction is the Ordinary Meaning Canon - the words of a statute are to be taken in their natural and ordinary

signification and import.³⁰

The cases referenced in footnotes 13 through 19 above and in the discussion of judicial interpretation of the phrase “practices” by multiple courts applying the Mann-Elkins Act, the 1916 Act, and other statutes, all utilized the Ordinary Meaning Canon to find the meaning of the term “practice” as intended by Congress.³¹ All came to a reasoned conclusion that confirms the minority position and further, that stands in direct opposition to the majority position.

³⁰ See, e.g., James Kent, *Commentaries on American Law* 432 (1826) “The words of a statute are to be taken in their natural and ordinary signification and import; and if technical words are used, they are to be taken in a technical sense.” A review of a recent Commission decision took a small first step toward addressing the statutory and technical meaning of “practice”. (*Chief Cargo Services, Inc. v. Fed. Mar. Comm’n*, 586 F. App’x 730 (2d Cir. 2014)). Unfortunately, the parties in that case did not even begin a full and reasoned analysis of section § 41102(c) of the 1984 Act. Thus, the Court was left with what amounted to a default judgment in favor of the Commission.

In most simple terms, the Second Circuit’s review of the Commission’s interpretation and application of § 41102(c) of the Act was governed by *Chevron*, 467 U.S. 837 (1984), and its well-known two-step process. The Court considered Step One, and being presented with no reasoned position from the appellant, moved easily into *Chevron* Step Two, with the predictable deference to agency interpretation. However; the Court took the most unusual step of commenting on the paucity of the appellant’s presentation. See *Chief Cargo Services, Inc. v. Federal Maritime Commission, United States of America*, Summary Order, Case 13-4256, Document 54-1(2d Cir. 2014) “To the extent dissenters to the FMC’s decision identified further reasons for doubting the agency’s liability determination, Chief Cargo does not advance those contentions here, and thus we deem any such arguments abandoned.” *Id.* at 5.

Thus the legal arguments that were advanced in the various cases cited in the opening section of this dissent and in the *Bimsha* case dissent in particular were judicially recognized as not presented by appellant to the Second Circuit, were deemed abandoned by the appellant, and therefore unavailable for further appeal. The Second Circuit’s unusual note also established that the issues set forth in the *Bimsha* dissent together with its reasoning and legal analysis remain a matter of first impression for any federal reviewing court.

³¹ See *Intercoastal Investigation*, 1935, 1 F.M.C 400 (1935); *Whitam*, 66 F. sup 1014 (N.D. Tex. 1946);, 231 F. Supp. 678 (D. Md. 1964); *Stockton Elevators*, 3 S.R.R. 605(FMC (1964); and *European Trade Specialists*, 19 S.R.R. 59 (FMC 1979).

Gruenberg-Reisner v. Respondent Moving Specialists, Inc. 61

The next traditional rule of statutory interpretation utilized by courts and agencies to analyze the text of a statute that offers strong guidance in determining the original intent of Congress – an interpretive rule that the majority has repeatedly refused to consider or address – is the Presumption of Consistent Usage. In *Atlantic Cleaners & Dryers, Inc. v. United States*, 286 U.S. 427 (1932), the U.S. Supreme Court framed this canon of construction as follows, “[t]here is a natural presumption that identical words used in different parts of the same act are intended to have the same meaning.” *Id.* at 433 (emphasis added).

In the 1984 Act, Congress used the term “practice” or “practices” nine times in three different sections of the new legislation: section 5 (Agreements); section 8 (Tariffs); and section 10 (Prohibited Acts).

Congress first uses the term “practices” in section 5(f) Maritime Labor Agreements, of the 1984 Act, as follows:

This subsection does not exempt from this Act any rates, charges, regulations, or practices of a common carrier that are required to be set forth in a tariff, or are essential terms of a service contract whether or not those rates, charges, regulations, or practices arise out of, or are otherwise related to a marine labor agreement. 46 U.S.C. § 40301(d) [emphasis added].

The 1984 Act next uses the term “practices” in section 8(a)(1) addressing tariffs as follows:

Section 8(a)(1) – [e]ach common carrier and conference shall keep open to public inspection ..., tariffs showing all its rates, charges, classifications, rules, and practices, between all points or ports on its own route and on any through transportation route that has been established.” 46 U.S.C. 41104(2)(A) [emphasis added].

“Practices” next appears in section 8(f) which includes an illuminating proviso:

Section 8(f) – A marine terminal operator may make available to the public, subject to section 10(d)(1) of this Act, a schedule of rates, regulations, and practices including limitations of liability for cargo loss or damage, pertaining to receiving, delivering, handling, or storing property at its marine terminal.

These usages of “practice” are in complete harmony with the original 1910 Mann-Elkins Act and the original section 17 of the 1916 Act’s usage of “practices” referenced above. Section 8(f) reinforces the fact that the regulated entity establishes the “practice” by publishing same in a public schedule/tariff, that such “practice” is available and applicable to the public in general, and that such “practice” is subject to the “just and reasonable” provisions of section 10(d)(1).

Then, in section 10, the Prohibited Acts section of the 1984 Act, the term “practices” is used in six sub-sections. In five sub-sections, the term’s usage is consistent with the plain and ordinary meaning, i.e. an act or omission by the regulated party that is performed as its Normal, Customary, & Continuous method of conducting business with shippers and cargo representatives. Consider the following:

46 U.S.C. § 41104(2)(A) – No common carrier, either alone or in conjunction with any other person, directly or indirectly, may: (2) provide service in the liner trade that: (A) is not in accordance with the rates, charges, classifications, rules, and practices contained in a tariff published or a service contract entered into under section 8 of this Act unless excepted or exempted under section 8(A)(1) or section 16 of this Act. [emphasis added].

46 U.S.C. § 41104(4) – No common carrier, either alone or in conjunction with any other person, directly or indirectly, may: (4) for service pursuant to a tariff, engage in any unfair or unjustly discriminatory practice in the matter of: (A) rates or charges; (B) cargo classifications; (C) cargo space accommodations or other facilities, due regard being had for the proper loading of the vessel and the available

tonnage; (D) the loading and landing of freight; or (E) the adjustment and settlement of claims. [emphasis added].³²

46 U.S.C. § 41104(5) – No common carrier, either alone or in conjunction with any other person, directly or indirectly, may: (5) for service pursuant to a service contract, engage in any unfair or unjustly discriminatory practice in the matter of rates or charges with respect to any port. [emphasis added].

46 U.S.C. § 41105(3) – No conference or group of two or more common carriers may: (3) engage in any predatory practice designed to eliminate the participation, or deny the entry, in a particular trade of a common carrier not a member of the conference, a group of common carriers, an ocean tramp, or a bulk carrier. [emphasis added].

46 U.S.C. § 41105(7) – No conference or group of two or more common carriers may: (7) for service pursuant to a service contract, engage in any unjustly discriminatory practice in the matter of rates or charges with respect to any locality, port, or persons due to those persons' status as shippers associations or ocean transportation intermediaries.... [emphasis added].

46 U.S.C. § 41102(c) – No common carrier, ocean transportation intermediary, or marine terminal operator may fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with the receiving, handling, storing, or delivering of property. [emphasis added].

³² The Administrative Law Judge in *William J. Brewer, v. Saeid B. Maralan (aka Sam Bustani) and World Line Shipping, Inc.*, 28 S.R.R. 1331 (ALJ 2000) noted that "[t]he Commission observed that a persistent pattern of quoting rates and failing to file them could constitute a violation of . . . section 10(b)(4)(A), (now section 41104(4)) which forbids carriers from engaging in unfair practices in the matter of rates. See *Martyn Merritt – Possible Violations of Shipping Act of 1984*, 25 S.R.R. 1495, 1500 (1991)." *Id.* at 1334 (emphasis added).

As recently as *Altieri, Stockton Elevators*, and *European Trade Specialists* as discussed below, and in *A.N. Deringer*³³, and *Kamara* in 2001,³⁴ the Commission likewise used the term “practice” in a consistent manner for all the places it appears in the 1984 Act. However, the Commission has now discovered a totally new definition for the term “practice” to be applicable in § 41102(c) matters. Now a “practice” is established by the transportation industry’s normal standard that any member of the industry has a “duty” to comply with all statutes and common law proscriptions. Further, any single failure to comply and observe such “duty” is a violation of the established “practice” and is therefore a violation of § 41102(c).

The newly discovered meaning is starkly cacophonous and jarringly out of harmony with the clear usage and common sense application of “practice” in every other section in the 1984 Act referenced above. Thus the majority construction runs directly counter to the canon of interpretation that a term should be given a consistent definition, construction and application within a statute or section. Further, the Associated Words Canon, discussed in the next section, is again applicable in the sequential re-enacted version of Mann-Elkins / section 17 / section 10(d)(1) / § 41102(c).

3. LEGISLATIVE and JUDICIAL HISTORY

Legislative history and judicial precedent are not just dusty old manuscripts. They are important sources pointing to the proper context and interpretation of statutory text. The legislative and

³³ See *A.N. Deringer, Inc.*, 25 S.R.R. 1273 (ALJ 1990).

³⁴ See *Kamara v. Honesty Shipping Service*, 29 S.R.R. 321 (ALJ 2001) (“...it is not clear that a carrier’s simple failure to remit payment to a subcontracting carrier constitutes a Shipping Act violation, although the shipper would certainly have a commercial contractual claim. A series of cases alleging Section 10(d)(1) violations has established that a complainant must demonstrate regulations and practices, as opposed to identifying what might be an isolated error or understandable misfortune. See, for example Informal Docket No. 1745(I), *Mrs. Susanne Brunner v. OMS Moving Inc.*, slip decision served January 27, 1994, administratively final March 8, 1994. In the present case, however, despite the SO’s request, the complainants failed to either cite a specific statutory violation or attempt to describe a relevant pattern of behavior.”) *Id.* at 322. N 8. (emphasis added)

judicial history of the Shipping Act - both the 1916 original enactment and the 1984 re-enactment – must be kept in mind as the context for § 41102(c) and how it should be analyzed and properly interpreted. The Whole-Text Canon is a fundamental concept in interpreting a legal phrase and in finding Congressional intent. As Justice Scalia has written, “[c]ontext is a primary determinant of meaning The entirety of the document thus provides the context for each of its parts.”³⁵ This rule of construction has deep roots in our jurisprudence. In *McCulloch v. Maryland*, 17 U.S. (4 Wheat) 316 (1819), Chief Justice John Marshall invoked the rule in an early case concerning the United States Constitution where he called for “a fair construction of the whole instrument.” *Id.* at 406. Chief Justice Taney held, “In expounding a statute, we must not be guided by a single sentence or member of a sentence, but look to the provisions of the whole law, and to its object and policy.” *United States v. Boisdore’s Heirs*, 49 U.S. 113, 122 (1849). In a more contemporary case, *Panama Ref. Co. v. Ryan*, 293 U.S. 388, 439 (1935), Justice Cardozo stated, “[t]he meaning of a statute is to be looked for, not in any single section, but in all the parts together and in their relation to the end in view.” *Id.* at 439. Returning to Justice Scalia in *United Sav. Ass’n of Tex. v. Timbers of Inwood Forest Assocs., Ltd.* 484 U.S. 365 (1998) for a more recent gloss, Scalia in that case referred to statutory construction as a “holistic endeavor.” *Id.* at 371.

a) PRE 1984 HISTORY

The text and heritage of the statutory language itself provides compass direction as to Congressional intent. Justice Frankfurter expressed the maxim as, “[I]f a word is obviously transplanted from another legal source, whether the common law or other legislation, it brings the old soil with it.”³⁶ In *United States Navigation Co. v. Cunard S.S. Co. Ltd.*, 284 U.S. 474 (1932), the U.S. Supreme Court tied a tight knot binding the ICA and the 1916 Act where the Court gave a general review of the various sections

³⁵ Antonin Scalia & Brian A. Garner, *Reading Law: The Interpretation of Legal Texts* 167 (1st ed. 2012).

³⁶ Felix Frankfurter, *Some Reflections on the Reading of Statutes*, 47 Colum. L. Rev. 527, 537 (1947).

of the 1916 Act, including section 17 - the predecessor to § 41102(c) of the 1984 Act - and ruled that:

[t]hese and other provisions of the Shipping Act clearly exhibit the close parallelism between the act and its prototype, the ICA, and the applicability both of the principals of construction and administration.

Id. at 484 (emphasis added).

In *Baltimore & Ohio Railroad Company v. United States*, 277 U.S. 291 (1923), the U.S. Supreme Court considered the question of what constituted a “practice” within the contemplation of Congress in the ICA. The dispute concerned the division of rates and revenue between eastern railroads, western railroads, and a jointly owned company that operated the bridge spanning the Mississippi River. The Court ruled that the rate and revenue division was not a practice, and utilized the following canon of construction:

The word “practice”, considered generally and without regard to context, is not capable of useful construction. If broadly used, it would cover everything carriers are accustomed to do. Its meaning varies so widely and depends so much upon the connection in which it is used that Congress will be deemed to have intended to confine its application to acts or things belonging to the same general class as those meant by the words associated with it.

Id. at 299-300 (citation omitted)(emphasis added).

The Court concluded with the observation, “even if the matter in controversy were a “practice” within the meaning of the act, the [ICC] would not be authorized to set it aside without evidence that it is unjust and unreasonable.” *Id.* at 300

The Court was employing the common canon of construction that associated words bear on one another’s meaning. Specifically, the Court is holding that the meaning and application

of the word “practices” must be narrowly confined to the class of words associated with it. In *Third Nat’l Bank in Nashville v. Impac Ltd.*, 432 U.S. 312 (1977), the U.S. Supreme Court articulated the Associated Words Canon where Justice Stevens held, “words grouped in a list should be given related meanings.” *Id.* at 322.³⁷

As one reviews the construction of the 1910 Mann-Elkins amendment to the ICA and the words that juxtapose and surround the term “practice”, the association cannot be missed – much less ignored. Consider:

[E]stablish, observe, and enforce just and reasonable classifications of property for transportation, with reference to which rates, tariffs, regulations, or practices are or may be made or prescribed, and just and reasonable regulations and practices affecting classifications, rates, or tariffs . . . and every such unjust and unreasonable classification, regulation, and practice with reference to commerce between the States and with foreign countries is prohibited and declared to be unlawful.³⁸

The Associated Words Canon requires that the meaning of “practice” to be confined in this case to a context similar to a rate, a tariff provision, a cargo classification, or related regulation “made or prescribed” by the common carrier and thereby imposed and made applicable to the cargo shipper community as a whole.

A few years later, the United States Shipping Board Bureau (USSBB), a predecessor to the Commission, considered the term “practice” as used in the 1916 Act in *Intercoastal Investigation*, 1 FMC 400 (1935), a major Board investigation that covered sixteen

³⁷ See also *City of Fort Worth v. Cornyn*, 86 S.W.3d 320, 327 (Tex. App.-Austin 2002)(“The doctrine of construction – *noscitur a sociis* – teaches that “the meaning of particular terms in a statute may be ascertained by reference to words associated with them in the statute, and that where two or more words of analogous meaning are employed together in a statute, they are understood to be used in their cognate sense, to express the same relations and give color and expression to each other.” (citation omitted).

³⁸ Mann-Elkins Act, 61st Congress, 2nd Session, ch. 309, 36 Stat. 539, enacted June 18, 1910.

years of steam ship conference activities. The USSBB held:

The provisions of the Shipping Act, 1916, also apply to these respondents. It is there provided . . . that carriers shall establish, observe, and enforce just and reasonable rates, charges, (cargo) classifications, and tariffs and just and reasonable regulations and practices related thereto . . . The terms "rates", "charges", "tariffs", and "practices" as used in transportation have received judicial interpretation . . . Owing to its wide and variable connotation, a practice, which unless restricted ordinarily means an often repeated and customary action, is deemed to apply only to acts or things belonging to the class as those meant by the words of the law that are associated with it. . . . In section 18, the term "practices" is associated with various words, including "rates", "charges", and "tariffs".

Id. at 431-432 (emphasis added).³⁹

Thus the Commission employed both the Ordinary Meaning Canon and the Associated Words Canon of construction and found that the application of the term "practices" must be confined within transportation's specialized lexicon. "Rates", "charges", cargo "classifications", "tariffs", and "practices" are all transportation specific terms that the common carrier applies uniformly to the passenger and cargo shipper community. Specifically, the USSBB held that "practices" meant "an often repeated and customary action". *Id.* at 432.

A decade later, in *Whitam v. Chicago R.I. & P. Ry. Co.*, 66 F. Supp. 1014 (N.D. Tex. 1946), a federal trial court considered the term "practice" as used in the ICA and held that, "[the] word a 'practice' as used in the decision, or used anywhere properly, implies systematic doing of the act complained of . . ." *Id.* at 1017.

³⁹ *Intercoastal Investigations* cited two ICA railroad cases as authority. See *Baltimore & Ohio Railroad Company v. United States*, 277 U.S. 291 (1923) and *Missouri Pacific R. Co. v. Norwood*, 283 U.S. 249, 257 (1931).

Eleven years after Congress enacted the Mann-Elkins amendment and five years after replanting that same soil into the 1916 Act, Congress used near identical language in another statute, the Packers and Stockyards Act of 1921.⁴⁰ In *McClure v. Blackshere*, 231 F. Supp. 678 (D. Md. 1964), a federal trial court considered the term “practice” as used in section 208 of this Act, and, by use of the Ordinary Meaning Canon, offered the following reasoning and conclusion:

[W]hile conceivably a consistent course of conduct, even with respect to nonpayment of bills, might in time become a “practice”, it is difficult to see how a single instance of the nonpayment of a bill could be so denominated. “Practice” ordinarily implies uniformity and continuity, and does not denote a few isolated acts, and uniformity and universality, general notoriety and acquiescence must characterize the actions on which the practice is predicated.

Id. at 682.

The Commission considered a marine terminal dispute in 1962, where the terminal had overcharged for demurrage in one shipment and then refused to refund the overcharge to the shipper. Instead, the terminal applied the refund amount to an alleged prior outstanding debt owed by the shipper. In *J.M. Altieri v. Puerto Rico Port Authority*, 7 F.M.C. 416 (ALJ 1962), the shipper filed an action to recover the overpayment and the ALJ denied the claim based on the following reading and application of section 17, second paragraph-first sentence:

The unjust and unreasonable practices condemned by section 17 are those, in the words of the statute, “relating to

⁴⁰ The Packers and Stockyards Act of 1921 was enacted to maintain competition in the livestock industry. The Act bans discrimination, manipulation of price or weight, livestock or carcasses; commercial bribery; misrepresentation of source, condition, or quality of livestock; and other unfair or manipulative practices. Section 208 of the Packers and Stockyards Act of 1921 provides that “[i]t shall be the duty of every stockyard owner and market agency to establish, observe and enforce just, reasonable and nondiscriminatory regulations and practices in respect to the furnishing of stockyard services” 7 U.S.C. § 208.

or connected with the receiving, handling, storing or delivering of property." The practices that are intended to fall within the coverage of this section are shipping practices. It is these practices and only these that were assigned to the special expertise of the Agency. . . .

[R]espondent has unilaterally effected an offset of monies admittedly owing to complainant against a disputed claim . . . The categorical statement . . . that respondent had a right to withhold the refund and offset it against the other claim is without foundation. This unlawful act of respondent, if it is one, may provide the basis for an action in court; but it is not necessarily a violation of section 17.

The dispute is over the question whether respondent must refund an overpayment. The issues incident to this question would be exactly the same if the overpayment were on the purchase price of groceries. They are not so peculiar to shipping matters that they require or warrant the intervention of the Commission. A court can handle all aspects of these issues. That is not to say, of course, that court and agency actions are always mutually exclusive.

If the action of respondent were one of a series of such occurrences, a *practice* might be spelled out that would invoke the coverage of section 17.

Id. at 419-20 (emphasis in the original)

In the same year that the McClure federal court decision was decided, the Commission considered the Stockton Elevators case.⁴¹ In the most complete case in which the full Commission analyzed the meaning of section 17 of the 1916 Act and the meaning of the term "practice", the Commission issued a decision that is four square on point with the minority's position and is diametrically opposed to the new majority position.

Stockton Elevators operated an export terminal on the West coast that was experiencing incoming rail car congestion. It had granted a variance to its published tariff in favor of a customer on

⁴¹ *Stockton Elevators*, 8 F.M.C. 187 (1964).

Gruenberg-Reisner v. Respondent Moving Specialists, Inc. 71

five transactions so as to expedite the sale and unloading of the trains. The alternative was to begin diverting incoming loaded trains to holding yards some distance from the terminal facility. A competitor complained that Stockton Elevators had violated section 17 of the 1916 Act. The Commission held:

[I]t cannot be found that the Elevator engaged in a "practice" within the meaning of Section 17. The essence of a practice is uniformity. It is something habitually performed and implies continuity . . . the usual course of conduct. It is not an occasional transaction as here shown

....

Id. at 200-201 (emphasis added).⁴²

The second relevant finding was "[e]ven if the granting of the five allowances or the arranging for the single wharfage reduction could be designated practices, neither could be found to be unjust or unreasonable. The commerce of the United States was not deterred." *Id.* at 201.

Some fifteen years following the *Stockton Elevator* investigation and a short five years prior to the Congressional passage of the 1984 Act, the full Commission again considered section 17 of the 1916 Act and addressed the precise question of the term "practice". In *European Trade Specialists v. Prudential-Grace Lines*, 19 S.R.R. 59 (FMC 1979), a unanimous Commission held:

Even assuming, without deciding, that European was not notified of the classification and rating problem, we cannot say that such conduct by Hipage amounts to a violation of Section 17. Unless it's normal practice was not to so inform the shipper, such adverse treatment cannot be found to violate the section as a matter of law.

⁴² Cited therein as prior judicial precedent and authority for this general proposition are a number of cases from different courts and commercial contexts, including railroad, shipping and manufacturing cases: "*Intercoastal Investigation*, 1935, 1 F.M.C 400, 432 (1935); *B&O Ry. Co. v. United States*, 277 U.S. 291, 300 (1928); *Francesconi & Co. v. B&O Ry. Co.*, 274 F 687, 690; *Wells Lamont Corp. v. Bowles*, 149 F. 2d 364." *Id.*

Id. at 63 (emphasis on “practice” in the original)(emphasis on “matter of law” added).

The Commission continued:

Similarly, because any violation of section 510.23 of the Commission’s regulations must be considered in terms of Section 17 by operation of the language of the Order on Remand, without a showing of continuing violations of these regulations, no Section 17 violation can be found.

Id. (emphasis added).

This section describes the judicial record and legislative context in existence when Congress took up the task of considering the reform of the 1916 Act and then enacting the 1984 Act. As discussed above, Congress was deregulating all modes of transportation during this period. Several points of disagreement between my position and the majority position are revealed at this juncture in the legislative and judicial history of § 41102(c) of the 1984 Act.

b) CONGRESS ENACTS THE SHIPPING ACT OF 1984

To restate the initial proposition – we are looking for reasonable indications of Congress’s intent with regard to a word and phrase it used in a statute. As the Supreme Court held in *Chevron*, “If the intent of Congress is clear, that is the end of the matter” *Chevron*, 467 U.S. at 842-843. Aside from the near exact mirror image of the Mann-Elkins Act language and section 17 of the 1916 Act, lets again consider section 17 of the 1916 Act and of § 41102(c) of the 1984 Act with a reasonable edit that does no injury to the syntax or semantical sense of the two provisions.

The relevant portion of section 17 of the 1916 Act provides that: “Every [regulated entity] shall establish, observe, and enforce just and reasonable regulations and practices relating to or connected with the receiving, handling, storing, or delivery of property.

§ 41102(c) of the 1984 Act provides that: A [regulated entity] may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with the receiving, handling, storing, or delivery of property.

As discussed *infra*, any argument that these two provisions are different – in any legally or logically relevant manner – lacks reason, foundation, or plausibility.

The Prior-Construction Canon has strong support from the U.S. Supreme Court. In *Bragdon v. Abbott*, 524 U.S. 624, 645 (1998), Justice Kennedy wrote, “[W]hen administrative and judicial interpretations have settled the meaning of an existing statutory provision, repetition of the same language in a new statute indicates, as a general matter, the intent to incorporate its administrative and judicial interpretations as well. *Id.* at 645 (emphasis added).

The Prior-Construction Canon provides another solid foundation for my position that Congressional intent as to the meaning, interpretation and construction of the phrase “establish, observe, and enforce just and reasonable regulations and practices related to or connected with the receiving, handling, storing, or delivery of property” is clear and unambiguous. Congress used the same Mann-Elkins Act / 1916 Shipping Act language in the new 1984 Act. The Commission’s holdings in *Intercoastal Investigation*, 1935, 1 F.M.C. 400 (1935), the case law, including ICA federal court cases, cited therein as supporting precedent⁴³,

⁴³ *Intercoastal* at 432.

*Altieri*⁴⁴, *Stockton Elevators*⁴⁵, *Louis Dreyfus*⁴⁶, and *European Trade*⁴⁷ were all incorporated into the new statute as well.

In previous decisions, the Commission attempts to distinguish *Stockton Elevator* and *European Trade*. In their *Kobel* Remand Order, 32 S.R.R. 1720 (FMC 2013), the majority asserts:

Stockton Elevators was not a case that discussed whether the respondent's regulations and practices in question were "unjust or unreasonable", but whether five specific instances of transactions violated section 17 of the Shipping Act of 1916.

Id. at 1732.

First, the Commission's assertion is a *non sequitur*, in that it has no relationship to the question of whether Stockton Elevators engaged in a "practice" of granting exceptions to its filed tariff rate. More importantly, the majority's assertion is not merely

⁴⁴ *J.M. Altieri v. Puerto Rico Ports Authority*, 7 F.M.C. 416 (ALJ 1962) ("If the action of respondent were one of a series of such occurrences, a *practice* might be spelled out that would invoke the coverage of section 17. *Hecht, Levis and Kahn, Inc. v. Isbrandtsen, Co., Inc.*, 3 F.M.B. 798 (1950). However, the action of the respondent is an isolated or 'one shot' occurrence. Complainant has alleged and proved only the one instance of such conduct. It cannot be found to be a 'practice' within the meaning of the last paragraph of section 17." *Id.* at 420. (emphasis in original).)

⁴⁵ *Stockton Elevators* at 618 ("It cannot be found that the Elevators engaged in a 'practice' within the meaning of section 17. The essence of a practice is uniformity. It is something habitually performed and it implies continuity . . . the usual course of conduct. It is not an occasional transaction such as here shown. *Intercoastal Investigation*, 1935, 1. USSBB 400, 432; *B&O Ry. Co.*, 274 F. 687, 690; *Whitham v. Chicago R.I. & P. Ry. Co.*, 66 F. Supp. 1014; *Wells Lamont Corp. v. Bowles*, 149 F.2d 364.")

⁴⁶ *Louis Dreyfus Corporation v. Plaquemines Port, Harbor and Terminal District*, 25 F.M.C. 59 (FMC 1982).

⁴⁷ *European Trade Specialists* at 63. ("Even assuming, without deciding, that European was not notified of the classification and rating problem we cannot say that such conduct by Hipage amounts to a violation of Section 17. Unless it normal *practice* was not to so notify the shipper, such adverse treatment cannot be found to violate the section as a matter of law. *Investigation of Certain Practices of Stockton Elevators*, 8 F.M.C. 181, 200 (3 S.R.R. 605)(1964)" (emphasis in original).

incorrect, it is directly contradicted by the Commission's published report. The final report, *Investigation of Certain Practices of Stockton Elevators*, 3 S.R.R. 605 (1964), considered exceptions filed by the Commission's Hearing Counsel to the Commission Examiner's initial decision. A unanimous Commission ruled as follows:

The Examiner concluded that neither the Elevator nor Mitsui had participated in any act which was unfair, unjust or unreasonable within the meaning of Sections 16 and 17 and that the proceedings should be discontinued The exceptions are in the nature of general conclusions that Stockton Elevators . . . engaged in a practice which was unjust and unreasonable in violation of Section 17 of the Act; . . . and in arranging wharfage at a reduced rate, engaged in an unjust and unreasonable practice in violation of Section 17.

Id. at 606. (emphasis added)

The Commission then adopted the Examiners Decision as its own and made it a part of the final Investigation Report, including the Examiner's final statement:

ULTIMATE CONCLUSION. Regardless of other legal points raised, there has been no showing that either respondent participated in any act which was unjust, unfair, or unreasonable. The proceeding should be discontinued.

Id. at 618 (emphasis added)

The clear unequivocal words of the Commission's *Stockton* ruling stand as stark refutation and expose the error of the majority's attempt to dismiss this Commission precedent.

The Commission places full reliance for support of its newly discovered position upon the change that Congress made to the old section 17 language when it reenacted that language in the new § 41102(c) of the 1984 Act. In the *Kobel* Remand Order, 32 S.R.R. 1720 (FMC 2013), the Commission offered the following

rational as they dismissed, if not outright rejected, prior federal court decisions and the Commission's prior unequivocal and authoritative rulings on § 41102(c):

Stockton Elevators discussed section 17. . . of the Shipping Act of, 1916, language which is different from section 10(d)(1) of the Shipping Act of 1984. As discussed below, section 17 of the Shipping Act, 1916 stated, "[w]henever the board finds that any such regulation or practice is unjust or unreasonable it may determine, prescribe, and order enforced a just and reasonable regulation or practice." (cite omitted) That language, however, was later removed from the legislation of the Shipping Act of 1984, and section 10(d)(1) does not contain it. (cite omitted) Therefore, although *Stockton Elevators* discussed the predecessor to section 10(d)(1), it did not discuss the same statutory language in the same context as section 10(d)(1) and thus is not directly precedential in the analysis of section 10(d)(1) (footnote omitted).

Id. at 1732 (emphasis added).

The Commission's *Kobel* Remand Order, 32 S.R.R. 1720 (FMC 2013), then moves to *European Trade Specialists* and simply bootstrapped its prior argument as follows:

As *Stockton Elevators* discussed above, *European Trade Specialists* discussed section 17 of the Shipping Act, 1916, which gave the predecessor to the Commission an authority to "determine, prescribe, and order enforced a just and reasonable regulation or practice," whenever it finds any regulation or practice unjust or unreasonable. Therefore, *European Trade Specialists* also discussed different statutory section with different context and is not directly precedential in the analysis of section 10(d)(1).

Id. at 1733 (emphasis added).

While I am left flummoxed by the majority's casual nonchalance as it attempts to distinguish prior controlling

precedent, the majority ignores three rather glaring problems with its position and reasoning. First, the Commission has previously held that section 10(d)(1) of the 1984 Act is a recodification of section 17 of the 1916 Act.⁴⁸ The United States Court of Appeals, District of Columbia Circuit, reviewed the case, and, in upholding the Commission's decision, expressly adopted and affirmed the Commission's holding and rationale that section 10(d)(1) is a recodification of section 17.⁴⁹ Years later, in a Commission case that the majority endorses as authority for its section 10(d)(1) holding, we see the Commission ALJ affirming the obvious legal conclusion, "This law [section 10(d)(1)] essentially carried forward the requirements of Section 17, second paragraph, of the 1916 Act."⁵⁰

Next, if Commission and D.C. Circuit case law is not sufficient to deflate and dispose of the majority's argument that section 17 case law is not precedent for 1984 Act cases, note that neither *Stockton Elevators* nor *European Trade Specialists* made any reference in any manner whatsoever to that portion of section 17, second paragraph-second sentence of the 1916 Act that deals with the Commission's authority to "determine, prescribe, and order enforced a just and reasonable regulation or practice," whenever it finds any regulation or practice to be unjust or unreasonable – not a single word. Why? Because the issue of the Commission determining and ordering enforced an agency initiated and crafted "regulation and practice" was never alleged, never discussed, and never offered as a potential remedy. Thus, there is no "different context" to be found in *Stockton Elevator* or *European Trade Specialists*.

⁴⁸ See *FMC v. Plaquemines Port Harbor and Terminal District*, Order Adopting Initial Decision, 28 F.M.C. 556 (1986). "... section 10(d)(1) of the 1984 Act is, with reference to 'marine terminal operators,' a recodification of section 17 of the 1916 Act." Cited as confirmation, the corresponding footnote, no.11, then simply juxtaposes the statutory language of the two statutory sections. *Id.* at 559.

⁴⁹ See *Plaquemines*, 838 F.2d 536 (D.C. Cir. 1987). "Section 10(d)(1) of the 1984 Act is, with reference to 'marine terminal operators', a recodification of section 17 of the 1916 Act." The court then cites in footnote 9, the juxtaposed language of the two statutory sections as simple and self-evident authority for the equivalency of those sections. *Id.* at 546.

⁵⁰ *Tractors and Farm Equipment Limited v. Cosmos Shipping Co.*, 26 S.R.R. 788, 790 (ALJ 1992).

Third, if more is required, is the historical context in which Congress excised and thus repealed the second sentence of the second paragraph of section 17 of the 1916 Act. Congress also excised and thus repealed section 17's first paragraph-first sentence and first paragraph-second sentence. As discussed above in Subsection D1, Purpose, Congress was deregulating all modes of transportation in the 1980s. This Congressional deregulation process meant reducing and removing the scope of authority and regulatory "footprint" of all federal transportation regulatory agencies. The Commission was subjected to the same deregulatory knife.

This actual statutory history directs us towards a totally different conclusion. Congress moved the first sentence of the second paragraph of section 17 of the 1916 Act over to the new 1984 Act wholly in good form. That language – requiring that no regulated entity may fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with the receiving, handling, storing, or delivery of property - is now found in § 41102(c) of the 1984 Act. The second sentence, the one to which the majority refers in the *Koble* Remand Order, is that portion having to do with the Commission's authority to "determine, prescribe, and order enforced a new "just and reasonable regulation or practice," whenever it finds any regulation or practice unjust or unreasonable was indeed removed and thus repealed. Congressional intent is obvious - to diminish and truncate the Commission's statutory authority to address regulated entity activity as regards their compliance with the provision; "establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property."

Therefore, according to a reasoned application of both clear legislative fact combined with the majority's position, we are left with this conundrum: Congress intended, and in fact did reduce the Commission's statutory authority by repealing the second sentence of the second paragraph of section 17 of the 1916 Act. However, with the very same stroke of the legislative pen, Congress intended to significantly increase and broaden the Commission's statutory authority and scope in the retained first sentence of the second

paragraph of section 17 via a new and substantially expanded reading, interpretation, and application of § 41102(c). Such a conclusion lacks any foundation and is beyond quizzical – it is unconditionally implausible. To argue that the language of section 17 second paragraph-first sentence is - within any legally or logically relevant construct - a different statutory section with different context when juxtaposed to the language of section 41102(c) of the 1984 Act, is equivalent to an argument that a pureed apple is different from applesauce.

c) POST 1984 COMMISSION CASES AND THE DRIFT /
CHANGE / OVERRULING OF *Intercoastal*
Investigation/Altieri/Stockton Elevators/Louis Dreyfus/European
Trade

In *A.N. Deringer, Inc. v. Marlin Marine Services, Inc.*, 25 S.R.R. 1273 (FMC 1990), a post 1984 case that followed the *Altieri, Intercoastal Investigation, Stockton Elevators, Louis Dreyfus, European Trade Specialists* line of precedent in a case considering what is now § 41102(c), the ALJ dismissed claims regarding missing cargo with the following ruling:

In any case, the sustaining of an alleged violation of Section 10(d)(1) requires more than the showing of unjust or unreasonable activity. It requires that the complainant prove failure “. . . to establish, observe, and enforce just and reasonable *regulations and practices* . . .” Marlin’s failure to specify on the bill of lading the number of boxes hardly demonstrates any shortcomings in this area. If Marlin did act improperly, only the existence of an isolated error has been demonstrated. Nothing in the record casts light upon its regulations or practices, and this constitutes a fatal flaw in Deringer’s case.

Id. at 1276 (emphasis on “regulations and practices” in the original, other emphasis added). The ALJ continued:

It is clear that C.O.G.S.A. was enacted to clarify the responsibilities as well as the rights and immunities of carriers and ships with respect to loss and damage claims.

Consequently, the use of the Shipping Act of 1984 to circumvent C.O.G.S.A provisions would constitute a wholly unwarranted frustration of Congressional intent. Furthermore, some of the logical conclusions of such a step would be absurd. For example, C.O.G.S.A provides a one-year period for the filing of suit; after that period, a claim is time barred. To accept Deringer's premise, one would have to conclude that a one-year period exists during which a claimant may file suit, but two additional years exist in which to file with the FMC. Inasmuch as C.O.G.S.A stipulates that the carrier and ship, in the absence of a suit, are discharged from liability after one year, such a conclusion is unacceptable.

Id. at 1277 (footnotes omitted).⁵¹

The Commission's case law regarding § 41102(c) of the 1984 Act first navigated outside of the established sailing channel with the 1991 decision in *Adair v. Penn-Nordic Lines, Inc.*, 26 S.R.R. 11 (ALJ 1991). The case involved a *pro se* claimant who contracted with a freight forwarder, who then contracted with Penn-Nordic Line for the shipment of a single motorcycle from the U.S. to New Zealand. Adair paid the freight forwarder; however, the freight forwarder did not pass such payment over to Penn-Nordic. The motorcycle had been delivered to a U.S. port warehouse, but never moved further. The complaint was filed under the Commission's informal docket procedures, i.e. small claims process.

My dissent in the *Kobel* Remand Order, 32 S.R.R. 1720 (FMC 2013), discusses this initial "springboard" decision at some length⁵² and I will only summarize main points here.

⁵¹ In addition, with any COGSA litigation, the vessel owner may limit its liability to \$500 per package, has certain statute prescribed defenses and the parties pay their own legal fees. The 1984 Act provides for the award of full reparation of loss without any limitation and, as recently amended, a prevailing claimant is entitled to attorney's fees.

⁵² *Kobel*, 32 S.R.R. at 1757-1758.

- The motorcycle moved overland to a U.S. port warehouse and no further. It was never even touched by an ocean common carrier. Therefore, the subject matter jurisdiction of the Shipping Act was never shown or established.
- The Commission's ALJ stated that Adair could file his suit in "a court of law" in Washington State and use one or all legal theories from contract law, tort law or agency law.
- The ALJ *sua sponte* suggested that Adair amend his complaint to allege a violation of what is now § 41102(c) of the 1984 Act.
- The ALJ ruled, "I find that the record shows both respondents to have acted unreasonably."⁵³
- The ALJ found respondents "liable for the monetary injury inflicted on Adair as a result of their unreasonable conduct."⁵⁴
- The ALJ concluded, "The above litany of misconduct . . . amply demonstrates that Penn-Nordic failed to 'establish, observe, and enforce just and reasonable practices relating to or connected with receiving, handling, storing, or delivering of property.'"⁵⁵
- The ALJ continued, "The facts . . . show that Penn-Nordic behaved unreasonably under Section 10(d)(1) . . . this conduct would undoubtedly have contravened other standards of law principals of contract law and common carrier law applicable in courts of law and . . . Adair could have obtained relief . . . in a court of law or perhaps admiralty . . ."⁵⁶
- The ALJ's legal epistle continued with a review of sixteen principals of contract law, six principals of admiralty law including COGSA and six principals of agency law.⁵⁷
- The ALJ continued his summation, "The application of the above principals of admiralty, contract, and agency law becomes apparent when considering the facts of this case."⁵⁸

⁵³ *Adair*, 26 S.R.R. at 19.

⁵⁴ *Adair*, 26 S.R.R. at 15.

⁵⁵ *Adair*, 26 S.R.R. at 20.

⁵⁶ *Adair*, 26 S.R.R. at 20.

⁵⁷ *Adair*, 26 S.R.R. at 20-21.

⁵⁸ *Adair*, 26 S.R.R. at 21.

- The ALJ further concluded, “[t]herefore, this record amply demonstrates that Penn-Nordic behaved unreasonably and in violation of Section 10(d)(1).”⁵⁹
- The ALJ further concluded, “[a]s an agent and fiduciary of . . . Adair, [the freight forwarder] did not maintain the standard of care required by [common agency] law of such fiduciaries nor fulfill its duties to . . . Adair. Consequently, I conclude that Corporate World [freight forwarder] failed to observe just and reasonable regulations and practices, in violation of Section 10(d)(1) of the 1984 Act.”⁶⁰
- The ALJ offered another lengthy review of the common law of agency and freight forwarder’s fiduciary duties, and then again concluded, “Freight forwarders have been held liable under admiralty and negligence law in suits brought before federal courts because of the breach of their fiduciary duties towards their shipper-principals.”⁶¹
- Again and finally concluding, the ALJ held, “I find that Corporate World [freight forwarder] failed to exercise the standard of care and diligence which the [common agency] law requires of fiduciaries . . . and that Corporate World [freight forwarder] failed to observe just and reasonable regulations and practices with regard to the shipment . . . in violation of Section 10(d)(1) of the 1984 Shipping Act.”⁶²

Note that the ALJ focused on behavior that he deemed to be unreasonable by virtue of common law proscriptions and various federal statutes including COGSA.⁶³ He misstated the

⁵⁹ *Adair*, 26 S.R.R. at 22 (emphasis added).

⁶⁰ *Adair*, 26 S.R.R. at 22 (emphasis added).

⁶¹ *Adair*, 26 S.R.R. at 23.

⁶² *Adair*, 26 S.R.R. at 24 (emphasis added).

⁶³ The ALJ cited record evidence that would have squarely brought the entire matter under section 10(a)(1) of the 1984 Act. Of most relevance here, there was evidence that the case was centered on cargo misdescription and a “practice” of same by the freight forwarder. “Penn-Nordic discovered that the shipment was not used household goods but rather a motorcycle and that Penn-Nordic had no specific rate for motorcycles in its tariff. . . . [A]ccording to [Penn-Nordic], the [freight forwarder] misdescribed the shipment and the cubic measurement on the shipment and on shipments it had booked with Penn-Nordic in the past. . . . [A]ccording to Penn-Nordic, the [freight forwarder] had ‘knowingly misdeclared this shipment to get himself a lower rate as this is his practice.’ “

1984 Act in that he ignored the two terms “establish” and “enforce” and condensed that elements down to the phrase, “failed to observe”. This shorthand treatment of the statutory phrase would quite likely be embraced by the majority since it - in a most simple fashion - eliminates all of the twisting and hopscotching in the majority’s deconstructing of the statute.

With Mr. Adair’s *pro se* representation, supported by zealous counsel from the ALJ, and amid the sixteen dense and tightly spaced pages of the *Adair* decision, there is not a single reference to any Commission precedent or federal court interpretation of the statutory language of what is now § 41102(c) of the 1984 Act or its predecessor provision in the 1916 Act, section 17. Pointedly, there was no acknowledgement, to paraphrase the Commission’s clearly articulated requirement in *European Trade Specialists* that, “[u]nless its normal practice was to [fail to comply with the law of contract, law of torts, law of agency, law of admiralty], such adverse treatment cannot be found to violate the section [section 17 of the 1916 Act / section 10(d)(1) of the 84 Act / § 41102(c)] of the 1984 Act as a matter of law.”⁶⁴

In this and other decisions, the Commission relies on a series of cases for their proposition that a single failure to “observe and enforce just and reasonable regulations and practices” is a violation of § 41102(c) of the 1984 Act of the 1984 Act.⁶⁵

Citing *Maritime Service Corporation v. Acme Fast Freight of Puerto Rico*, 17 S.R.R. 1655 (ALJ 1978), aff’d 18 S.R.R. 853 (FMC 1978), a 1978 Commission case, as support for the majority position that failure to fulfill common law or statutory obligations in a single incident is all that is needed to find the regulated party has engaged in an unjust and unreasonable practice, the

Adair, 26 S.R.R. at 16 (emphasis added). Thus the entire *Adair* case could have been resolved squarely within the *Intercoastal Investigation/Altieri/Stockton Elevators/Louis Dreyfus/European Trade/Deringer* line of § 41102(c) case law or under section 10(a)(1) of the 1984 Act that prohibits use of false cargo classification to obtain a lower transportation rate in any single transaction.

⁶⁴ See *European Trade Specialists*, 19 S.R.R. at 63.

⁶⁵ See *Yakov Kobel v. Hapag-Lloyd A.G.*, No. 10-06, 2015 FMC, Lexis 699 (“*Kobel* Order Affirming Remand Initial Decision”).

Commission ignores the dissent's discussion in *Bimsha International v. Chief Cargo Services*, 32 S.R.R. 1861 (FMC 2013), that points out the clear error in that reliance.⁶⁶ In fact, in *Maritime Services Corporation*, the full Commission considered the Section 17 allegations and findings and then expressly dismissed and rejected all counts of section 17, 1916 Act violations.⁶⁷ Thus, the *Maritime Services Corporation* case stands as both a rejection of the majority position and an affirmance of my minority position

Following the *Adair* decision, the Commission next relies upon *Tractors and Farmers Equipment v. Cosmos Shipping*, 26 S.R.R. 799 (ID 1992), for precedential support. As fully discussed by the dissent in the *Kobel* Remand Order, 32 S.R.R. 1720 (FMC 2013), the entire case could and should have been handled under other FMC regulations that directly prohibited the alleged activity.⁶⁸ Instead, once again the ALJ *sua sponte* ordered the parties to amend their complaint to include section 10(d)(1) of the 1984 Act. When the complainant failed to so amend the complaint, the ALJ *sua sponte* amended the complaint on the parties behalf to include an allegation of violation of section 10(d)(1) of the 1984 Act. Then, with a full thumb on the scale, the ALJ found a violation of section 10(d)(1) of the 1984 Act. Again, not a single reference to Commission precedent and case law that required a finding of a Normal, Customary, & Continuous practice is found in the *Tractors and Farmers* decision.

The Commission relies on *Symington v. Euro Car Transport, Inc.*, 26 S.R.R. 871 (ID 1993), as precedent. Again, as more fully discussed by the dissent in the *Kobel* Remand Order, 32

⁶⁶ See *Bimsha International v. Chief Cargo Services*, 32 S.R.R. at 1872 (FMC 2013).

⁶⁷ See *Sea-Land Service v. Acme Fast Freight*, 18 S.R.R. 853 (FMC 1978)) "[W]e conclude that the Presiding Officer's findings and conclusions ... were erroneous with respect to the Section ... 17 violations." Note: by substitution of complainant parties, FMC proceeding No. 73-3, *Maritime Service Corporation v. Acme Fast Freight of Puerto Rico*, 17 S.R.R. 1655 (ALJ 1978), was renamed *Sea-Land Services, Inc., et al v. Acme Fast Freight of Puerto Rico*, 18 S.R.R. 853 (FMC 1978).

⁶⁸ *Bimsha*, 32 S.R.R. at 1759.

S.R.R. 1720 (FMC 2013),⁶⁹ the same ALJ who decided the *Adair* and *Tractor and Farmers* cases took a simple, single automobile shipment from the U.S. to England that could and should have been adjudicated under sections § 41104(6) and § 41104(12) of the 1984 Act, once again ignored traditional concepts of judicial modesty, economy, and restraint, and found that a single breach of an oral contract to be a violation of § 41102(c) of the 1984 Act.

In past cases, the Commission relied on *Total Fitness Equipment, Inc. d/b/a/ Professional Gym v. Worldlink Logistics, Inc.*, 28 S.R.R. 45 (ID 1997) to support its position. This is yet another case where the ALJ who earlier decided the *Adair*, *Tractor and Farmers*, and *Symington* cases took a complaint involving the “Filed-Rate Doctrine”⁷⁰ and misdescription of cargo by an NVOCC for violating §§ 41104(1) and 41104(6) of the 1984 Act and inserted a § 41102(c) count on top of the other allegations. Interestingly, the record evidence showed that the NVOCC had prior incidents of using the scheme to offer one rate and then claim that – due to the cargo classification issue and the “Filed-Rate Doctrine” – the NVOCC was required to collect a higher rate. In essence, the NVOCC was operating a maritime “bait and switch” operation. The ALJ ignored the opportunity to bring the *Total Fitness Equipment* case within the proper *Intercoastal Investigation/Altieri/Stockton Elevators/European Trade/Louis Dreyfus/Deringer* line of Commission precedent.

Then in *Abubakar Kamara and Abdulai Kamara v. Honesty Shipping Service and Atlantic Ocean Line*, 29 S.R.R. 321, 322 (FMC 2001), a different Commission ALJ took the opposite course and returned to traditional case precedent as to what constitutes a “practice” in dismissing a complaint alleging a violation of § 41102(c):

It is not clear that a carrier’s simple failure to remit payment to a subcontracting carrier constitutes a Shipping

⁶⁹ See *Kobel*, 32 S.R.R. at 1759.

⁷⁰ The “Filed-Rate Doctrine” provides that any entity required to file tariffs governing the rates, terms, and conditions of service must adhere strictly to those terms.

Act violation, although the shipper would certainly have a commercial contractual claim. A series of cases alleging § 41102(c) violations has established that a complainant must demonstrate regulations and practices, as opposed to identifying what might be an isolated error or understandable misfortune. See, for example Informal Docket No. 1745(I), *Mrs. Susanne Brunner v. OMS Moving Inc.*, slip decision served January 27, 1994, administratively final March 8, 1994. In the present case, however, despite the SO's request, the complainants failed to either cite a specific statutory violation or attempt to describe a relevant pattern of behavior.”)

Id. at 322 N 8 (emphasis added).

Last in line and leading up to *Houben v. World Moving Services, Inc.*, 31 S.R.R. 1401 (FMC 2010), is the Commission's decision in *William J. Brewer v. Saeid B. Maralan (aka Sam Bustani) and World Line Shipping, Inc.*, 29 S.R.R. 6 (FMC 2000). In its *Kobel* Remand Order, 32 S.R.R. 1720 (FMC 2013), the Commission cited *Brewer* as follows:

The Commission has found that a failure to observe and enforce just and reasonable practices is a violation of section 10(d)(1), regardless of whether it involves a single shipment or multiple shipments. See . . . *William Brewer* (cite omitted) (NVOCC held to have violated section 10(d)(1) with respect to a single shipment when it refused to release cargo at the destination port unless additional money was paid, and instructed its agents to place the shipment on hold).

Id. at 1731-1732.

As discussed at some length in the *Kobel* Remand Order, the dissent listed the full chronological history of Mr. Bustani's misdeeds as an NVOCC.⁷¹ One year prior to Mr. Brewer's proceeding and based on numerous complaints, the Commission

⁷¹ See *Kobel*, 32 S.R.R. at 1759-1760.

had ordered a formal investigatory proceeding into Mr. Bustani's activities. When the ALJ discussed application of law to the facts of that case, he relied on *Total Fitness Equipment d/b/a/ Professional Gym v. Worldlink Logistics, Inc.*, 28 S.R.R. 45 (ID 1997), aff'd. 28 S.R.R. 534 (FMC 1998), and most pointedly on the recent Commission Investigation as follows:

This is a type of "bait and switch" tactic that the Commission has recently encountered in the case of *Total Fitness*. [internal footnote: In another case involving an ethically deficient NVOCC who had engaged in the "bait and switch" tactic, the Commission observed that a persistent pattern of quoting rates and failing to file them could constitute a violation of section 10(b)(6) of the Act (now 10(b)(4)(A)) which forbids carriers from engaging in unfair practices in the matter of rates.] . . . Respondents' conduct is even more deplorable in the instant case because they have been the subject of a formal Commission investigation as well as many informal complaints, ultimately being penalized some \$100,000 and ordered to cease and desist from committing violations of the Act. By such conduct respondents can now take their place alongside ethically deficient NVOCCs who have mishandled shipments, improperly demanded more money, blamed their agents, or even held shipments "hostage" in order to extract more money from the shippers who were trying to obtain release of their cargo.

Id. at 1334 (cites omitted)(emphasis added).

Three issues are clearly presented by the *William Brewer* case. First, the ALJ relies on the "Normal, Customary, & Continuous" business practices of Mr. Bustani, as found in the then quite recent Commission investigation, as support for his ruling. In fact, the entire context of Mr. Bustani's activities would be a proper "poster child" for § 41102(c) cases.

Second, the *William Brewer* case does not lend support to the majority's position that a single incident, standing alone, meets the requirements of § 41102(c). To the contrary, when read in its full context, it supports the minority position.

Third, is the illuminating footnote in *Brewer* where the ALJ acknowledges the 1984 Act's requirement that the term "practices" means, in his words, a "persistent pattern" of complained of improper activity.⁷² As noted above in the discussion of the Presumption of Consistent Usage, it is not possible to reconcile a definition of "practice" within section § 41104(4) as meaning a "persistent pattern", with a definition of "practice" within § 41102(c) as meaning – take one's pick – any single industry practice, any single unjust practice, or any single customer problem with their international shipment.

Last is the case of *Houben v. World Moving Services, Inc.*, 31 S.R.R. 1400 (FMC 2010), where in 2010, the Commission came out into the full sunlight and held categorically that a single shipment is within the purview of § 41102(c) of the 1984 Act. The facts involved a single shipment of household goods from the U.S. to Belgium. In an informal (small claims) proceeding and a *pro se* complainant, the settlement officer had amended the complaint *sua sponte* to incorporate a § 41102(c) allegation. The case was presented to the Commission on an expedited *de novo* review basis. The Commission cited *Adair*, *Symington*, *European Trade Specialists*, *Tractors and Farmers*, and *Maritime Services* as precedent for their holding that the freight forwarder had violated § 41102(c). Of interest, as discussed above, *European Trade Specialists* stands in complete contradiction to the *Houben* decision and, in *Maritime Services*, the full Commission expressly dismissed all claims under Section 17 claims, the predecessor provision to section 10(d)(1) of the 1984 Act.

Thus, the Commission holds out as the precedent foundation for its current position on what constitutes a violation of § 41102(c) a line of Commission cases, beginning with a *pro se* informal small claims proceeding concerning the shipment of a

⁷² *Brewer*, 28 S.R.R. at 1334. n. 4 ("In another case involving an ethically deficient NVOCC who and engaged in the "bait and switch" tactic, the Commission observed that a *persistent pattern* of quoting rates and failing to file them could constitute a violation of 10(b)(6) of the Act (now sec. 10(b)(4)(A)), which forbids carriers from engaging in unfair *practices* in the matter of rates. See *Martyn Merritt – Possible Violations of Shipping Act of 1984*. 25 S.R.R. 1495, 1500 (1991)." (emphasis added).

single motorcycle in *Adair*, a single shipment of tires in *Tractors and Farmers*, the shipment of a single automobile in *Symington* and a small claims *pro se* proceeding regarding a single move of household goods in *Houben*. The majority dismisses or ignores the near one century line of precedent from the Mann Elkins Act language being adopted into the 1916 Act, ICA federal case law, and Commission cases in *Intercoastal Investigation*, *Altieri*, *Stockton Elevators*, *European Trade Specialists*, *Louis Dreyfus*, *Deringer*, and *Kamara* offering precedent as to what constitutes a “practice” under the Shipping Act. The legal rules concerning federal agency *stare decisis* is discussed in Section II F below.

4. STRUCTURE AND STATUTORY SCHEME

In *Loving v. IRS*, 742 F.3d 1013 (D.C. Cir. 2014), the D.C. Circuit Court directs us to consider and examine the broader statutory framework in interpreting a statute.⁷³ The *Loving* court then noted that Congress had enacted numerous other provisions and revisions over many years concerning the tax preparation business. “Under the IRS’s view here, however, all of Congress’s statutory amendments would have been unnecessary.”⁷⁴ With the IRS’s new and expansive interpretation of its agency’s century old statutory language, “[t]hat would have already covered all (or virtually all) of the conduct that Congress later spent so much time specifically targeting in individual statutes regulating tax-return preparers.”⁷⁵ The court concluded its discussion on this section of the decision, with, “As the Supreme Court has stated, ‘the meaning of one statute may be affected by other Acts, particularly where Congress has spoken subsequently and more specifically to the topic at hand.’ *FDA v. Brown & Williamson Tobacco Corp.*, 529 U.S. 120, 133, 120 S. Ct. 1291, 146 L.Ed.2d 121 (2000).”⁷⁶

⁷³ *Loving* at 1020 (“Fourth is the broader statutory framework. ‘It is a fundamental canon of statutory construction that the words of a statute must be read in their context and with a view to their place in the overall statutory scheme. . . See *Roberts v. Sea-Land Services, Inc.*, __ U.S. __, 132 S.Ct. 1350, 1357, 182 L.Ed.2d 341 (2012)(internal quotation marks omitted). *Id.* at 1020.

⁷⁴ *Loving*, 742 F.3d at 1020.

⁷⁵ *Id.*

⁷⁶ *Id.* at 1020-1021.

The reasoning and holding of the *Loving* court is, again, directly on point. If, as the Commission held in the case *sub judice*, § 41102(c) of the 1984 Shipping Act applies to each single incident of cargo delay, damage, or related breach in performance of the regulated entity's duties concerning receipt, handling, storage, and delivery of property, then why did Congress even bother to enact COGSA in 1936 with its carefully crafted and balanced regime of limited common carrier defenses on one hand and limited common carrier liability on the other?⁷⁷

As another example, in the recent *Bimsha International v. Chief Cargo Services*, 32 S.R.R. 1861 (FMC 2013), the Commission simply ignored a highly specific federal statute covering the proper handling of negotiable bills of lading in maritime commerce. The case concerned a single cargo transaction for the movement of three containers from Pakistan to the United States. The ocean transportation intermediary erroneously and improperly delivered the negotiable bills of lading to the U.S. buyer without first receiving payment.

The Federal Bills of Lading Act (the "Pomerene Act")⁷⁸ sets forth five specific cargo origin and delivery destination possibilities (intra-state, inter-state and foreign destination).⁷⁹ The single origin-destination pair that is omitted from coverage under the act is a foreign origin of shipment and U.S. delivery destination. Hornbook law explains, "[s]ince the Pomerene Act does not apply to bills of lading issued in foreign countries for shipments to the United States, the negotiability of such bills would depend on the law of the country of issue."⁸⁰ The Commission did not consider Pakistani law, but simply "filled the legislative gap" that Congress must have mindlessly left, reasoning that misdelivery of any negotiable bill of lading was "unjust and unreasonable".

⁷⁷ See case discussion of *A.N. Deringer, Inc.* and Note 50, *supra*.

⁷⁸ Federal Bill of Lading Act, 49 U.S.C §§80101 – 80116.

⁷⁹ 49 U.S.C §§80102.

⁸⁰ Grant Gilmore and Charles L. Black, *The Law of Admiralty* 95 (2d ed. 1975).

Given the specificity of Congress's consideration of all various origin-destination shipment possibilities in the Pomerene Act enacted the same year as the 1916 Act, the Negative-Implication Canon is directly applicable in this context. Consider the following commentary:

[I]f Parliament in legislating speaks only of specific things and specific situations, it is a legitimate inference that the particulars exhaust the legislative will. The particular which is omitted from the particulars mentioned is the *casus omissus*, which the judge cannot supply because that would amount to legislation.

J.A. Corry, *Administrative Law and the Interpretation of Statutes*, 1 U. Toronto L.J. 286, 298 (1936). As Justice Brandeis noted in *Ebert v. Poston*, 266 U.S. 548 (1925), "A *casus omissus* does not justify judicial legislation." *Id.* at 554.

I submit that where it is improper for a court to supply an omitted particular lest it engage in "judicial legislation", it is equally, if not more, improper for a federal regulatory agency to supply an omitted particular into a statute, especially so when considering a statute that Congress has not assigned to such agency for administration.

Further undeterred, the Commission asserted that its subject matter jurisdiction extended to all matters expressly covered by the Pomerene Act.

Even if the Pomerene Act applied, "[w]hen there are two [federal] acts upon the same subject, the rule is to give effect to both if possible," unless there is "positive repugnancy" between them. *United States v. Borden Co.*, 308 U.S. 188, 198-99 (1939). There is no conflict between the Shipping Act and the Bills of Lading Act. And if there were, the Shipping Act is the later enacted statute and would control.⁸¹

⁸¹ The Shipping Act, 1916, 39 Stat. 728, was enacted on Sept. 7, 1916, the Bills of Lading Act, 39 Stat. 545, was enacted on Aug. 29, 1916.

Brief of the Respondents, Federal Maritime Commission and United States of America, *Chief Cargo Services Inc. v. FMC and USA*, 11 (2 Cir. 2014)(no.13-4256AG).

So the Commission has asserted that the 1984 Act has extraterritorial application, in contradiction of the presumption that a statute has no extraterritorial application.⁸² More implausibly, the Commission would have the maritime regulated community and the public at large believe that on Tuesday, August 29, 1916 Congress enacted the detailed and specific provisions of the Federal Bills of Lading Act, and then, on the following Thursday, September 7, 1916 – *just nine days later* – Congress enacted the 1916 Act and that Congress intended for the Shipping Act to both (i) apply to the same maritime issues as the Pomerene Act, and (ii) be the controlling statute in such identical fact situations concerning negotiable bills of lading, due to its more recent birth date.

Never considered by the Commission is the far more logical and probable Congressional intention that the new Shipping Act apply to a different spectrum of maritime problems and abuses, say, for example, a regulated maritime entity that exhibited a “Normal, Customary, and Continuous” - i.e. the normal, customary, often repeated, systematic, uniform, habitual and continuous - *practice* of misdelivering negotiable bills of lading without first receiving payment from the consignee/purchaser of the cargo. The Pomerene Act has a set process for civil penalties. The Shipping Act has processes for ordering reparations, and for ordering civil penalties, and for ordering the revocation of the regulated entity’s FMC license and operating certificate, and for ordering a cease and desist order, enforceable in federal court, and for the award of attorney fees. With different statutory purposes, the 1916 Shipping Act and the Pomerene Act operate at two totally different levels.

⁸² See *Black’s Law Dictionary* 1874 (9th ed. 2009)(“Statutes are confined to their own territory and have no extraterritorial effect.”) See also *Sandberg v. McDonald*, 248 U.S. 185 (1918)(“Legislation is presumptively territorial and confined to limits over which the law-making power has jurisdiction.”) *Id.* at 195.

The broader statutory framework of the 1916 Act as reenacted in the 1984 Act maintains a constant compass setting that directs us towards the current minority position as set forth above, all reflecting the clear intent of Congress and articulated in *Intercoastal Investigation*, *Altieri*, *Stockton Elevators*, *European Trade*, *Deringer* and *Kamara*.

A final argument that falls within statutory structure, statutory scheme and Whole-Text Canon analysis is consideration of the clear Congressional expression of the broader context and relative place that the 1984 Act occupies in maritime legislation and jurisprudence as set forth in section 16 of the 1984 Act. To once again reference the deregulatory legislative intent of the 1984 Act, Congress gave the Commission the statutory right to grant exemptions from requirements of the 1984 Act upon certain findings. The 1984 version of section 16, in relevant part, provides:

Section 16. Exemptions

The Commission, upon application or on its own motion, may by order or rule exempt for the future . . . any specified activity of [persons subject to this Act] if it finds that the exemption will not substantially impair effective regulation by the Commission, be unjustly discriminatory, result in substantial reduction in competition, or be detrimental to commerce.

46 U.S.C. § 40103.

This section 16 exemption authority was enhanced and further liberalized in the 1998 amendments to the Shipping Act of 1984. Congress eliminated two of the four findings that the Commission was required to make prior to granting any exemption from regulation: that the exemption would substantially impair effective regulation by the Commission or be unjustly discriminatory. Following enactment of the Ocean Shipping Reform Act of 1998, the Commission need only find that a section 16 exemption would not result in substantial reduction in competition or be detrimental to commerce.

Thus, the Congressional intent, overall context and statutory mandate of the 1984 Act together with the 1998 changes to the Commission's section 16 exemption authority, makes clear that Congress wanted the Commission to consider each and every provision in the Act from a perspective of the that provision's impact on reduction in maritime trade competition or on potential detriment to America's maritime commerce.

With the 1998 amendments, Congress injected additional competitive market-driven provisions into the Shipping Act of 1984. Several provisions were expanded, including new provisions that retreated from traditional common carriage concepts. For example, vessel operators were newly allowed to enter into private confidential contracts with shippers. A shipper's competitors and other shipping lines were no longer allowed to see the commercial terms of such contracts and were no longer allowed to claim "me too" status and thereby demand equal commercial terms. In short, Congress wanted more reliance on competition, less reliance on regulation.⁸³

The Whole-Text Canon, as discussed above, is the cornerstone of canons of statutory interpretation when one is seeking context and legislative intent and has been long observed in the law. Sir Edward Cook explained this canon over three hundred and eighty years ago:

[I]t is the most natural and genuine exposition of a statute to construe one part of the statute by another part of the same statute, for that best expresseth the meaning of the maker. . . If any section [of the law] be intricate, obscure, or doubtful, the proper mode of discovering its true meaning is by comparing it with the other sections, and finding out the sense of one clause by the words or obvious intent of the other.⁸⁴

⁸³ In the Ocean Shipping Reform Act of 1998, Congress added a new element to the 1984 Act's statutory policy. 46 U.S.C. § 40101 ("Section 2. Declaration of policy. The purposes of this Act are . . . (4) to promote the growth and development of United States exports through competitive and efficient ocean transportation and by placing a greater reliance on the marketplace.")

⁸⁴ Edward Coke, *The First Part of the Institutes of the Laws of England, or a*

Gruenberg-Reisner v. Respondent Moving Specialists, Inc. 95

In a more contemporary comment, *K Mart Corp. v. Cartier, Inc.*, 486 U.S. 281 (1988), the U.S. Supreme Court expressed the Whole-Text Canon as follows:

In ascertaining the plain meaning of the statute, the court must look to the particular statutory language at issue, as well as the language and design of the statute as a whole.

Id. at 291.

We must align and juxtapose § 41102(c) with section 16 (section 40103) and then consider the question:

- (i) did Congress enact § 41102(c) with the intent to bring federal agency oversight and regulation to regulated entities who abuse the maritime shipping public by imposing unjust and unreasonable business methods, and who do so on a normal, customary, and continuous basis, and thereby negatively impact maritime transportation competition or inflict detrimental effect upon the commerce of the United States;

OR

- (ii) did Congress enact § 41102(c) with the intent to bring regulation to an NVOCC, such as Overseas, where in a single incident, the NVOCC allegedly failed in some duty.⁸⁵

I find that the answer is clearly the first, and most decidedly not the later.

Commentary upon Littleton section 728, at 381a (1628, 14th ed. 1791).

⁸⁵ There is not a single fact in the record to support an argument that Overseas' acts or omissions constitute a "practice" that is proscribed by § 41102(c) of the 1984 Act.

E. NEW COMMISSION ARGUMENTS

To support its interpretation of § 41102(c), the Commission relies on an argument that, until recently, never surfaced in the full one-hundred years since Congress first enacted the now familiar phrase, “establish, observe, and enforce just and reasonable regulations and practices . . .” in the 1910 Mann-Elkins Act amendments to the ICA. The Commission’s argument and construction of the statute as outlined in its *Kobel* Order Affirming Remand Initial Decision and applied in the case *sub judice* defies any reasoned summation. After numerous readings of the Commission’s opinion in *Kobel*, I cannot determine whether the Commission’s construction is circular reasoning – restating the premise as the conclusion – or if it is more properly characterized as either a rhetorical tautology or a logical tautology.

In an effort to pry apart the Commission’s dense seven page construction in the *Kobel* Remand Order,⁸⁶ first consider their attempt to dismember the initial phrase, “establish, observe, and enforce” and then to utilize the canon of construction that holds, if possible, every word of a statute is to be given effect.⁸⁷ The Commission’s argument begins with the clever invention of a claimed absurdity and then artificially buttresses the claim with a magical finding that Congress really intended to use the disjunctive “or” rather than the conjunctive “and” in the phrase.⁸⁸ Once disjoined, the Commission asserts that each, now separate element, must have its separate application in order to avoid application of the Surplusage Canon.

[I]t would be a violation of the section only when a complainant can demonstrate that a respondent simultaneously committed all [of] the three elements of the section. If a respondent established just and reasonable

⁸⁶ See *Kobel*, 32 S.R.R. 1728-1735.

⁸⁷ In the *Kobel* Remand Order, 32 S.R.R. 1720 (FMC 2013), the majority states that, “[t]he Commission must ‘give effect, if possible, to every clause and word of a statute, avoiding, if it may be, any construction which implies that the legislature was ignorant of the meaning of the language it employed.’

Inhabitants of Montclair Tp. V. Ramsdell, 107 U.S. 147, 152 (1883). *Id.* at 1729.

⁸⁸ David Copperfield would applaud the majority’s nimble sleight of hand.

regulations and practices, it would not violate section 10(d)(1) even if that respondent failed to observe or enforce the established just and reasonable regulations and practices. Under this scenario, a violation cannot occur because the respondent established a just and reasonable regulation and practice and thus the complainant would never satisfy the first of the three elements of the section. This reasoning, however, contains a fatal flaw in that it completely disregards the language “observe and enforce” in section 10(d)(1).

Kobel, 32 S.R.R. at 1729.

The Commission then adds a gloss of the Absurdity Canon and the Plain Meaning Canon where it holds:

Even the failure in a single transaction can be a failure to observe and enforce a just and reasonable regulation and practice, and therefore, a violation of section 10(d)(1). This interpretation gives effect to every word of section 10(d)(1) and avoids the construction that “the legislature was ignorant of the meaning of the language it employed.” This interpretation also avoids the irrational incentive for regulated parties to establish just and reasonable regulations and practices, but not to observe and enforce them, which the Commission believes would be in complete derogation of the plain language of section 10(d)(1).

Id. at 1730.

To begin a logical process of unscrambling the Commission’s argument in *Kobel*, I would first reflect back to *Bell Atlantic Telephone v. FCC*, 131 F.3d 1044 (D.C. Cir. 1997), discussed above in the Framework for Analysis section: “[T]extual analysis is a language game played on a field known as ‘context.’” *Id.* at 1047 (emphasis added).

The Commission’s “language game” of conjunctives versus disjunctives and “irrational incentives” ignores three issues that,

individually and collectively, direct us towards an opposite compass course.

First, the context of transportation statutes and regulations over a full century of analysis, litigation, and application by the ICC, the FMC and its predecessor agencies, and all reviewing federal courts have never witnessed the dissection and dismemberment of the phrase, “establish, observe, and enforce” in any manner that remotely resembles the Commission’s newly discovered position. Second, the Commission refuses to acknowledge the simple and most logical response to their “irrational incentive” argument – namely – if a regulated entity “established” a just and reasonable “practice”, but then proceeded to act in an opposite manner - i.e. an unjust or unreasonable manner - and did so on a Normal, Customary, and Continuous basis, then the regulated entity clearly never “established” the feigned just and reasonable “practice” in the first place. Thus the contrived disharmony disappears. And again, a single violation of the notice procedure would arguably constitute a breach of a fiduciary duty or a breach of contract and thus would be a matter for a state or federal court action.

In discussing the Surplusage Canon, Justice Antonin Scalia addressed limitations on the canon’s use that are most relevant in the current analysis.

[a] court may well prefer ordinary meaning to an unusual meaning that will avoid surplusage. So like other canons, this one must be applied with judgment and discretion, and with a careful regard to context. . . Sometimes drafters *do* repeat themselves and *do* include words that add nothing of substance, either out of a flawed sense of style or to engage in the ill-conceived but lamentably common belt-and-suspenders approach. Doublets and triplets abound in legalese: *Execute and perform* – what satisfies one but not the other.

See Scalia and Garner, *supra*, at 176-77 (emphasis in original).

In their attempt to employ the Surplusage Canon of statutory construction, the Commission fails to give any regard to

the history of the liner shipping business, the legislative history, or the judicial history – all of which provides context for the “triplet” phrase “establish, observe, and enforce”. If the “triplet” that Justice Scalia acknowledges as “legalese” is given a common sense construction that has survived since 1910 without question or assault, then the majority’s position collapses.

In *Kobel*, the Commission invokes the Surplusage Canon in such a manner that tortures out a uniquely new interpretation⁸⁹ of § 41102(c) of the 1984 Act. But what the Commission refuses to either recognize or acknowledge is the clear fact that this construction not only ignores, but actively throws overboard, a far more fundamental term in the statute – namely the term “practice” as used by Congress and recognized by the ICA, the Commission and its predecessor agencies, and federal courts since 1910. Thus the Commission’s usage and construction fundamentally violates the Surplusage Canon.

The Commission in *Kobel* attempts to incorporate a different place for the term “practice” to reside within the section where they offer the following as framework and their version of “context”:

We note that the relevant framework in analyzing the Commission’s jurisprudence is common carriage. In a common carriage context, a common carrier, MTO, or OTI provides services to the general public. When analyzing whether a common carrier’s, MTO’s, or OTI’s regulations and practices are just and reasonable, it is relevant to consider the usual course of conduct of the common carrier, MTO, or OTI and also the course of conduct of other common carriers, MTOs, or OTIs under similar circumstances.

⁸⁹ In debates on current world events, the discussion of “enhanced interrogation techniques” (EIT) seems apropos concerning the majority’s interpretation of the phrase “establish, observe, and enforce” – namely, if one employs sufficient EITs, the words will eventually say anything you want them to say. Or, as a more literary allusion would observe, “When I use a word, it means just what I choose it to mean.” said Humpty Dumpty in *Through the Looking Glass*, Lewis Carroll.

Kobel, 32 S.R.R. at 1730.

This argument may have relevance for addressing whether a given regulation or practice is “just and reasonable.” But the Commission’s point is an answer to a separate and unasked question that is not relevant to the case *sub judice*. An NVOCC may well have contractual duties to accurately measure a customer’s household goods and, failing in that duty, not demand additional freight payment. These obligations would fall within a general category of “just and reasonable” methods of conducting business.

However, the *relevant* question for the purposes of § 41102(c) of the 1984 Act is – did Overseas engage in a Normal, Customary, & Continuous *practice* of failing to deliver cargo at the agreed to price in the Shipping Agreement. If the record evidence shows only this single incident, then the case may be justiciable before a State or Federal court of general jurisdiction by reason that Overseas’ alleged act or omission might constitute a breach of contract or fiduciary duty claims. If the record evidence shows that holding a customer’s goods hostage to secure additional payment above what was agreed to in the Shipping Agreement is Overseas’ Normal, Customary, and Continuous *practice*, then it would be a matter that could implicate the Shipping Act and the Commission. The simple facts of the case *sub judice* are so analogous to the *European Trade Specialist* decision that the unanimous Commission holding bears repetition:

Even assuming . . . that [the shipper] was not notified of the [cargo] classification and rating problem, we cannot say that such conduct by [the OTI] amounts to a violation of Section 17. Unless its normal *practice* was not to so inform the shipper, such adverse treatment cannot be found to violate the section as a *matter of law*.

F. BEYOND CHEVRON “STEP ONE” – TWO ARGUMENTS

The above sections have focused on the legal analysis required under *Chevron* “Step One” and the process of finding the

intent of Congress. Upon finding Congress's intent, then that is the end of the matter and we do not move over into *Chevron* "Step Two" where deference to the agency's discretion as regards filling in legislative gaps and holes has been ruled as appropriate, subject to limitations. However, two further matters remain and need discussion.

1. BOOTSTRAPPING

The Commission has built an impressive string of cases over the last six years following *Houben*, 31 S.R.R. 1400 (FMC 2010), for its position that a single failure to observe a duty is a violation of § 41102(c). Accordingly, a sub textual refrain emerges whereby this new line of cases is now the foundation and supporting precedent for the majority position.

I addressed this issue in *Bimsha*, 32 S.R.R. 1861 (FMC 2013), with reference to a prior situation where the Commission was admonished by the U.S. Supreme Court for regulatory overreach when it spread its jurisdictional net beyond the three-mile limit of the 1916 Act and over a far wider ocean. In *FMC v. Seatrain Lines, Inc.*, 411 U.S. 726 (1973), the Commission was challenged over its interpretation and application of section 15 of the 1916 Act. The Commission had, for a number of years, interpreted the general wording of the section that required vessel common carriers to file joint operating and conference agreements at the Commission and obtain prior approval, to include Commission authority to approve or disapprove proposed acquisitions and mergers of an ocean common carrier by another ocean common carrier. The Commission pointed to the Civil Aeronautics Board (CAB) and their statute which contained similar wording. The U.S. Supreme Court noted that Congress had enacted a separate and specific provision for airline mergers in a different section of the CAB statute, and held as follows:

[s]pecific grants of airline merger approval authority [were included in 49 U.S.C. Section 1378(a)(1)].[The Court was thus] . . . unwilling to construe the ambiguous provisions of Section 15 to serve this purpose, a purpose for which it is obviously not intended. As the Court of Appeals found, the

House Committee which wrote Section 15 “neither sought information nor had discussion on ship sale agreements. They were neither part of the problem nor part of the solution.” [cite omitted] If . . . there is now a compelling need to fill the gap in the Commission’s regulatory authority, the need should be met in Congress where the competing policy questions can be thrashed out and a resolution found. We are not ready to meet that need by rewriting the statute and legislative history ourselves.

Id at 744, 745.

The Commission then further argued that proposed ocean common carrier merger and acquisition agreements had been filed with and ruled on by the Commission for a number of years. The Supreme Court addressed the Commission’s rejoinder argument as follows:

But the Commission contends that, since it is charged with the administration of the statutory scheme, its construction of the statute over an extended period should be given great weight. [cite omitted]. This proposition may, as a general matter, be conceded, although it must be tempered with the caveat that an agency may not bootstrap itself into an area in which it has no jurisdiction by repeatedly violating its statutory mandate.

Id at 745 (emphasis added).

In *Pittsburg Press Company v. NLRB*, 977 F. 2d 652 (D.C. Cir. 1992), the Court of Appeals for the District of Columbia Circuit considered a federal agency’s argument that its current decision was following recent agency precedent and ruled as follows:

We do not think it enough to say that this latest decision is consistent with the general drift of NLRB precedent, as it is that very drift that troubles us . . . [t]he Board has seemed willing to go with the flow, offering no reasoned justification for its course.

Id. at 660-61.

The Commission's steady course change in its interpretation of § 41102(c) of the 1984 Act does not gain added degrees of correctness with each re-affirming decision as described in the opening section of this dissent. As with *Seatrains Lines*, the Commission cannot bootstrap itself into a new, broadly expanded § 41102(c) scope where the agency has no statutory grant of Congressional authority in the first place.

2. *STARE DECISIS*

The D.C. Circuit's *Loving* decision, 742 F.3d 1013 (D.C. Cir. 2014), acknowledges a federal agency's right to change its collective mind and adopt a new or different interpretation of a statute. The Court then points out a fundamental logical flaw in the IRS's new statutory interpretation as follows:

The IRS is surely free to change (or refine) its interpretation of a statute it administers. [cite omitted] But the interpretation, whether old or new, must be consistent with the statute. And in the circumstances of this case, we find it rather telling that the IRS had never before maintained that it possessed this authority. [cite omitted] In light of the text, history, structure and context of the statute, it becomes apparent that the IRS never before adopted its current interpretation for a reason. It is incorrect.

Id. at 1021.

The proposition that a federal agency is "free to change its interpretation" of a statute is further governed and constrained by a judicial rule of considerable importance – the rule of federal agency *stare decisis*. The U.S. Supreme Court held in *Motor Vehicle Mfrs. Ass'n v. State Farm Insurance*, 463 U.S. 29 (1983), "[a]n agency changing its course . . . is obligated to supply a reasoned analysis for the change. . ." *Id.* at 42.

The full application of *stare decisis* in Commission proceedings was recognized in *Harrington & Co and Palmetto*

Shipping & Stevedore v. Georgia Port Authority, 23 S.R.R. 753 (ID 1986):

. . . a close look at the cases and authorities reveals that administrative agencies follow the doctrine of *stare decisis* in much the same way as do courts. Just as the courts change their minds from time to time, so do the agencies . . . the courts do not bind themselves forever to decisions which experience teaches them to have been wrong and to work harm under present conditions. However, the decision to depart from precedent is not taken lightly and *requires compelling reasons* . . . Although agencies are given some leeway in changing their minds in light of experience and changing conditions, the *courts are emphatic* in requiring agencies to follow their precedents or *explain with good reason* why they choose not to do so, All the circuits impose this requirement.

Id. at 766 (emphasis added).

Numerous federal courts of appeal have addressed the issue of administrative agency *stare decisis*. The District of Columbia Circuit held in *Jicarilla Apache Nation v. U.S. Dept. of Interior, et al.* 613 F. 3d 1112 (D.C. Cir 2010), and citing *State Farm Insurance*⁹⁰ as follows:

We have held that “[r]easoned decisionmaking . . . necessarily requires the agency to acknowledge and provide an adequate explanation for its departure from established precedent,” and an agency that neglects to do so acts arbitrarily and capriciously. [cites omitted] [W]e have never approved an agency’s decision to completely ignore relevant precedent. [cite omitted] Thus, [a]n agency’s failure to come to grips with conflicting precedent constitutes an inexcusable departure from the essential requirement of reasoned decision making.

Id. at 1119-20 (cites omitted).

⁹⁰ *State Farm Insurance*, 463 U.S. 29 (1983).

The District of Columbia Circuit gave a full and pointed explanation concerning the requirements and reasons for an independent agency to either follow its own precedent or explain any change with full justification in *Baltimore and Annapolis Railroad v. Washington Metropolitan Area Transit Commission*, 642 F. 2d 1365 (D.C. Cir. 1980) as follows:

The [WMAT] Commission cannot replace its conclusion that it lacks jurisdiction [over transportation services], with a different view, unless the announcement of that different view is accompanied by an explanation of the Commission's reasons for making the change. Furthermore, the reasons contained in the explanation must be consistent with law and supported by substantial evidence on the record. Even absent special circumstances, it is vital that an agency justify a departure from its prior determinations. First, the requirement of reasons imposes a measure of discipline on the agency, discouraging arbitrary and capricious actions by demanding a rational and considered discussion of the need for a new agency standard. The process of providing a rationale that can withstand public and judicial scrutiny compels the agency to take rule changes seriously. The agency will be less likely to make changes that are not supported by the relevant law and facts.

Second, the requirement of reasons fulfils the duty of fairness and justice owed by the agency to the party or parties "victimized" by the agency's decision to shift course . . . a "disappointed party, whether he plans further proceedings or not, deserves to have the satisfaction of knowing why he lost his case." [cite omitted]

Third, and perhaps most important of all, the requirement of reasons facilitates judicial review. "[T]he orderly functioning of the process of review requires that the grounds upon which the administrative agency acted be clearly disclosed and adequately sustained." [cite omitted] The burden of justifying an agency's decision that contradicts one of its prior decisions, properly belongs to the agency itself and not the courts. [cite omitted]

Id. at 1370.

Other relevant federal circuit decisions concerning *stare decisis* and the rule forbidding arbitrary and capricious agency decision making include *RKO General v. FCC*, 670 F. 2d 215, 223 (D.C. Cir 1981): "Failure to explain the reversal of directly controlling precedent is unlawful. *Id.* at 223 (cite omitted)(emphasis added). Also see *Federal Trade Commission v. Crowther*, 430 F. 2d 510 (D.C. Cir 1970): "[I]t is not enough to explain the Commission's changed feeling by merely asserting that it has struck a new balance. Rationality in administrative adjudication requires something more than that." *Id.* at 516.

The treatment of Commission precedent was addressed in Section II D 3, Legislative and Judicial History, *supra*. That decisional language bears repetition for this discussion of federal agency *stare decisis*. The majority held in the *Kobel* Remand Order:

Stockton Elevators was not a case that discussed whether the respondent's regulations and practices in question were "unjust or unreasonable," but whether five specific instances of transactions violated section 17 of the Shipping Act, 1916. The presiding officer⁹¹ held that considering the justifiable reason (alleviating the grain elevator congestion), the six instances of deviation from the established regulations and practices were not violations of the section. *Stockton Elevators* discussed section 17 (and section 16) of the Shipping Act of, 1916, language which is different from section 10(d)(1) of the Shipping Act of 1984. . . [s]ection 17 of the Shipping Act, 1916 stated, "[w]henever the board finds that any such regulation or practice is unjust or unreasonable it may determine, prescribe and order enforced a just and reasonable regulation or practice." *Id.* at 196. That language, however, was later removed from the legislation of the Shipping Act of 1984, and section 10(d)(1) does not contain it. [cite

⁹¹ The *Stockton Elevators* investigation report was issued by the full Commission.

omitted] Therefore, although *Stockton Elevators* discussed the predecessor to section 10(d)(1), it did not discuss the same statutory language in the same context as section 10(d)(1) and thus is not directly precedential in the analysis of section 10(d)(1).

Kobel, 32 S.R.R. at 1732.⁹²

In its *Kobel* Remand Order, the Commission dismissed another Commission controlling precedent, *Altieri*, 7 F.M.C. 416 (Examiner 1962), with an even lighter flip of the wrist in a footnote: "Respondent Hapag-Lloyd also discussed *Altieri* [cite omitted] which later became the decision of the Commission. As *Stockton Elevators*, *Altieri* discussed section 17 of the Shipping Act, 1916, and thus is not precedential in section 10(d)(1) analysis." *Kobel*, 32 S.R.R. at 1732, n. 14.

Last, in *Kobel* the Commission takes on the controlling precedent, *European Trade Specialists*, 19 S.R.R. 59 (FMC 1979), and directly quotes that decision's language and reasoning at length, including a key holding, where the majority states, "The Commission affirmed the [*European Trade Specialists*] ALJ's decision because the respondent's conduct was not 'a normal practice.'", 32 S.R.R. at 1733. The Commission then leaps all chasms of logic and states:

As *Stockton Elevators* discussed above, *European Trade Specialists* discussed section 17 of the Shipping Act, 1916,

⁹² In *Kobel*, the Commission omitted significant relevant language from the *Stockton Elevators* investigation report, *Investigation of Certain Practices of Stockton Elevators*, 3 S.R.R. 605 (FMC 1964): "It cannot be found that the Elevator engaged in a "practice" within the meaning of Section 17. The essence of a practice is uniformity. It is something habitually performed and it implies continuity . . . the usual course of conduct. It is not an occasional transaction such as here shown. [citing *Intercoastal Investigations*, *Whitman*, and *Wells Lamont*] . . . [e]ven if the granting of the five allowances or the arranging for the single wharfage reduction could be designated practices, neither could be found to be unjust or unreasonable. The commerce of the United States was not deterred. . . Regardless of other legal points raised, there has been no showing that either respondent participated in any act which was unjust, unfair, or unreasonable." *Id.* at 618 (emphasis added).

which gave the predecessor to the Commission⁹³ an authority to "determine, prescribe, and order enforced a just and reasonable regulation or practice," whenever it finds any regulation or practice unjust or unreasonable.

Therefore, *European Trade Specialist* also discussed different statutory section with different context and is not directly precedential in the analysis of section 10(d)(1).

Kobel, 32 S.R.R. at 1733 (emphasis added).

As previously discussed and exposed, the sentence that Congress omitted in 1984 when it revised the 1916 Act had nothing to do with the matters consider by the Commission in the *Stockton Elevators* investigation report. As demonstrated above, the wording of section 10(d)(1) of the 1984 Act and section 17, second paragraph-first sentence of the 1916 Act is so close to identical mirror image that any argument asserting the prior Commission case law "discussed statutory section with different context and is not directly precedential in the analysis of section 10(d)(1)" is vacuous and unsupported other than the *ipse dixit* of the majority.

The Commission has consistently refused to address or even acknowledge the fact that the Commission ALJ's decisions in *Adair/Tractors/Symington* began the tidal change that implicitly overruled prior and well established Commission precedent including full Commission decisions, a comprehensive Commission Order of Investigation Report,⁹⁴ and corresponding federal court decisions applying companion ICA statutory provisions. Recall that *Houben* was a small claims matter with a *pro se* claimant handled by a settlement officer. Commission staff initiated an expedited *de novo* review by the full Commission. There were no legal briefs prepared by either party as both were

⁹³ The majority is in error. The current Commission descended from the Federal Maritime Board by Congressional act in 1961 and has continued in its current status to this date. The *Altieri* case was decided in October, 1962, the *Stockton Elevators* investigation report was considered and approved by the full Commission in June, 1964, and the *European Trade Specialists* case was decided by the full Commission in March, 1979.

⁹⁴ *Stockton Elevators*, 3 S.R.R. 605 (FMC 1964).

not represented by counsel. That is the *Houben* record. The Commission's *Houben*⁹⁵ decision in 2010 was the first to put the new rule that a single incident was all that was needed to find a violation of § 41102(c) in clear focus for the regulated maritime community to see, consider, and digest.

The closest that the Commission has come to acknowledging any change from prior established Commission jurisprudence is found in a brief comment in the *Bimsha* matter. See the ALJ's Initial Decision in *Bimsha*, 32 S.R.R. 353 (ID 2011), where he is placing substantial reliance on the *Houben* decision's construction of section 10(d)(1). His decisional reasoning, in full, is as follows:

European Trade Specialists v. Prudential Grace Lines, decided under section 17 of the Shipping Act, 1916, is problematic. . . To the extent there is a conflict between *Houben* and *European Trade Specialists*, I follow *Houben*, the more recent case.

Id. at 378 (cites omitted)(emphasis added).

Such is the full record of the Commission's "reasoned analysis",⁹⁶ "compelling reasons",⁹⁷ and "substantial evidence on the record"⁹⁸ that supports the change in navigation course – a full 180 degree course change – from the long held, affirmed, and reaffirmed position on what elements were necessary to establish a § 41102(c) violation. From 1910 through 1991, we had a fully consistent application of the law. In 1991, a Commission ALJ began a course change. In 2001, a different ALJ tried to bring the ship back into the navigation channel. Then, in 2010, through a *pro se* small claims matter, the Commission threw the rudder hard over to effectuate a radical departure from the historical and traditional jurisprudence. We have gone from:

⁹⁵ *Houben*, 31 S.R.R. 1400 (FMC 2010).

⁹⁶ See *State Farm Insurance*, 463 U.S. 29 (1983).

⁹⁷ See *Harrington & Co and Palmetto Shipping & Stevedore v. Georgia Port Authority*, 23 S.R.R. 753 (ID 1986).

⁹⁸ See *Baltimore and Annapolis Railroad v. Washington Metropolitan Area Transit Commission*, 642 F. 2d 1365 (D.C. Cir. 1980)

A section 17, second paragraph/section 10(d)(1)/§ 41102(c) violation is established upon presentation by the claimant of credible record evidence that (i) respondent is a regulated entity; (ii) respondent engaged in an act, an activity, or, by way of omission, failed to act in a maritime context concerning the receipt, handling, storage, or delivery of property in international waterborne commerce; (iii) such act, activity, or omission was the Normal, Customary, & Continuous manner in which the regulated entity performed its maritime business with the general public, i.e. the regulated entity's "practice(s)"; (iv) such practice was unjust or unreasonable as determined by some relevant standard, such as "the commerce of the United States was being deterred" or by reference to established maritime standards, duties, or proscriptions. All four elements must be established to prove a violation of § 41102(c) of the 1984 Act.

over to the new majority position, summarized as:

Overseas' effort to secure payment by Claimant's of additional charges and fees by refusing to deliver the cargo in this one instance violated section 41102(c) of the 84 Act. The majority never identifies or discusses the "practice" that Overseas engaged in, but simply leaps to the conclusion that the Overseas' action violated § 41102(c).

In reinterpreting and expanding § 41102(c) beyond anything contemplated by Congress in enacting the provision or the legislative and judicial history interpreting the statutory language, the Commission majority has been steadfast and consistent in refusing to articulate the changes in U.S. waterborne commerce that has taught the Commission that prior FMC and ICC case law was both wrong and was working harm under present conditions.⁹⁹ Likewise, the Commission has failed to provide

⁹⁹ See *Harrington & Co and Palmetto Shipping & Stevedore v. Georgia Port Authority*, 23 S.R.R. 753 (ID 1986).

“reasoned analysis,”¹⁰⁰ “compelling reasons,”¹⁰¹ to “acknowledge and provide adequate explanation”,¹⁰² or provide “substantial evidence on the record” for the complete volte-face from prior section § 41102(c) case law, as described above, to the new majority position in the case *sub judice* that a single failure of any duty found in any legal text by a freight forwarder is a violation of § 41102(c) of the 1984 Act.

As stated in the *Baltimore and Annapolis Railroad* decision, 642 F. 2d at 1370, the burden is squarely on the Commission’s shoulders to justify the diametrical conflict between *Baltimore & Ohio Railroad Company* (a 1923 ICC case), *Intercoastal Investigations*, (a United States Shipping Board Bureau case), *Whitam* (a 1946 ICC case), *Altieri* (a 1962 FMC case), *McClure* (1964 case addressing a USDA regulation), *Stockton Elevators* (a 1964 FMC case), *Sea-Land Service* (formerly *Maritime Service*, a 1978 FMC case), *European Trade Specialists* (a 1979 FMC case), *Louis Dreyfus* (a 1982 FMC case affirmed by the District of Columbia Circuit Court), *A.N. Deringer* (a 1990 FMC case), *Kamara* (a 2001 FMC case), on one side, and the new majority’s favored cases of *Adair* (1991 FMC case), *Tractor* (1992 FMC case), *Symington* (1993 FMC case), *Houben* (2010 FMC case), and *Kobel* (2015 FMC case). The failure to provide such justification thereby relegates the Commission’s actions to the status of arbitrary, capricious, and unlawful.¹⁰³

III. SUMMARY

The foregoing presents the purpose, text, legislative and judicial history, and the structure and statutory scheme of the 1984 Act and § 41102(c) thereof. The Commission’s new construction of § 41102(c) does not withstand the examination required by “Step One” of *Chevron* within those four areas of inquiry and

¹⁰⁰ See *State Farm Insurance*, 463 U.S. 29 (1983).

¹⁰¹ See *Harrington*, 23 S.R.R. 753 (ID 1986).

¹⁰² See *Jicarilla Apache Nation v. United States Department of the Interior*, 613 F.3d 1112, 1119-1120 (D.C. Ct. App. 2010).

¹⁰³ Also note: under this *stare decisis* rule, a government agency has the initial and ultimate burden of production and persuasion. There is no element of “agency discretion” to lighten or eliminate the agency’s burden.

examination. In determining whether the statute is ambiguous or whether Congress has spoken to the issue in question, the majority's position in the case *sub judice* is on the wrong side of numerous traditional canons of statutory construction, including:

- Syntactic Canon
- Ordinary Meaning Canon
- Presumption of Consistent Usage Canon
- Whole Text Canon
- Associated Words Canon
- Prior Construction Canon
- Negative Implication Canon
- Presumption Against Extraterritorial Application Canon
- Surplusage Canon

Further, the Commission's majority maintains its newly discovered position in complete disregard of its burden and duty as set forth under the doctrine of federal agency *stare decisis*.

As a separate area of concern regarding legal process that would counsel for cautious restraint as Commission and court review proceeds, consider the *pro se* small claim status of the cases that serve as the two pivot points and foundation for the majority's position – *Adair* and *Houben*, *supra*. In particular, the *Houben* case is presented as the twenty-first century linchpin of the Commission majority's new interpretation of section 41102(c). Not only does *Houben* lack any legal briefing by any party, it, and the follow-on cases first cited *supra*, also lacks reliance on any process that comports with Administrative Procedures Act (APA) processes. Standard APA processes would require public notice and receipt of public comments. Then the Commission would be obligated to publish in the Federal Register responses to all public comments. Such Commission responses would need to be legally and logically relevant and otherwise rational. Given the lack of any APA processes, the deference that is due to the Commission in the case *sub judice* should be at low ebb tide if any deference is due at all.

The Commission has expressed, *sub silentio*, the desire to offer assistance to property owners who have difficulties and suffer losses in the movement of their cargo in international waterborne

commerce. As has been often noted, the pathway to purgatory and a lower, warmer region is paved with the bricks of good intentions. The Securities and Exchange Commission (SEC) interpreted a section of its statute¹⁰⁴ so as to broadly capture all nature of problems in the securities marketplace. In *SEC v. Sloan*, 436 U.S. 103 (1978), the U.S. Supreme Court pointedly rejected the agency's argument with the following comment:

Even assuming; however, that a totally satisfactory remedy – at least from the Commission's viewpoint – is not available in every instance in which the Commission would like a remedy, we would not be inclined to read Section 12(k) more broadly than its language and the statutory scheme reasonably permit. Indeed, the Commission's argument amounts to little more than the notion that Section 12(k) *ought* to be a panacea for every type of problem which may beset the marketplace.

Id. at 116 (emphasis in the original).

To express the Supreme Court's concern and holding in relation to the case *sub judice* and the current line of cases cited in the preamble to this dissent, the Commission should not look to § 41102(c) as the *panacea* for every problem or grievance that arises in the maritime realm of receiving, handling, storing, or delivering property. Moreover, it is not as though claimants would be adrift without any remedy. The majority, if not all of the current FMC cases cited herein beginning with *Adair*, clearly document that the claimants would have full and adequate remedies under numerous legal proscription including common law, state statutes, and admiralty law. Such claims should be presented to proper courts of common pleas. Further, in several cases, the claimant could have received full remedy at the Commission under other specifically applicable sections of the 1984 Act.

The Court of Appeals for the District of Columbia Circuit's holding in *Loving* framed the proper application of *Chevron*, in *Pharmaceutical Research*, and *City of Arlington* as follows:

¹⁰⁴ Securities Exchange Act of 1934, Ch. 404, 48 Stat. 881.

In determining whether a statute is ambiguous and in ultimately determining whether the agency's interpretation is permissible or instead is foreclosed by the statute, we must employ all the tools of statutory interpretation, including "text, structure, purpose, and legislative history."

Loving, 742 F.3d at 1016 (internal cites omitted).

The foregoing dissenting discussion and analysis more than amply shows that what is now § 41102(c) was not ambiguous for near one century, and is not ambiguous today. Proper consideration of the purpose, text, legislative and judicial history, and structure of the 1984 Act and application of the nine canons of statutory construction discussed above fully demonstrates that Congress has spoken to the issue at hand and has spoken "univocally".¹⁰⁵ Therefore, we may comfortably stop the inquiry at the *Chevron* Step One stage. We never get to the *Chevron* Step Two stage – a destination that the majority so assiduously strives for in order to claim an ambiguity in the language of the statute. However, if a "doubting Thomas" remains unconvinced, then the agency's interpretation of § 41102(c) is still not permissible because its interpretation is unreasonable in light of the proper application of the tools of statutory interpretation discussed *supra*. Further, the failure by the Commission to observe and follow the requirements of the doctrine of federal agency *stare decisis*, as discussed above, condemns the majority's order and decision to be improper and unlawful.

IV. COMMISSIONER MAFFEI'S CONCURRING OPINION

My Brother Commissioner has brought forward old arguments with new wrinkles and new arguments that have not been previously considered by the Commission. I believe that the reasoning, arguments, and the cited supporting authorities set forth

¹⁰⁵ See *Bell Atlantic Telephone Companies v. Federal Communications Commission*, 131 F.3d 1044 (D.C. Ct. App. 1997) ("Context serves an especially important role in textual analysis of a statute when Congress has not expressed itself as univocally as might be wished." *Id.* at 1047.

in my dissent more than adequately address and controvert my Brother Commissioner's positions. There are; however, a few points that allow some passing comment.

The misconstruction of the language of section 41102(c) via the conjunctive/disjunctive argument was first posited upon the Commission by the claimants and embraced by the majority in the *Kobel* "Order Affirming Remand Initial Decision" in 2014. The dismembering distortions employed by the majority leading to the further contortions in the concurrence still do not address my simple rejoinder that "establishing" a just practice by virtue of printing it in a five foot font sign and displaying it in the front window of the business does not thereafter immunize the regulating entity from a subsequent pattern and "practice" of contrary business behavior that is also found to be unjust and unreasonable. The regulated entity's actual conduct negates any sham attempt to "establish" a just and reasonable practice by proclamations writ large and shouted loud.¹⁰⁶

The concurrence next misconstrues the meaning and application of the term "context" as it applies to the construction and interpretation of statutory language. Many of the "traditional tools of statutory construction"¹⁰⁷ utilize "context" as an intrinsic component. How do the words Congress used fit syntactically within the sentence?¹⁰⁸ How does the sentence and its words that Congress used compare and fit within the section of the statute?¹⁰⁹ How does the word "practice" fit when compared with similar words that precede and follow?¹¹⁰ How does a certain word, such as "practice", compare and fit where Congress used the same word in other sections of the same statute?¹¹¹ How does the word "practice" fit and operate within the entire text of the statute?¹¹²

¹⁰⁶ While this strawman is firmly embraced by the majority, I am not aware of a single instance in the history of the Shipping Act of 1916 or 1984 where such posited scenario has occurred.

¹⁰⁷ *Chevron*, *supra* at note 9.

¹⁰⁸ Syntactic Canon.

¹⁰⁹ Whole Text Canon, Associated Words Canon.

¹¹⁰ Associated Words Canon.

¹¹¹ Presumption of Consistent Usage Canon.

¹¹² Whole Text Canon.

How does a certain word or phrase compare and fit with other statutes where Congress used the same word or phrase, and further, within a similar “context” of transportation of property?¹¹³ “Context” is also an innate component of “legislative history . . . structure . . . and purpose”.¹¹⁴ How does the newly proposed interpretation of a word or phrase that Congress used fit and compare with prior agency case law and federal court case law?¹¹⁵ What, in an historical perspective, was going on in 1916?¹¹⁶ What was going on in 1984 in the regulatory legislative world of marine, rail, truck, and air transportation? All of these matters supply “context”.

What the concurrence does elevate and illuminate is the majority’s continued intransigence to directly address the nine traditional canons of statutory construction that are presented with reasoned discussion and case citations in the dissent. The dissent directly addresses and refutes the majority’s argument concerning their utilization of the Absurdity Canon and the Surplusage Canon. It is long overdue for the majority to come out of the dim shade and shelter of their dugout, out into the sunlight, step up to the plate in front of the public, and directly address and refute with reasoned argument the nine traditional canons of statutory construction put forward by the dissent.

Last, the concurrence offers a new and novel argument with the heading, *Why Congressional Intent Should Not Be Relied Upon*. My Brother offers a position that could also be titled “Legislative Nihilism” wherein no legislative intent may be ascribed to statutory language because none can be proven. Notwithstanding the apparent futility of my effort, a serendipitous perusal last week of the September 6, 2016 *Congressional Record* revealed a recorded remark by the Hon. Duncan Hunter, Chairman of the House Subcommittee on Coast Guard and Maritime Transportation, wherein he commented upon the recent

¹¹³ Prior Construction Canon, Ordinary Meaning Canon – modified where there is specific lexicon.

¹¹⁴ *Bell Atl. Tel. Cos.*, *supra* at 1047.

¹¹⁵ Legal principal of *Stare Decisis*.

¹¹⁶ Prior Construction Canon.

anniversary date of the Shipping Act of 1916 and the role of the Federal Maritime Commission.

Mr. Speaker, this week marks the 100th anniversary of the “Shipping Act of 1916” becoming law, a measure that established the entity that has evolved into what exists today as the Federal Maritime Commission. The impetus for this legislation was concern among policymakers about the state of the American maritime industry and more specifically, how to deal with two key challenges: the paucity of shipping capacity and potential *anti-competitive business practices* by steamship lines. That latter point was of particular interest to Representative Joshua W. Alexander (D-MO), who was Chairman of the Committee on Merchant Marine and Fisheries from 1911 to 1919. In the Sixty-Third Congress, Mr. Alexander’s Committee published a Report on Steamship Agreements and Affiliations in the American Foreign and Domestic Trade that found shipping companies did indeed cooperate formally and informally, but concluded it was more beneficial to these lines and their cooperative agreements to be regulated than for the government to attempt to end these *business practices*. . . Mr. Speaker, much like our predecessors who served in this very body 100 years ago . . . [and] [w]hile we should follow the example of what Congress did in 1916 and find ways to invigorate the U.S. Merchant Fleet in the international trades, it is reassuring to know that the Federal Maritime Commission *monitors the global market for predatory and anti-competitive practices*.

162 Cong. Rec. E1194 (daily ed. September 6, 2016) (statement of Rep. Duncan Hunter) (emphasis added).

It is also reassuring that, indeed, some Members of Congress study the history of their most venerable institution – the First Branch of Government – and implore their fellow Members to continue the spirit, the purpose, and the work of their colleagues, ancient as they may be.

V. CONCLUSION

With reliance on the foregoing cited authorities, arguments, and reasons, I respectfully dissent from the majority's Order Affirming Initial Decision wherein they affirm the SCO's finding that Overseas violated § 41102(c) of the Shipping Act and award reparations. I concur in the majority's decision to affirm the SCO's dismissal of the claims of negligent representation, breach of contract, lost and damaged cargo and conversion. I concur in the majority's reversal of the SCO's findings that Overseas was not entitled to payment for certain published charges and I concur with the majority's decision to remand the issue of terminal handling fees and the fuel charge to the SCO.